

TestKing.IIA-CIA-Part1.566Q

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TEST KING

IIA-CIA-Part1

Certified Internal Auditor - Part 1, The Internal Audit Activity's Role in Governance, Risk, and Control

- Alhamdulillah i passed today for 931/1000 this dumpd still *valid*.
- More than 80% questions are from this dump :).
- If you want the perfect products at the most affordable rates then you must use this dump for preparation and other helping tools for the exam.
- It really looks fresh and updated. Questions cover all the new areas of new exam pattern.
- It's 100% valid and reliable.

Exam A

QUESTION 1

Which of the following statements regarding segregation of duties is true?

- A. When evaluating an organization's policy on segregation of duties, employee competence does not need to be considered.
- B. An organizational chart provides an accurate definition of segregation of duties.
- C. A restrictive segregation-of-duties policy can help improve an organization's communication.
- D. Policies on segregation of duties in information systems must recognize the difference between logical and physical access to assets.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

exact answer.

QUESTION 2

An auditor plans to analyze customer satisfaction, including. (1) customer complaints recorded by the customer service department during the last three months; (2) merchandise returned in the last three months; and (3) responses to a survey of customers who made purchases in the last three months.

Which of the following statements regarding this audit approach is correct?

- A. Although useful, such an analysis does not address any risk factors.
- B. The survey would not consider customers who did not make purchases in the last three months.
- C. Steps 1 and 2 of the analysis are not necessary or cost-effective if the customer survey is comprehensive.
- D. Analysis of three months' activity would not evaluate customer satisfaction.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 3

Which of the following would not be a factor for senior management to consider when determining the internal audit activity's role in an organization's risk management process?

- A. The extent to which the internal audit activity is outsourced.
- B. The maturity level of risk management practices in the organization.

- C. The competency of the internal auditors in risk management.
- D. The nature of the business and the environment in which the organization operates.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 4

Which of the following best describes the underlying premise of the COSO enterprise risk management framework?

- A. Management should set objectives before assessing risk.
- B. Every entity exists to provide value for its stakeholders.
- C. Policies are established to ensure that risk responses are performed effectively.
- D. Enterprise risk management can minimize the impact and likelihood of unanticipated events.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 5

An internal auditor is assigned to conduct an audit of security for a local area network (LAN) in the finance department of the organization. Investment decisions, including the use of hedging strategies and financial derivatives, use data and financial models which run on the LAN. The LAN is also used to download data from the mainframe to assist in decisions. Which of the following should be considered outside the scope of this security audit engagement?

- A. Investigation of the physical security over access to the components of the LAN.
- B. The ability of the LAN application to identify data items at the field or record level and implement user access security at that level.
- C. Interviews with users to determine their assessment of the level of security in the system and the vulnerability of the system to compromise.
- D. The level of security of other LANs in the company which also utilize sensitive data.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:
appropriate.

QUESTION 6

When internal auditors perform consulting services that add value and improve an organization's operations, these services:

- A. Impair the internal auditors' objectivity with respect to an assurance service involving the same engagement client.
- B. Would preclude the achievement of assurance from the consulting engagement.
- C. Should be consistent with the internal audit activity's empowerment reflected in the charter.
- D. Impose no responsibility to communicate information other than to the engagement client.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 7

A manufacturing firm uses hazardous materials in the production of its products. An audit of the firm's processes related to hazardous materials should include.

- A. Recommending an environmental management system as part of policies and procedures.
II.Verifying the existence of tracking records for these materials from creation to destruction.
III.Using consultants to avoid self-incrimination of the firm in the event illegalities were detected in an environmental audit.
IV.Evaluating the cost provided for in an environmental liability accrual account.
- B. II only
- C. III and IV only
- D. I, II, and IV only
- E. I, III, and IV only

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:
appropriate.

QUESTION 8

An organization's accounts payable function improved its internal controls significantly after it received an unsatisfactory audit report.

When planning a follow-up audit of the function, what level of detection risk should be expected if the audit and sampling procedures used are unchanged from the prior audit?

- A. Detection risk is lower because control risk is lower.
- B. Detection risk is lower because control risk is higher.
- C. Detection risk is higher because control risk is lower.
- D. Detection risk is unchanged although control risk is lower.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 9

Which of the following risk assessment tools would best facilitate the matching of controls to risks?

- A. Control matrix.
- B. Internal control questionnaire.
- C. Control flowchart.
- D. Program evaluation and review technique (PERT) analysis.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 10

Which of the following is an example of sharing risk?

- A. An organization redesigned a business process to change the risk pattern.
- B. An organization outsourced a portion of its services to a third-party service provider.
- C. An organization sold an unprofitable business unit to its competitor.
- D. In order to spread total risk, an organization used multiple vendors for critical materials.

Correct Answer: B

Section: (none)

Explanation**Explanation/Reference:****QUESTION 11**

Which of the following components influences the risk consciousness of an organization's people and is the basis for all other components of enterprise risk management?

- A. Objective setting.
- B. Information and Communication.
- C. Risk Assessment.
- D. Internal Environment.

Correct Answer: D

Section: (none)

Explanation**Explanation/Reference:**

rale answer.

QUESTION 12

Which of the following is an appropriate consideration by the auditor when preparing an engagement program for a human resource audit?

- A. State the work steps in the form of questions.
- B. Use standard audit program for HR from previous years.
- C. Include in the audit program certain audit tests requested by audit client.
- D. Defer preparation of the audit program after the field work.

Correct Answer: C

Section: (none)

Explanation**Explanation/Reference:****QUESTION 13**

Which of the following would be a violation of the IIA Code of Ethics?

- A. Reporting information that could be damaging to the organization, at the request of a court of law.

- B. Including an issue in the final audit report after management has resolved the issue.
- C. Participating in an audit engagement for which the auditor does not have the necessary experience or training.
- D. Accepting a gift that is a commercial advertisement available to the public.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 14

During a payroll audit of a large organization, an auditor noted that the assistant personnel director is responsible for many aspects of the computerized payroll system, including adding new employees in the system; entering direct-deposit information for employees; approving and entering all payroll changes; and providing training for system users. After discussions with the director of personnel, the auditor concluded that the director was not comfortable dealing with information technology issues and felt obliged to support all actions taken by the assistant director. The auditor should:

- A. Continue to follow the engagement program because the engagement scope and objectives have already been discussed with management.
- B. Review the engagement program to ensure testing of direct deposits to employee bank accounts is adequately covered.
- C. Recommend to the chief audit executive that a fraud investigation be started.
- D. Test a sample of payroll changes to ensure that they were approved by the assistant director before being processed.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 15

The chief audit executive should periodically report the internal audit activity's purpose, authority, responsibility, and performance, as well as significant risk exposures and control issues, to which of the following?

- A. Board of directors.
II.Senior management.
III.Shareholders.
IV.External auditors.
- B. II only
- C. I and II only
- D. I, II, and III only

E. I, III, and IV only

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 16

An audit to test the system of controls over the purchase, distribution, and use of radioactive material is being conducted at a company's plants. The process is well documented, and employees in the safety department are very familiar with the department's procedures. Since the purchasing and facilities departments are involved in the process, the auditor is considering reviewing their radioactive material-handling procedures as well. The auditor should:

- A. Have confidence in the rigorous and detailed safety department procedures, since that department has the main responsibility for radiation safety, and should not use audit time to review other departments.
- B. Adjust the engagement schedule and budget, if needed, and interview the appropriate individuals in the purchasing and facilities departments to ascertain whether additional controls exist that complement those identified within the safety department.
- C. Test the controls identified within the safety department; if results are unfavorable, the auditor should consider whether to involve the other departments.
- D. Defer questions regarding purchasing, facilities, and other departments until audit projects can be scheduled for those departments.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 17

If an engagement client's operating standards are vague and thus subject to interpretation, the auditor should:

- A. Seek agreement with the client as to the standards to be used to measure operating performance.
- B. Determine best practices in the area and use them as the standard.
- C. Interpret the standards in their strictest sense because standards are otherwise only minimum measures of acceptance.
- D. Omit any comments on standards and the client's performance in relationship to those standards, because such an analysis would be meaningless.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 18

An employee who recently transferred into the internal audit activity has been assigned to audit the accounts payable system.

Which function, if previously performed by the auditor, would represent a conflict of interest?

- A. Monitoring the allowance for doubtful accounts.
- B. Writing procedures for the handling of duplicate payments.
- C. Signing timekeeping cards for subordinates.
- D. Reviewing shipping documents for accuracy.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 19

Which of the following describes a control weakness?

- A. Purchasing procedures are well designed and are followed unless otherwise directed by the purchasing supervisor.
- B. Pre-numbered blank purchase orders are secured within the purchasing department.
- C. Normal operational purchases fall in the range from \$500 to \$1, 000 with two signatures required for purchases over \$1, 000.
- D. The purchasing agent invests in a publicly traded mutual fund that lists the stock of one of the company's suppliers in its portfolio.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 20

Management has requested that an internal auditor serve as member of a task force that will review current receivables practices and make recommendations to improve processes. Which of the following is the most appropriate response by the internal auditor?

- A. Accept the assignment provided that such consulting services are defined in the charter.

- B. Decline the assignment because participation on task forces will impair the auditor's objectivity in future audit engagements.
- C. Accept the assignment if the auditor believes that it will not impair objectivity in future audit engagements.
- D. Do not accept the assignment because the assignment is not part of an approved audit plan.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 21

Senior management at a financial institution has received allegations of fraud at its derivatives trading desk and has asked the internal audit activity to investigate and issue a report concerning the allegations. The internal audit activity has not yet developed sufficient proficiency regarding derivatives trading to conduct a thorough fraud investigation in this area. Which of the following courses of action should the chief audit executive (CAE) take to comply with the Standards?

- A. Engage the former head of the institution's derivatives trading desk to perform the investigation and submit a report with supporting documentation to the CAE.
- B. Request that senior management allow a delay of the fraud investigation until the internal audit activity's on-staff certified fraud examiner is able to obtain the appropriate training regarding the analysis of derivatives trading.
- C. Request that senior management exclude the internal audit activity from the investigation completely and instead contract with an external certified fraud examiner with derivatives experience to perform all aspects of the investigation and subsequent reporting.
- D. Contract with an external certified fraud examiner with derivatives experience to perform the investigation and subsequent reporting, with the chief audit executive approving the scope of the investigation and evaluating the adequacy of the work performed.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 22

Which of the following corporate travel policies is least likely to be cost-effective?

- A. Negotiating corporate agreements with hotels, airlines, and car rental firms.
- B. Tracking credits for canceled airline reservations.
- C. Selecting the least expensive airline travel available, without regard to total travel time and distance.
- D. Traveling to facilities in tourist areas during the off-season when possible.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 23

Which of the following characteristics could indicate high risk?

- A. Management decisions are made by a committee of mid to higher level management personnel.
- B. The company is not in a rapidly growing industry.
- C. The company's profitability is lower than the industry norm.
- D. Management turnover has been very low.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 24

An auditor is using audit software to check inventory accuracy. Which of the following would be an indicator of poor input edit controls?

- A. Negative quantities on hand.
- B. Total dollar values of zero for some parts.
- C. Alpha characters in the field for order lead time.
- D. Reorder levels set too high.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 25

Two individuals are being considered for an audit team that is to perform a highly technical review.

Which of the following situations would preclude selection of the individual for the audit due to an objectivity concern?

- A. Person A is a member of the internal audit staff and has the required technical skills. Person A participated in a controls review of the system to be audited when it was being developed.
II. Person B is a technical specialist who understands the audit area but is not a member of the internal audit staff. Although person B has personal credibility in the information systems department to be audited, person B works for another department in the organization.
- B. I only
- C. II only
- D. Both I and II.
- E. Neither I nor II.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 26

Which of the following measurements could an auditor use in an audit of the efficiency of a motor vehicle inspection facility?

- A. The total number of cars approved.
- B. The ratio of cars rejected to total cars inspected.
- C. The number of cars inspected per inspection agent.
- D. The average amount of fees collected per cashier.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 27

A code of business conduct provides?

- A. A fraud avoidance plan that does not explicitly describe punishments for violations.
- B. A passive method of fraud deterrence.
- C. A program to anonymously report irregularities to authorities.
- D. An alternative to "tone at the top" programs.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 28

Fraud is most frequently detected by:

- A. Following up on tips from employees or citizens.
- B. Following up on analytical review of high-risk areas.
- C. Performing periodic reconciliations over cash and other assets.
- D. Performing unannounced audits or reviews of programs or departments.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 29

After several years in the engineering department, an engineer was transferred to the internal audit department. One month later, the new auditor was assigned to an assurance engagement for the engineering department. When the auditor's former engineering supervisor suggested a change in the sample selection method, the auditor consulted with the audit supervisor. They determined that the suggested method would not be as representative and that the original selection method should be used. In this situation, the auditor:

- A. Maintained an independent mental attitude and is therefore objective.
- B. Has subordinated professional judgment, and objectivity is therefore impaired.
- C. Does not have objectivity since the auditor recently transferred from the engineering department.
- D. Does not have independent organizational status since the auditor recently transferred from the engineering department.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 30

A charitable organization provides substantial grants for important medical research. Assuming marginal controls are in place, which of the following possible frauds or misuses of organization assets should be considered the area of greatest risk?

- A. Senior executives are using company travel and entertainment funds for activities that might be considered questionable.
- B. Purchases of office supplies are made from fictitious vendors.
- C. Grants are made to organizations associated with senior executives.
- D. A payroll clerk has added a fictitious employee.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 31

If earnings on financial statements for internal use only have been manipulated in the past, an internal auditor is likely to focus on which of the following?

- A. The proper accrual of payables at the end of the interim period.
- B. The timing of revenue recognition and the valuation of inventories.
- C. Whether accounting estimates are reasonable given past actual results.
- D. Whether there have been changes in accounting principles that materially affect the financial statements.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 32

Which of the following procedures would provide the best evidence of the effectiveness of a credit-granting function?

- A. Observe the process.
- B. Review the trend in receivables write-offs.
- C. Ask the credit manager about the effectiveness of the function.
- D. Check for evidence of credit approval on a sample of customer orders.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 33

Which of the following best describes how the increased use of computerization may impact an auditor's assessment of the risk of fraud?

- A. Access to assets may be available to information systems personnel as well as to computer users.
- B. Computer controls are generally less effective than human review.
- C. Overrides of key controls may require less collaboration.
- D. Audit trails are less effective.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 34

An internal auditor plans to use an analytical review to verify the correctness of various operating expenses in a division. The use of an analytical review as a verification technique would not be a preferred approach if.

- A. The auditor notes strong indicators of a specific fraud involving this account.
- B. The company has relatively stable operations which have not changed much over the past year.
- C. The auditor would like to identify large, unusual, or non-recurring transactions during the year.
- D. The operating expenses vary in relation to other operating expenses, but not in relation to revenue.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 35

Which of the following is not a benefit of using information technology in solving audit problems?

- A. It helps reduce audit risk.

- B. It improves the timeliness of the audit engagement.
- C. It increases audit opportunities.
- D. It improves the auditor's judgment.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 36

An organization has developed a large database that tracks employees, employee benefits, payroll deductions, job classifications, and other similar information. In order to test whether data currently within the automated system are correct, an auditor should:

- A. Use test data and determine whether all the data entered are captured correctly in the updated database.
- B. Select a sample of data to be entered for a few days and trace the data to the updated database to determine the correctness of the updates.
- C. Use generalized audit software to provide a printout of all employees with invalid job descriptions. Investigate the causes of the problems.
- D. Use generalized audit software to select a sample of employees from the database. Verify the data fields.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 37

In order to ensure that the internal auditors have the objectivity required by the Standards, the chief audit executive should:

- A. Demonstrate willingness to include in engagement final communications all matters believed to be important.
- B. Require all auditors to sign statements attesting to their independent mental attitudes and honest belief in their work product.
- C. Carefully assign personnel to individual audit engagements and require auditors to disclose all conflicts of interest.
- D. Appraise each auditor's performance on each audit assignment.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 38

Which of the following audit activities is within the scope of assurance activities as stated in the International Professional Practices Framework?

- A. Review a make-or-buy decision and report a recommendation to management for approval.
- B. Participate in negotiations for a corporate acquisition.
- C. Assess financing alternatives for a new generator.
- D. Perform an evaluation of management's planning process.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 39

Which of the following would be most effective in determining if the percentage of medication orders containing errors improved after a hospital installed a computerized medication-tracking system?

- A. Compare the proportion of erroneous medication orders before and after system installation for similar periods.
- B. Compare the number of errors before and after system installation for similar periods.
- C. Compare, after adjusting for the number of patients, the proportion of erroneous medication orders before and after system installation.
- D. Compare, after adjusting for the number of patients, the number of errors before and after system installation for similar periods.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 40

Which of the following would be the best source of information for a chief audit executive to use in planning future audit staff requirements?

- A. Discussions of audit needs with executive management and the audit committee.
- B. Review of audit staff education and training records.
- C. Review of audit staff size and composition of similar-sized companies in the same industry.
- D. Interviews with existing audit staff.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 41

An auditor for a large wholesaler is evaluating the controls over the approval and oversight of credit sales. Which of the following procedures would be a control weakness?

- A. The credit department is responsible for approving shipments to all customers.
- B. The finance committee of the board of directors periodically reviews credit standards.
- C. Customers who fail to meet credit requirements must pay cash for shipments upon delivery.
- D. The sales department is responsible for determining the credit ratings of customers.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 42

To determine if a new computer system is improving the use of a manufacturer's limited facilities in serving the largest number of customers, an auditor should compare.

- A. The number of reworked orders and their costs before and after system installation.
- B. Inventory and materials handling costs before and after system installation.
- C. The number of orders filled and their cycle times before and after system installation.
- D. The number of reworked orders and orders filled before and after system installation.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 43

In a manufacturing organization, all sales prices are determined centrally and are electronically sent to the distribution centers to update their sales price tables. Any pricing deviations must be approved by central headquarters. To determine how this process is functioning, an internal auditor should:

- A. Document the flow of sales price information, and determine how the table is accessed and updated.
- B. Develop a flowchart of the sales order process to determine how orders are taken and priced.
- C. Identify who approves the shipment of goods and how the goods are priced.
- D. Obtain a copy of the existing flowchart for the computer program to determine how price data are accessed.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 44

It would be appropriate for an internal audit activity to use consultants with expertise in health- care benefits when the internal audit activity is:

- A. Conducting an audit of the organization's estimate of its liability for post retirement benefits, which include health care benefits.
 - II. Comparing the cost of the organization's health care program with that of other programs offered in the industry.
 - III. Training its staff to conduct an audit of health care costs in a major division of the organization.
- B. I only
- C. I and III only
- D. II and III only
- E. I, II, and III.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 45

To assure that the technical proficiency of internal auditors is appropriate for the audit engagements to be performed, a chief audit executive should:

- A. Consider the scope of work and level of responsibility when establishing criteria for education and experience in filling internal auditing positions.
- B. Ensure that each newly hired auditor is qualified in all of the disciplines needed to accomplish the department's audit mission.
- C. Oversee a training program that matches the actual training provided with the interests of individual auditors.
- D. Require all of the audit staff to pursue a minimum number of continuing professional education hours each year.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 46

Which of the following best describes the most important criteria when assigning responsibility for specific tasks required in an audit engagement?

- A. Auditors must be given assignments based primarily upon their years of experience.
- B. All auditors assigned an audit task must have the knowledge and skills necessary to complete the task satisfactorily.
- C. Tasks must be assigned to the audit team member who is most qualified to perform them.
- D. All audit team members must have the skills necessary to satisfactorily complete any task that will be required in the audit engagement.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 47

In advance of a preliminary survey, a chief audit executive sends a memorandum and questionnaire to the supervisors of the department to be audited. What is the most likely result of that procedure?

- A. It creates apprehension about the audit engagement.
- B. It involves the engagement client's supervisory personnel in the audit.
- C. It is an uneconomical approach to obtaining information.
- D. It is only useful for audits of distant locations.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 48

Which of the following steps would not be included in a program of selecting and developing human resources for an internal audit department?

- A. Scheduling periodic meetings with individual auditors, during which the chief audit executive provides counsel regarding each auditor's performance and professional career development.
- B. Establishing an internal review team to assess the auditors' and audit department's compliance with standards, level of audit effectiveness, and compliance with departmental policy.
- C. Developing specific job descriptions for audit staff, audit managers, and other auditing positions.
- D. Establishing in-house training programs and requiring continuing education for audit staff.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 49

Auditors 1, 2, and 3 work out of various offices. Each must be assigned to one, and only one, of three audit locations (A, B, or C). The cost of sending each auditor to each location is listed below:

Audit Locations

Auditor 1

A
B
C

Auditor 2

\$200
\$300
\$400

Auditor 3

\$400
\$300
\$600

Auditor 4

\$200
\$200
\$500

The minimum cost with which this assignment can be accomplished is:

- A. \$800
- B. \$900
- C. \$1, 000
- D. \$1, 100

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 50

An audit of the quality control department is being planned. Which of the following would least likely be used in the preparation of a preliminary survey questionnaire?

- A. An analysis of quality control documents.
- B. The permanent audit file.
- C. The prior audit report.
- D. Management's charter for the quality control department.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 51

An objective for an audit of a medical research corporation is to evaluate management's controls to ensure that timely reports are submitted to sponsors of contracted research projects. In planning the audit to achieve this objective, the auditor should begin by:

- A. Reviewing policies and procedures.
- B. Interviewing a group of research managers.
- C. Observing report preparation in a number of laboratories.
- D. Sending a questionnaire to a sample of research sponsors.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 52

Which of the following internal control weaknesses would an auditor most likely detect while reviewing a flowchart that depicts the purchasing function of an organization?

- A. Purchasing policies have not been updated.
- B. The organization is not taking advantage of quantity discounts available from its suppliers.
- C. Payments for goods received have not been authorized at the appropriate level.
- D. Payments to suppliers are made before goods are received.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 53

Which source of audit evidence would provide the least value in flowcharting an organization's purchasing process?

- A. An interview with the purchasing supervisor.
- B. A review of a sample of purchase orders which were completed during the last month.
- C. A review of the purchasing policies and procedures manual.
- D. A walk-through of the process with a member of the purchasing staff.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

appropriate.

QUESTION 54

Internal auditors exercise judgment about the type and amount of information to be collected. The primary purpose of this judgment is to:

- A. Eliminate the risk of drawing incorrect conclusions.
- B. Minimize the cost of the audit engagement.

- C. Comply with the Standards.
- D. Provide a sound basis for audit observations and recommendations.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 55

Which of the following is a benefit from reduced testing during a particular phase of an audit engagement?

- A. The size of the internal audit activity can be reduced.
- B. There is less concern about assessing inherent risk.
- C. The level of planned audit risk is lowered.
- D. Additional audit hours are available for pursuing other engagement objectives.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

appropriate.

QUESTION 56

Which of the following would be the least desirable criteria against which to judge current operations of a company's treasury function?

- A. The operations of the treasury function as documented during the last audit engagement.
- B. Company policies and procedures delegating authority and assigning responsibilities.
- C. Finance textbook illustrations of generally accepted good treasury function practices.
- D. Codification of best practices of the treasury function in relevant industries.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 57

A bakery chain has a statistical model that can be used to predict daily sales at individual stores based on a direct relationship to the cost of ingredients used and an inverse relationship to rainy days. What conditions would an auditor look for as an indicator of employee theft of food from a specific store?

- A. On a rainy day, total sales are greater than expected when compared to the cost of ingredients used.
- B. On a sunny day, total sales are less than expected when compared to the cost of ingredients used.
- C. Both total sales and cost of ingredients used are greater than expected.
- D. Both total sales and cost of ingredients used are less than expected.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 58

To promote a positive image within an organization, a chief audit executive (CAE) adjusted the audit plan to focus on assurance engagements that highlighted potential costs to be saved. Negative observations were to be omitted from engagement final communications. Which action taken by the CAE would be considered a violation of the Standards?

- A. The focus of the audit function was changed without modifying the audit charter or notifying the audit committee.
 - II.Negative observations were omitted from the engagement final communications.
 - III.Cost savings and recommendations were highlighted in the engagement final communications.
- B. II only
- C. I and II only
- D. I and III only
- E. I, II, and III.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 59

Which of the following actions would be considered a violation of the Standards?

- A. Drafts of engagement communications were reviewed with the audit client to obtain input. The client's comments were considered when developing the engagement final communication.

II. An auditor participated as part of a development team to review the control procedures to be incorporated into a major computer application under development.

III. Given limited resources, the chief audit executive performed a risk analysis to determine which functions to audit.

- B. II only
- C. I and III only
- D. I, II, and III.
- E. None of the above.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 60

A manufacturer uses a materials requirements planning (MRP) system to track inventory, orders, and raw materials requirements. What condition should an auditor search for in the MRP database if a preliminary assessment indicated that inventory is understated?

- A. Item cost set at zero.
 - II. Negative quantities on hand.
 - III. Order quantity exceeding requirements.
 - IV. Inventory lead times exceeding delivery schedule.
- B. I and II only
 - C. I and IV only
 - D. II and IV only
 - E. III and IV only

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 61

To identify those components of a telecommunications system that present the greatest risk, an internal auditor should first:

- A. Review the open systems interconnect network model.
- B. Identify the network operating costs.

- C. Determine the business purpose of the network.
- D. Map the network software and hardware products into their respective layers.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 62

The chief audit executive's responsibility regarding control processes includes:

- A. Assisting senior management and the audit committee in the development of an annual assessment about internal control.
- B. Overseeing the establishment of internal control processes.
- C. Maintaining the organization's governance processes.
- D. Ensuring that the internal audit activity assesses all control processes annually.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 63

In order to save time, an audit manager no longer required that a standard internal control questionnaire be completed for each audit engagement. Does this represent a violation of the Standards?

- A. Yes, because internal control should be evaluated on every engagement and the internal control questionnaire is the mandated approach to evaluate controls.
- B. Yes, because internal control should be evaluated on every engagement and the internal control questionnaire is the most efficient method to do so.
- C. No, because auditors may omit necessary procedures if there is a time constraint, based on audit judgment.
- D. No, because auditors are not required to complete internal control questionnaires on every engagement.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 64

The primary reason that a bank would maintain a separate compliance function is to:

- A. Better manage perceived high risks.
- B. Strengthen controls over the bank's investments.
- C. Ensure the independence of line and senior management.
- D. Better respond to shareholder expectations.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 65

Which of the following would be the most useful in developing an annual audit plan?

- A. General purpose audit software.
- B. Voting software and hardware.
- C. Flowcharting and data capture software.
- D. Risk assessment software.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 66

Which of the following is not an appropriate control related to sales in a manufacturing company?

- A. Customers' orders are recorded promptly.
- B. Goods shipped are matched with valid customer orders.
- C. Goods returned are inspected for damage by the sales department and then entered into inventory.
- D. Credit department approval is required for credit sales transactions.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 67

Inadequate risk assessment would have the strongest negative impact in which of the following phases of an audit engagement?

- A. Determining the scope.
- B. Reviewing internal controls.
- C. Testing.
- D. Evaluating findings.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 68

In order to exercise due professional care as defined in the International Professional Practices Framework, an internal auditor should:

- A. Consider the probability of significant noncompliance in each audit engagement.
 - II.Perform assurance procedures with sufficient care to ensure that all risks are identified.
 - III.Weigh the cost of assurance against the benefits.
- B. I and II only
- C. I and III only
- D. II and III only
- E. I, II, and III.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 69

In developing an appropriate work program for an audit engagement, the most important factor for an audit supervisor to consider is the:

- A. Availability of records and data.
- B. Potential impact of risks.
- C. Capabilities of audit personnel.
- D. Time required to complete the engagement.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 70

Organizations that use a highly structured command-and-control management approach are at greater risk of:

- A. Delayed response due to the inability to reach consensus among decision makers.
- B. Negative consequences that result from lower-level staff's unwillingness to confront errors by superiors.
- C. Erosion of staff morale due to perceptions of ineffective leadership.
- D. Waste and abuse of organizational resources resulting from management override of controls.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 71

In order to provide the most useful information for an organization's risk management decisions, which of the following should be assessed?

- A. Risk levels for future events based on the degree of uncertainty of those events and their cost of mitigation.
- B. Inherent and control risks and their impact on the extent of financial misstatements.
- C. Risk levels of current and future events, their effect on the achievement of the organization's objectives, and their underlying causes.
- D. Risk levels of current and future events, their impact on the organization's mission, and the potential for the elimination of existing risk factors.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 72

Which of the following represents the most effective governance structure?

- A. Operating
Executive
Internal
Management
Management
Auditing
Responsibility for risk
Oversight role
Advisory role
II.
Oversight role
Responsibility for risk
Advisory role
III.
Responsibility for risk
Advisory role
Oversight role
IV.
Oversight role
Advisory role
Responsibility for risk
- B. I Only
- C. II
- D. III
- E. IV

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 73

Which of the following represents the correct order of the risk management process?

- A. Resource allocation, risk management metrics, risk assessment, post-mortem analysis, effective communication.
- B. Risk management metrics, resource allocation, risk assessment, effective communication, post-mortem analysis.
- C. Risk assessment, resource allocation, risk governance and reporting, post-mortem analysis, feedback.
- D. Resource allocation, risk monitoring, risk assessment, feedback, post-mortem analysis.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 74

Which of the following is a role of the board of directors in the governance process?

- A. Conduct periodic assessments of the organization's governance systems.
- B. Obtain assurance concerning the effectiveness of the organization's governance systems.
- C. Implement an effective system of internal controls to support the organization's governance systems.
- D. Review and approve operational goals and objectives.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 75

Which is the least effective form of risk management?

- A. Systems-based preventive control.
- B. People-based preventive control.
- C. Systems-based detective control.
- D. People-based detective control.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 76

Which of the following should be incorporated in a risk management policy?

- A. Boundaries and limit structures.
II.Requirements for reporting risk.
III.Risk authorities.
- B. I and II only
- C. I and III only
- D. II and III only
- E. I, II, and III.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 77

In an assurance engagement of treasury operations, an internal auditor is required to consider all of the following issues except:

- A. The audit committee has requested assurance on the treasury department's compliance with a new policy on the use of financial instruments.
- B. Treasury management has not instituted any risk management policies.
- C. Due to the recent sale of a division, the amount of cash and marketable securities managed by the treasury department has increased by 350 percent.
- D. The external auditors have indicated some difficulties in obtaining account confirmations.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 78

Regarding an organization's decision to retain an external audit firm, the chief audit executive (CAE) should:

- A. Work with the organization's chief financial officer to evaluate the external auditor's performance and together make the decision.

- B. Not be involved in this decision process as it would compromise the CAE's objectivity.
- C. Evaluate the external auditor's performance and retain the external auditor if quality and cost criteria are met.
- D. Assist the audit committee by facilitating the development of an appropriate evaluation process.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 79

Which of the following would provide the most reliable information on the risk associated with an auditable activity?

- A. Event scenarios with regression analysis.
- B. Past audit findings and instances of management failures.
- C. Consequences and economic predictability of loss.
- D. Management assessment and corroboration by the internal audit activity.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 80

At the beginning of fieldwork in an audit of investments, an internal auditor noted that the interest rate had declined significantly since the engagement work program was created. The auditor should:

- A. Proceed with the existing program since this was the original scope of work that was approved.
- B. Modify the audit program and proceed with the engagement.
- C. Consult with management to verify the interest rate change and proceed with the engagement.
- D. Determine the effect of the interest rate change and whether the program should be modified.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 81

In publicly held companies, management often requires the internal audit activity's involvement with quarterly financial statements that are made public and used internally. Which of the following is generally not a reason for such involvement?

- A. Management may be concerned about its reputation in the financial markets.
- B. Management may be concerned about potential penalties that could occur if quarterly financial statements are misstated.
- C. The Standards state that internal auditors should be involved with reviewing quarterly financial statements.
- D. Management may perceive that having quarterly financial information examined by the internal auditors enhances its value for internal decision making.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 82

Overall audit efficiency is enhanced between the internal and external audit functions when:

- A. Internal audit coverage is reduced to avoid potential conflicts of interest.
- B. Audits of the same department are conducted at different times.
- C. The internal audit department reviews functions or departments prior to the external audit.
- D. External audit scope is reduced based on the internal audit department's activities.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 83

When reviewing management reports to the board of directors, the internal audit activity should:

- A. Evaluate the process used to prepare the management reports.
- B. Maintain supporting documentation for the management reports.
- C. Tie all financial numbers in the reports to the general ledger.

D. Compare to prior-period reports for consistency.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 84

The internal audit activity's role in the risk assessment and management processes of an organization is determined by the:

- A. Board of directors.
- B. Chief audit executive.
- C. Risk management department.
- D. External auditors.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 85

Which of the following best contributes to the effectiveness of the internal audit activity in an organization?

- A. Appropriate terms of internal audit scope and responsibility in the charter.
- B. Appropriate compliance coverage in the annual audit plan.
- C. Regular review of the audit charter by management.
- D. Assurance of internal audit objectivity by the board.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 86

During a review of data center physical security and environmental controls, an auditor should ensure that:

- A. Visitors are accompanied by authorized personnel at all times.
II. Only developers and operators have access to the data center.
III. Fire suppression equipment is tested periodically.
IV. Fire and water detectors have been installed.
- B. I and III only
- C. II and IV only
- D. I, III, and IV only
- E. II, III, and IV only

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 87

To enhance the independence of both the internal and external audit functions, audit committees should be composed of:

- A. A rotating subcommittee of the board of directors or its equivalent.
- B. A combination of external members of the board of directors and company officers.
- C. Members from all important constituencies, specifically including representatives from banking, labor, regulatory agencies, shareholders, and officers.
- D. Only external members of the board of directors or other similar oversight committees.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 88

Which of the following is not true with regard to the internal audit charter?

- A. It defines the authorities and responsibilities of the internal audit activity.
- B. It specifies the minimum resources needed for the internal audit activity.
- C. It provides a basis for evaluating the internal audit activity.
- D. It should be approved by senior management and the board.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 89

The primary objective of risk-based auditing is to assess the:

- A. Economy of controls.
- B. Compliance with controls.
- C. Adequacy of controls.
- D. Efficiency of controls.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 90

Which of the following would be most relevant regarding the internal control environment?

- A. Assessing controls over computerized applications.
- B. Documenting the organizational structure.
- C. Comparing and validating internal performance with external benchmarking.
- D. Maintaining and reviewing detailed financial records.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 91

Due to urgent requests from management, a busy internal audit activity finds that it can no longer meet all of its commitments contained in the annual audit plan. The best course of action for the chief audit executive to take would be to:

- A. Continue with the plan and seek opportunities to adjust priorities and reallocate resources.
- B. Advise senior management and request that they reconsider these additional requests using more rigorous risk assessment and prioritization factors.
- C. Advise the board and senior management and request a reassessment of the plan.
- D. Advise the board immediately and seek their support for additional resources to meet the needs of the plan.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 92

The chairperson of an organization's audit committee has obtained a risk management report that identifies significant industry concerns that impact the organization. The chairperson has asked the chief audit executive (CAE) to review these concerns and advise if they are relevant to the organization. How should the CAE respond?

- A. Accept the engagement but communicate only with the audit committee to protect the confidentiality of the request.
- B. Decline the engagement because it is outside of the scope of the internal audit charter.
- C. Decline the engagement because it impairs the internal audit activity's independence.
- D. Accept the engagement but inform senior management of the request.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 93

During an audit engagement, an internal auditor finds that management is not complying with previous commitments made to the external auditors. However, the auditor determines management's actions to be justified due to significant changes in the business. The best course of action for the auditor to take would be to:

- A. Proceed with the audit engagement and assess the changes actually implemented by management.
- B. Inform the external auditors and seek their guidance.
- C. Inform the external auditors and remove the associated work from the internal audit scope.
- D. Compare the recommended changes against the changes made by management and advise management which action to take.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 94

Which of the following statements is correct regarding risk analysis?

- A. The extent to which management judgments are required in an area could serve as a risk factor in assisting the auditor in making a comparative risk analysis.
- B. The highest risk assessment should always be assigned to the area with the largest potential loss.
- C. The highest risk assessment should always be assigned to the area with the highest probability of occurrence.
- D. Risk analysis must be reduced to quantitative terms in order to provide meaningful comparisons across an organization.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 95

During an audit of financial contracts, an auditor learns that a relative has a substantial loan with the organization. The auditor should:

- A. Exclude the relative's information from the audited work and proceed with the audit engagement.
- B. Proceed with the audit engagement but disclose in the engagement final communication that the relative is a customer.
- C. Immediately withdraw from the audit engagement.
- D. Notify management and the chief audit executive (CAE) and have the CAE determine whether the auditor should continue with the audit engagement.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 96

The audit process used by the internal audit activity of a large wholesale clothing company does not include an engagement letter or project approval document. The most serious consequence of this deficiency in the process is that the:

- A. Audit schedule may not be optimal from the engagement client's perspective.
- B. Audit objectives may not be understood by management of the area being audited.
- C. Audit resources may not be sufficient.
- D. Audit plan priority may have changed.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 97

Which of the following situations allows for the most objectivity on the part of an internal auditor?

- A. Assessing testing procedures in a new computer system.
- B. Performing a risk assessment of a new financial instrument.
- C. Drawing conclusions from a sample of financial transactions.
- D. Comparing current environmental activities against legislation.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 98

A chief audit executive (CAE) for a specialty retailer is asked by management to review the controls in place to manage their electronic funds transfer process. The internal audit activity has no experience with similar engagements. What is the most appropriate course of action for the CAE to take?

- A. Plan the engagement and begin fieldwork using existing staff.
- B. Attempt to discourage management from the request.
- C. Hire an outside consulting firm to assist with the engagement.
- D. Defer the audit until current staff can be appropriately trained.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 99

Using the internal audit department to coordinate regulatory examiners' efforts is beneficial to the organization because internal auditors can:

- A. Influence regulatory interpretation of law to better match corporate practice.
- B. Recommend changes to the scope of the regulatory examiners' review.
- C. Perform fieldwork for the regulatory examiners and thus shorten the regulatory examiners' review.
- D. Supply evidence of adequate compliance testing through internal audit workpapers and reports.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 100

Internal auditors can benefit from a strong relationship with the external auditors because external auditors can:

- A. Provide internal auditors with an independent and knowledgeable viewpoint.
- B. Concur with the internal auditors' reports and thus improve the quality of assurance provided to management.
- C. Increase the effectiveness of internal control sampling techniques.
- D. Assist the internal auditor by providing information obtained from similar audits with other clients.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 101

Risk assessments can vary in format, but generally include.

- A. A description of identified risks.
 - II. Tests of audit controls.

III. A system of rating risks.
IV. Sample size identification.

- B. I and II only
- C. I and III only
- D. I, III, and IV only
- E. II, III, and IV only

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

appropriate.

QUESTION 102

Risk assessments are valuable to the internal audit activity's planning process because they assist in:

- A. Eliminating all areas with low risk from the audit plan.
- B. Educating management on the importance of keeping the internal audit activity informed of organizational changes.
- C. Identifying the audit universe or auditable activities that need to be reviewed.
- D. Identifying risks that management and the internal auditors have overlooked.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 103

A quantitative risk assessment model has all of the following advantages except:

- A. Accommodating a large number of risk factors in the assessment.
- B. Providing documentation for the chief audit executive, who must defend the long-range audit plan.
- C. Providing a systematic method of applying weightings to risks and priorities.
- D. Removing the need for judgment on the part of the chief audit executive.

Correct Answer: D

Section: (none)

Explanation**Explanation/Reference:****QUESTION 104**

Continuing Professional Education (CPE) hours for Certified Internal Auditors may be achieved by:

- A. Attending audit staff meetings.
- B. Verifying that all completed audit tests are fully documented.
- C. Publishing an article on the company's internal audit department.
- D. Obtaining experience on the job.

Correct Answer: C

Section: (none)

Explanation**Explanation/Reference:****QUESTION 105**

In a manufacturing company, which department would be the internal audit activity's most reliable source of information on the controls over minimizing defective goods?

- A. Manufacturing.
- B. Quality control.
- C. Research and development.
- D. Inventory management.

Correct Answer: B

Section: (none)

Explanation**Explanation/Reference:****QUESTION 106**

Internal auditors who are concerned with potential risks due to the mishandling of records or transactions should take into consideration:

- A. The type and nature of the activities to be examined.

- B. Whether employees in key positions of trust are bonded.
- C. The history of losses suffered by the company.
- D. The results of prior risk assessments.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 107

Which of the following is true with respect to the risk assessment process?

- A. The ethical climate should not be included since this factor cannot be measured quantitatively.
- B. More than one risk factor may have to be used to ensure that the risk assessment is comprehensive.
- C. Each risk factor should be given equal weighting in order to reduce the opportunity for bias.
- D. The risk assessment process should be conducted at least every three years.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 108

Which of the following lists these audit steps in the correct chronological order?

- A. Create the engagement work program.
II. Conduct the exit conference.
III. Perform fieldwork.
IV. Schedule the audit engagement.
Issue a summary report of audit findings.
- B. I, IV, III, II, V.
- C. I, IV, II, III, V.
- D. IV, I, III, II, V.
- E. IV, III, I, V, II.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 109

Which of the following would have the least impact (either positive or negative) on an assessment of a department's control environment?

- A. The department managed long-term investments, including investment in derivatives and other financial instruments, to maximize return.
- B. The department manager sets a tone of honesty and integrity in all business dealings and this tone is emulated by department personnel.
- C. Many department functions were duplicated or verified by other department employees as part of the department's normal procedures.
- D. Audit tests designed to verify compliance with control procedures detected a general failure to follow standard procedures for transaction authorization.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 110

To ensure that due professional care has been taken during an audit engagement, an internal auditor should always:

- A. Ensure that all financial information related to the engagement is included in the audit plan and examined for irregularities.
- B. Document all audit tests completely.
- C. Consider the possibility of noncompliance or irregularities at all times during an engagement.
- D. Notify the audit committee of any noncompliance or irregularity discovered during an engagement.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 111

When using a risk assessment model to develop audit plans, it is essential that the chief audit executive take into account the:

- A. Results of the last audit.

- B. Planned visits by the external auditors during the upcoming year.
- C. Recent or expected changes in management direction and objectives.
- D. Dates of future board meetings.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 112

A bank uses a risk analysis matrix to quantify the relative risk of auditable entities. The analysis involves rating auditable entities on risk factors using a scale of 1 to 10, with 10 representing the greatest risk. A partial list of risk factors and the ratings given to three of the bank's departments is provided below:

Department

Risk Factor

A

B

C

Control structure

Nature of assets in department

Dollar value of assets

Complexity of transactions

Which of the following statements regarding risk in the departments is true?

- A. As compared to departments A and C, department B has a stronger control system to compensate for the greater complexity of the department's transactions and dollar value of its assets.
- B. The internal audit activity should schedule audits of department B more often than audits of department C because of the relative control strength of department C as compared to department
- C.
- D. The nature of department A's control structure may be justified by the nature of the department's assets and the complexity of its transactions.
- E. The relative ranking of the departments in order of their risk, from greatest to least risk, is: A; C; B.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 113

An internal quality assessment of the internal audit activity should provide the chief audit executive with.

- A. Recommendations for improvement.
- B. Objectives for internal audit engagements.
- C. Confirmation of action on past audit recommendations.
- D. Appraisals of internal audit staff performance.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 114

In the annual audit of the financial statements of a company with high inherent risk and a very strong control system, the external auditor may be able to allow detection risk to rise because.

- A. Audit risk has been reduced.
- B. Control risk has been assessed at a lower level.
- C. The company's operations are very susceptible to misstatements.
- D. Whenever inherent risk is high, control risk is disregarded.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 115

An organization receives the most value from an internal audit activity's enterprise-wide risk assessment when the auditor:

- A. Focuses primarily on enterprise-level risks.
- B. Considers activities at all levels of the organization.
- C. Reviews special projects and new initiatives.
- D. Validates supporting financial and operational data.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 116

An organization's external auditor has prepared a list of risks and issues and has recommended to senior management that the internal audit activity focus on these items. Senior management has forwarded the list to the chief audit executive (CAE). The CAE should:

- A. Incorporate the external auditor's requirements into the internal audit plan.
- B. Ignore the external auditor's requirements because they are outside of the internal audit activity's planned scope of work.
- C. Consider the issues raised by the external auditor for possible inclusion in the planned scope of work.
- D. Report the risks and issues to the audit committee for possible future attention.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 117

The audit committee has asked the chief audit executive (CAE) to assist in the selection of a new external audit firm. Which of the following is an appropriate action by the CAE?

- A. The CAE and two managers from the audit staff review the bids and select one firm to meet with the audit committee for the committee's approval.
- B. The CAE develops a formal set of criteria for the audit committee to use in selecting the external auditor.
- C. The CAE, chief financial officer, and controller review the bids, interview two firms, and recommend one of the two firms to the audit committee for its approval.
- D. The CAE declines to participate in the process because providing this assistance would result in compromising the internal audit activity's objectivity.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 118

An internal audit activity's work schedule should always provide sufficient information to the audit committee to enable it to determine whether the proposed engagements:

- A. Support the organization's objectives.
- B. Include sufficient fraud awareness.
- C. Will likely result in the detection of any major risk exposures.
- D. Are likely to detect control deficiencies.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 119

The chief audit executive for an organization has just completed a risk assessment process, identified the areas with the highest risk, and assigned an audit priority to each. Which of the following statements is true and consistent with the International Professional Practices Framework?

- A. Items should be ranked in the order of quantifiable dollar exposure to the organization.
 - II. The audit priorities should be in order of major control deficiencies.
 - III. The risk assessment, though quantified, is the result of professional judgments about both exposures and probability of occurrences.
- B. I only
- C. III only
- D. II and III only
- E. I, II, and III.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 120

What role, if any, should the internal audit activity have in the process of following up on observations and recommendations made by the external auditors?

- A. The internal audit activity should have no role in this process in order to ensure independence.
- B. The internal audit activity should become involved only if the chief audit executive has sufficient evidence that the follow-up is not occurring.

- C. The internal audit activity should review the adequacy and effectiveness of management's follow-up actions.
- D. The internal audit activity should become involved only if specifically requested by management or the board of directors.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 121

A company has entered into a \$20, 000, 000 fixed-price contract with a general contractor for the construction of a new retail outlet. For this contract, which of the following would represent the greatest risk?

- A. Excessive labor charged to the project.
- B. Poor physical protection of materials and equipment.
- C. Failure to complete the project within budget.
- D. Substitution of inferior materials.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 122

In selecting an instructional strategy for developing internal audit staff, a chief audit executive should first review the:

- A. Department's budget constraints.
- B. Internal auditors' personal development needs.
- C. Content of potential training courses.
- D. Organization's objectives.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 123

Which of the following is not an appropriate role of the internal audit activity in governance activities?

- A. Support the board in enterprise-wide risk assessment.
- B. Ensure the timely implementation of audit recommendations.
- C. Monitor compliance with the organization's ethics policies.
- D. Discuss areas of significant risk.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 124

When developing the annual audit plan and reviewing risk assessment priorities, a chief audit executive should always identify the:

- A. Potential recommendations for each auditable activity.
- B. Persons to whom engagement reports will be communicated.
- C. Engagement procedures to be used during the engagements.
- D. Internal audit resources required to achieve the audit plan.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 125

Which of the following actions by a chief audit executive would be most effective in preventing fraud?

- A. Ensure that the board is aware of all fraud that has been identified or reported.
- B. Train the internal audit staff in identifying fraud indicators.
- C. Review the adequacy of all policies that describe prohibited activities.
- D. Submit an annual report to the board on all fraud that has been detected.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 126

A chief audit executive would most likely use risk assessment for audit planning because it provides:

- A. A systematic process for assessing and integrating professional judgment about probable adverse conditions.
- B. A listing of potentially adverse effects on the organization.
- C. A list of auditable activities in the organization.
- D. The probability that an event or action may adversely affect the organization.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 127

Which of the following statements regarding organizational governance is not correct?

- A. An effective internal audit function is one of the four cornerstones of good governance.
- B. Those performing governance activities are accountable to the customer.
- C. Accountability is one of the key elements of organizational governance.
- D. Governance principles and the need for an internal audit function are applicable to governmental and not-for-profit activities.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 128

Noncompliance with which of the following would cause a control deficiency related to privacy protection practices?

- A. An organization's internal privacy policies.
 - II. Financial accounting standards.

III. Privacy laws and regulations.
IV. The Standards.

- B. I and III only
- C. II and IV only
- D. II, III, and IV only
- E. I, II, III, and IV.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 129

A tax consultancy agency retains sensitive personal information regarding its clients. Which of the following is a violation of acceptable privacy practices?

- A. Copies of printed client information not used by the agency are shredded.
- B. Employees share client information with coworkers with the permission of the client.
- C. The agency only releases client information with management's approval.
- D. The agency advises clients of their privacy rights before they commence business with the agency.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 130

When an external auditor unknowingly fails to modify an opinion on financial statements that are materially misstated, this is an example of:

- A. An inherent risk.
- B. A control risk.
- C. An audit risk.
- D. A residual risk.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 131

When a risk assessment process has been used to construct an audit engagement schedule, which of the following should receive attention first?

- A. The external auditors have requested assistance for their upcoming annual audit.
- B. A new accounts payable system is currently undergoing testing by the information technology department.
- C. Management has requested an investigation of possible lapping in receivables.
- D. The existing accounts payable system has not been audited over the past year.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 132

All of the following would normally be involved in preparing for and carrying out the internal audit activity's annual plan except:

- A. Establishing policies and procedures for workpapers and referencing.
- B. Providing periodic activity reports to the audit committee on audit engagements in progress.
- C. Assessing the amount of risk in major departments.
- D. Training audit staff on appropriate audit methodologies for addressing any newly identified risks.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 133

When reviewing operational risk for a department whose manager adopts a laissez-faire style of leadership, it is most important for the internal auditor to verify that:

- A. Employee decisions follow department and company guidelines.

- B. The manager considers employees' input when designing new procedures.
- C. Employees are empowered to deal with unusual or emergency situations.
- D. Management has adopted an open-door policy to assist with communication.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 134

Which of the following factors related to an organization's performance management system would not contribute to the organization's success?

- A. Performance management is linked to competence and knowledge management.
- B. Subordinates and superiors have shared responsibility for the performance management process.
- C. Staff members own the performance management process, thereby ensuring implementation and accountability.
- D. Performance management is integrated into other organizational processes and human resource processes.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 135

A chief audit executive used risk assessment to prepare the audit work schedule. Which of the following would be the least appropriate reason to modify the schedule?

- A. Need for coordination of audit activities with the external auditors.
- B. Request for postponement since the audit would be too complicated.
- C. Change in the relative risk of auditable activities during the year.
- D. Budget constraints or expansions.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 136

Which of the following would be the most effective action for an internal audit activity to take in order to assist in improving an organization's ethical climate?

- A. Review formal and informal processes within the organization that could promote unethical behavior.
II. Conduct surveys of employees, suppliers, and customers regarding ethics.
III. Assess the employees' knowledge of and compliance with the organization's code of conduct.
- B. I only
- C. I and II only
- D. II and III only
- E. I, II, and III.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 137

Which of the following would provide the best assessment of an organization's ethical climate?

- A. Number of years that directors have been appointed to the board.
- B. Evidence of training provided to the board of directors on ethical issues.
- C. Clarity and consistency of consequences imposed by the board of directors for ethical violations.
- D. Frequency of fraud reported and results of subsequent investigations.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 138

When performing benchmarking during the planning phase of a performance audit, an internal auditor should:

- A. Determine the current performance gap.

- B. Project future performance levels.
- C. Develop functional action plans.
- D. Identify comparative organizations.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 139

A major difference between enterprise risk management and traditional risk management lies in the narrow focus of traditional risk management on:

- A. Property and liability risks.
 - II.Risks with insurance solutions.
 - III.Risks impacting organizational objectives.
- B. I and II only
- C. I and III only
- D. II and III only
- E. I, II, and III.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 140

An internal audit activity encounters a scope limitation from senior management that will affect its ability to meet its goals and objectives for a potential engagement client. The nature of the scope limitation should be.

- A. Noted in the audit workpapers, but the engagement should be carried out as scheduled, with any necessary adjustments made based on the scope limitation.
- B. Communicated to the external auditors so that they can investigate the area in more detail.
- C. Communicated, preferably in writing, to the board.
- D. Communicated to management, stating that the limitation will not be accepted because it would impair the audit activity's independence.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 141

Which statement most accurately describes how criteria are established for use by internal auditors in determining whether goals and objectives have been accomplished?

- A. Management is responsible for establishing the criteria.
- B. Internal auditors should use professional standards or government regulations to establish the criteria.
- C. The industry in which a company operates establishes criteria for each member company through benchmarks and best practices for that industry.
- D. Appropriate accounting or auditing standards, including international standards, should be used as the criteria.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 142

A company has established its environmental audit activity as part of its legal department rather than part of its internal audit activity, which reports to the audit committee. The board has requested that the chief audit executive (CAE) provide an annual opinion on whether environmental risks are being properly addressed. In these circumstances, the CAE should recommend to the audit committee that the internal audit activity:

- A. Review the recommendations in all environmental audit reports.
- B. Discuss with the environmental auditors the results of their reviews.
- C. Periodically carry out a quality assessment of the environmental audit activity.
- D. Include a review of environmental issues in some internal audit engagements.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 143

In addition to data protection, which of the following is a control that is typically used by companies to safeguard the privacy rights of their customers?

- A. End-user computing.
II.Encryption of data.
III.Spyware.
IV.Intrusion detection.
- B. II only
- C. I and III only
- D. II and IV only
- E. I, II, and IV only

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 144

According to the International Professional Practices Framework, a primary purpose of evaluating the adequacy of an organization's risk management, control, and governance processes is to determine if it:

- A. Was designed to ensure compliance with policies, plans, procedures, laws, and regulations.
- B. Provides reasonable assurance that the organization's objectives will be met.
- C. Mitigates inherent risk.
- D. Assures the reliability and integrity of information used by management.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 145

Which of the following statements, if true, could justify an auditor's decision not to report governance-related control deficiencies to the audit committee?

- A. Management plans to initiate corrective action.
- B. The board of directors has a separate corporate governance committee.
- C. The amounts and the potential risks associated with the deficiencies are not material to the overall organization.
- D. Governance issues are complex and the auditor should rely on management's analysis of the extent of the problem.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 146

The primary role of the internal audit activity in regard to an organization's ethical climate is to:

- A. Participate as chief ethics officer.
- B. Periodically assess the ethical climate.
- C. Utilize surveys to evaluate employee ethics.
- D. Demonstrate ethical behavior.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 147

A chief audit executive (CAE) is obtaining information required by a regulatory oversight body and discovers a situation that requires management to take immediate corrective action. What is the best course of action for the CAE to take?

- A. Wait until all of the information has been gathered and reported to the oversight body before reporting the situation to management.
- B. Check with legal counsel to determine whether the situation can be reported to management before all information has been submitted to the oversight body.
- C. Report the situation to management immediately.
- D. Schedule an engagement to explore the situation in depth, before reporting to either management or the oversight body.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 148

Which of the following is the most important limitation on the effectiveness of audit committees?

- A. Audit committees may be composed of independent directors; however, those directors may have close personal and professional friendships with management.
- B. Audit committee members are compensated by the organization and thus favor a stockholder view.
- C. Audit committees devote most of their efforts to external audit concerns and do not pay much attention to internal auditing and the overall control environment.
- D. Audit committee members do not normally have degrees in the accounting or auditing fields.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 149

Which of the following is a key performance indicator for an internal audit function?

- A. Audit expenditures compared to financial budgets.
- B. Percent of required continuing education hours completed.
- C. Implementation of new audit computer software.
- D. Frequency of meetings with the board members.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 150

In order to effectively handle conflict between audit team members, an audit team leader should:

- A. Avoid addressing the conflict until the leader is sure that there is a problem.
- B. Be assertive and keep the team members focused on a resolution.
- C. Ask one of the team members to resolve the issue by being more conciliatory.
- D. Transfer one of the team members to another assignment.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 151

In a well-developed management environment, the internal audit activity would.

- A. Report the results of audit engagements to line management as well as to senior management.
- B. Conduct regularly scheduled audits of existing systems and initial audits of new computer systems after they have begun operating.
- C. Interface primarily with senior management, minimizing interactions with line managers who are the subjects of internal audit work.
- D. Focus on the maintenance of accounting controls (such as segregation of the duties of authorization, recording, and custody) and report results to the audit committee.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 152

Which of the following processes should be included in a benchmarking activity?

- A. Identify key measures.
 - II. Collect data on performances and practices.
 - III. Identify opportunities for improvement.
- B. II only
- C. I and III only
- D. II and III only
- E. I, II, and III.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 153

The chief audit executive (CAE) routinely provides activity reports to the board during quarterly board meetings. Senior management has asked to review the CAE's board presentation before each board meeting so that any issues or questions can be discussed beforehand. The CAE should:

- A. Provide the activity reports to senior management as requested and discuss any issues that may require action to be taken.
- B. Not provide activity reports to senior management because such matters are the sole province of the board.
- C. Disclose only those matters in the activity reports that pertain to expenditures and financial budgets of the internal audit activity.
- D. Provide information to senior management that pertains only to completed audit engagements and observations available in published engagement final communications.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 154

Management should be included in the development of the audit plan in order to:

- A. Provide assurance that past audit recommendations have been properly implemented.
- B. Select the audit tests that will be used for each engagement.
- C. Verify that the highest risks are included in the risk-based audit plan.
- D. Guarantee access to the organization's sites and records for audit work.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 155

The primary reason that a chief audit executive (CAE) reviews external audit management letters and management response is to:

- A. Select areas to emphasize in future internal audit engagements.
- B. Check the effectiveness of external audit resources used.
- C. Ensure that comments in the letter are supported by evidence.
- D. Verify that there has been no duplication of internal audit work.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 156

Which of the following statements is correct regarding corporate compensation systems and related bonuses?

- A. A bonus system should be considered part of the control environment of an organization and should be considered in formulating a report on internal control.
 - II. Compensation systems are not part of an organization's control system and should not be reported as such.
 - III. An audit of an organization's compensation system should be performed independently of an audit of the control system over other functions that impact corporate bonuses.
- B. I only
- C. II only
- D. III only
- E. II and III only

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 157

Which of the following elements should an auditor recommend for inclusion in an organization's code of ethics?

- A. Ethics should vary with local customs in the organization's foreign operations.
 - II. Whistle-blowing should be discouraged because it can cause distrust among employees and false accusations which waste organizational resources on investigations.
 - III. Ethical behavior should not be incorporated into performance evaluations because it is too subjective and controversial.
- B. I only
- C. II only
- D. I, II, and III.
- E. None of the above.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 158

The chief commodity trader for a large energy company learns from a friend that a competitor will likely fail its upcoming regulatory audit and will be forced to temporarily decrease production. If the information is true, the trader has short-term opportunities to make trades that will financially benefit the trader's company and will lead to a substantial increase in the trader's performance bonus. However, if the information is not true, making the trades will significantly increase the company's risk of being caught in a long position. From an ethical perspective, which of the following would be the most appropriate course of action for the trader to take?

- A. Make the trade because the company and the trader will both benefit.
- B. Have another trader on staff make the trade in order to avoid a conflict of interest.
- C. Disclose the information to the risk oversight committee but proceed with the trade to capitalize on the opportunity.
- D. Defer the decision to management and risk the loss of the trading opportunity.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 159

The best reason for separating the cash-receiving function from the related record-keeping function is to:

- A. Segregate cash payments from cash receipts.
- B. Provide accountability for cash received.
- C. Minimize misappropriations in cash receipts.
- D. Improve physical security over the cash-receiving function.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 160

The main reason to establish internal controls in an organization is to:

- A. Encourage compliance with policies and procedures.
- B. Safeguard the resources of the organization.
- C. Ensure the accuracy, reliability, and timeliness of information.
- D. Provide reasonable assurance on the achievement of objectives.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 161

Which of the following is the primary concern of an internal auditor in a comprehensive audit of an organization?

- A. Accuracy of reports on the source and use of funds.
- B. Extent of achievement of the organization's mission.
- C. Confirmation of compliance with policies and procedures.
- D. Appropriateness of procedures related to the budgeting process.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 162

According to the Standards, which of the following must an internal auditor take into consideration when performing an assurance engagement of treasury operations?

- A. The audit committee has requested assurance of the treasury department's compliance with a new policy on the use of financial instruments.
 - II. Treasury management has not instituted any risk management policies.
 - III. Due to the recent sale of a division, the amount of cash and marketable securities managed by the treasury department has increased by 350 percent.
 - IV. The external auditors have indicated some difficulties in obtaining account confirmations.
- B. I and II only
- C. I and IV only
- D. I, II, and III only
- E. II, III, and IV only

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 163

If management has not established a risk management process, the internal audit activity could.

- A. Take a proactive role that supplements traditional assurance activities.
- B. Identify and mitigate risks to the organization.
- C. Assume responsibility for the management of identified risks.
- D. Assume primary responsibility for determining if adequate and effective processes are in place.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 164

Which of the following audit findings would have the least impact (either positive or negative) on a department's control environment?

- A. The department makes long-term investment risk decisions to maximize return on investment.
- B. The department manager sets and demonstrates a tone of honesty and integrity in all business dealings.
- C. Many department functions are duplicated or verified by other department employees.
- D. Deficiencies were found in the appropriate authorization of transactions.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 165

When developing an effective risk-based plan to determine audit priorities, an internal audit activity should start by:

- A. Identifying risks to the organization's operations.
- B. Observing and analyzing controls.
- C. Prioritizing known risks.
- D. Reviewing organizational objectives.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 166

Which of the following elements is important for an internal auditor to consider when performing a privacy risk assessment of an organization?

- A. Areas where personal information is collected, used, stored, and disseminated.
 - II. Inherent risk.
 - III. Privacy practices of competitors.
 - IV. Third-party recipients of information.
- B. III only
- C. I and II only
- D. I, II, and IV only
- E. I, II, III, and IV.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 167

A dental insurance provider has implemented an electronic claim submission process and is concerned that dentists are submitting claims for services that were not provided. Which of the following control procedures would be most effective in preventing this type of fraud?

- A. Develop a program that identifies procedures performed on an individual which are either in excess of expectations based on the age of the insured or are similar to other procedures recently performed on the individual.
- B. Require all submitted claims to be followed by a signed statement by the dentist testifying to the fact that the claimed procedures were performed.
- C. Send confirmations to the dentists requesting them to confirm the exact nature of the claims submitted to the insurance provider.
- D. Develop an integrated test facility and submit false claims to verify that the system is detecting such claims on a consistent basis.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 168

Reportable audit findings must be:

- A. Documented by facts.
 - II.Supported by relevant evidence.
 - III.Agreed to by management of the audited area.
 - IV.Convincing enough to compel corrective action.
- B. I and IV only
- C. II and III only
- D. I, II, and IV only
- E. I, II, III, and IV.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 169

Risk within an internal audit engagement is defined as the:

- A. Probability that a balance or class of transactions and related assertions contain misstatements that could be material to the financial statements.
- B. Uncertainty of an event occurring that could have an impact on the achievement of objectives.
- C. Failure to adhere to organizational policies, plans, and procedures, or the failure to comply with relevant laws and regulations.
- D. Failure to accomplish established objectives and goals for operations or programs.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 170

The percentage of orders that are rush orders and the percentage of returns to total orders are examples of which of the following types of control activities?

- A. Quality control monitoring.
- B. Direct functional management.
- C. Benchmarking.
- D. Performance indicators.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 171

According to the International Professional Practices Framework, risk is:

- A. Defined as the negative effect of events that are expected to occur.
 - II.Measured in terms of consequences.
 - III.Measured in terms of likelihood.
- B. I only
- C. I and II only
- D. II and III only
- E. I, II, and III.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 172

When planning the work program for an assurance engagement, an internal auditor should first review the department's business objectives and then:

- A. Identify risks.
- B. Review controls.

- C. Determine scope.
- D. Evaluate vulnerabilities.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 173

It is important for a chief audit executive to seek formal approval from the board regarding an internal audit charter so that:

- A. The effectiveness of the internal audit activity can be measured.
- B. The status of the internal audit activity can be more clearly established.
- C. There is assurance that all internal audit activities will be completed.
- D. Improvements can be implemented in internal audit processes.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 174

Which of the following actions by a chief audit executive is most likely to prevent exaggerated sales reports by division management?

- A. Hire a new internal auditor who has fraud investigation credentials.
 - II. Assist the controller in developing and monitoring a series of business process indicators which are historically correlated with, but independent of, sales.
 - III. Announce a series of internal audit engagements focusing on compliance with corporate sales-reporting policies.
 - IV. Ask the president and the board to issue a statement of corporate policy stressing the importance of accurate management reporting and the negative consequences of intentional misreporting.
- B. I and II only
- C. II and III only
- D. III and IV only
- E. I, II, III, and IV.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 175

In assessing the independence of the internal audit activity, a member of a peer review team should consider all of the following factors except:

- A. Access to and frequency of communications with the board of directors or its audit committee.
- B. The criteria of education and experience considered necessary when filling vacant positions on the audit staff.
- C. The degree to which auditors assume operating responsibilities.
- D. The scope and depth of engagement objectives for the audit engagements included in the review.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 176

Which of the following best describes the procedures used by the representatives of an organization's stakeholders to provide oversight of the processes administered by management?

- A. Governance
- B. Control
- C. Risk management
- D. Monitoring

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 177

Which of the following is most likely to be an element of an effective compliance program?

- A. The internal audit activity is assigned responsibility for overseeing the program.

- B. The program is communicated to employees in a video format on a one-time basis.
- C. The organization uses monitoring systems designed to detect improper activity.
- D. The organization obtains as much information as possible when performing background checks on employees.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 178

Which of the following internal controls is likely to prevent pollution from waste disposal before it occurs, rather than detect it after it occurs?

- A. Identification of large budget variances in disposal costs for hazardous chemicals.
- B. Restricted access to environmental department files.
- C. Formal on-the-job training program conducted by the environmental staff.
- D. Samples of water and solid waste taken daily with the results recorded in a log.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 179

Which of the following controls would most likely prevent the input of an unreasonable number of labor hours into a costing system?

- A. Recalculation tests during processing.
- B. Programmed limit tests of input fields.
- C. Reconciliation of input control totals.
- D. Consistency checks of data in input fields.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 180

A daily report which lists unsuccessful attempts to log on to a computer system is A.

- A. Corrective control.
- B. Preventive control.
- C. Detective control.
- D. Compensating control.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 181

Which of the following should be the primary objective of an audit of an entity's business continuity plan?

- A. Cost of testing and updating the plan.
- B. Delegation of responsibilities for the plan.
- C. Relationship of the plan to risk exposures.
- D. Efficiency of the planning procedures.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 182

Some of a company's payroll transactions were batch posted to the payroll file but were not uploaded correctly to the general ledger file on the mainframe. The best control to detect this type of error would be.

- A. Edit controls on the payroll file.
- B. Appropriate segregation of duties for batch approval.
- C. Validation of hash totals.
- D. Reconciliation of paychecks to the bank account.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 183

Which of the following would be the best example of a monitoring control for a chain of restaurants?

- A. Each restaurant manager reconciles the cash received with the food orders recorded on the computer.
- B. All food orders must be entered through the computer, and there is segregation of duties between the food servers and the cooks.
- C. Corporate management prepares a detailed analysis of gross margin per restaurant and investigates those showing a significantly lower gross margin.
- D. Proof of bank deposit is transmitted to corporate headquarters on a daily basis.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 184

Why is the concept of residual risk important?

- A. Because residual risk is difficult to measure.
- B. Because residual risk is all of the risk that remains after controls are established.
- C. Because the cost-benefit analysis supporting control design is part of the measure of residual risk.
- D. Because the risk that remains after control design and implementation needs to be acceptable to senior management.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 185

The first stage in the development of a crisis management program is to:

- A. Formulate contingency plans.
- B. Conduct a risk analysis.
- C. Create a crisis management team.
- D. Practice the response to a crisis.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 186

A major corporation is considering significant organizational changes. Which of the following groups would not be responsible for implementing these changes?

- A. Employees.
- B. Senior management.
- C. Common stockholders.
- D. Outside consultants.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 187

According to the International Professional Practices Framework, a review team must express an opinion on which of the following when performing an external assessment of an internal audit activity?

- A. Conformance with the Standards and IIA Code of Ethics.
 - II. Effectiveness of continuous improvement activities.
 - III. Feedback from internal audit customers and other stakeholder groups.
 - IV. Efficiency and effectiveness of the internal audit activity's administration processes.
- B. I only
- C. III only
- D. I and II only
- E. II and IV only

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 188

When planning an audit engagement, what should an internal auditor first consider when assessing the risk of fraud in the area to be audited?

- A. Impact of and exposure to fraud.
- B. Existence of evidence of fraud.
- C. Organizational structure.
- D. Management's risk appetite.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 189

Which of the following risk factors is most subjective?

- A. Changes in staff, systems, or the environment.
- B. Prior audit findings.
- C. Size of the unit being audited.
- D. Competency of operating management.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 190

Which aspect of the audit function would be most impacted by a lack of coordination between an organization's internal and external auditors?

- A. Responsiveness.
- B. Timeliness.
- C. Effectiveness.
- D. Efficiency.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 191

An organization's chief audit executive (CAE) has been asked to monitor and report on any violations of the organization's code of conduct. The CAE should:

- A. Review and adjudicate all complaints.
- B. Lead the committee responsible for the oversight of the code.
- C. Develop specific procedures to ensure that the code is clearly communicated to all employees.
- D. Participate in an advisory capacity on the committee that adjudicates any violations.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 192

Which of the following is least likely to enhance the independence of an internal audit activity?

- A. The existence of a formal written charter for the internal audit activity.
- B. Submission of an annual internal audit work plan to the audit committee.
- C. A direct reporting relationship to the audit committee.
- D. Adherence to the organization's position classification structure.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 193

Which of the following reporting relationships results in the greatest impairment to the independence of the chief audit executive (CAE)?

- A. The CAE reports administratively and functionally to the president.
- B. The CAE reports administratively to the president and functionally to the board.
- C. The CAE reports administratively to the chief financial officer and functionally to the president.
- D. The CAE reports administratively to the audit committee and functionally to the chief operating officer.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 194

An employee who recently transferred into the internal audit activity has been assigned to audit the accounts payable system. Which function, if previously performed by this employee, would represent a conflict of interest?

- A. Monitoring the allowance for doubtful accounts.
- B. Writing procedures for the handling of duplicate payments.
- C. Signing timekeeping cards for subordinates.
- D. Reviewing shipping documents for accuracy.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 195

A company's chief audit executive determines that the internal audit staff does not have the requisite skills to conduct an audit of the financial derivatives area. Which of the following actions would be the least acceptable?

- A. Notify the audit committee of the problem and consult with them regarding outsourcing the audit engagement to a qualified external auditing firm.
- B. Determine the requisite knowledge needed and obtain the proper training for auditors if such training is available within the appropriate time framework outlined by the audit committee.

- C. Notify the audit committee of the problem and assign the most competent auditors to perform the audit engagement.
- D. Employ the skills of a financial derivatives expert to consult on the project, and supplement the consulting with a local seminar on financial derivatives.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 196

During an audit engagement in an insurance company, an internal auditor discovered that senior management had purposely misclassified \$200, 000 in assets on financial statements submitted to regulatory authorities in order to avoid significant statutory penalties. To remain in compliance with the IIA Code of Ethics, what would be the most appropriate action for the auditor to take?

- A. Note the situation in the workpapers and inform the chief executive officer.
- B. Send an informative memo to the external auditors.
- C. Discuss the matter with audit management and ensure that the audit committee is informed.
- D. Report the matter to regulatory authorities since senior management is implicated.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 197

During an audit of financial contracts, an internal auditor learns that a relative has a substantial loan with the organization. The auditor should:

- A. Exclude the relative's information from the audited work and proceed with the audit engagement.
- B. Proceed with the audit engagement but disclose in the engagement final communication that the relative is a customer.
- C. Immediately withdraw from the audit engagement.
- D. Notify management and the chief audit executive (CAE) and have the CAE determine whether the auditor should continue with the audit engagement.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 198

How should management obtain assurance that employees are complying with the organization's security policy?

- A. Regularly conduct independent reviews of employees' security practices.
- B. Routinely survey staff so that information related to security practices can be submitted anonymously.
- C. Rely on exception reports to identify errors.
- D. Enforce a policy that requires all employees to sign a statement that they will adhere to the organization's security policies.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 199

What is the primary purpose of a risk management program?

- A. Reduce risk to a tolerable level.
- B. Reduce all risks regardless of costs.
- C. Transfer all risks to external third parties.
- D. Identify every significant risk to avoid it.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 200

Within the internal audit process, which of the following is not a significant advantage of employing a control model?

- A. It provides guidance on identifying control deficiencies for each internal audit engagement.
- B. It recognizes the need to evaluate both hard and soft controls.
- C. It assists internal auditors in assessing the achievement of management's objectives.

D. It validates the findings and recommendations of the internal audit.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 201

An organization's chief audit executive (CAE) has been asked to conduct an assurance engagement for an information technology system that was subject to a consulting engagement in the prior year. How should the CAE respond?

- A. Decline the engagement because independence and objectivity would be impaired.
- B. Delay the assurance engagement to ensure that there is a two-year period between the engagements.
- C. Accept the engagement and assign different auditors to conduct the assurance services.
- D. Facilitate a control self-assessment workshop instead of performing an assurance engagement.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 202

According to the Standards, a review team must express an opinion on which of the following when performing an external assessment of an internal audit activity? 1.Conformance with the Standards and IIA Code of Ethics. 2.Effectiveness of continuous improvement activities. 3.Feedback from internal audit customers and other stakeholder groups. 4.Efficiency and effectiveness of the internal audit activity's administration processes.

- A. 1 only
- B. 3 only
- C. 1 and 2 only
- D. 2 and 4 only

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 203

To develop greater internal auditing expertise, the chief audit executive (CAE) has been assigning the same relatively inexperienced team of internal auditors to a series of engagements spanning several months. Is this practice consistent with the Standards?

- A. Yes. The CAE is promoting the professional development of the staff.
- B. Yes. The experience will quickly build specialized skills and competencies.
- C. No. The team should collectively possess the competencies appropriate for the engagements.
- D. No. Teams should be comprised of both experienced and inexperienced auditors.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 204

Which of the following would be the least significant consideration when performing a risk analysis?

- A. Financial exposure and potential loss.
- B. Skills available within the audit staff.
- C. Results of prior audits.
- D. Major operating changes.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 205

Which of the following is correct regarding the implementation of a quality assurance and improvement program for the internal audit function?

- A. The board has the primary responsibility for implementation of a robust quality assurance and improvement program for internal audit.
- B. An internal audit function that is fully complying with internal assessment of quality can confidently claim it is performing in conformity with the International Professional Practices Framework.
- C. The chief audit executive can establish a formal quality assurance and improvement program that is led by an audit manager.
- D. A quality assurance and improvement program is applicable depending on the size and complexity of the audit function.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 206

Which of the following are appropriate ways to obtain continuous professional education? 1.Instructing at a local IIA training event.

2.Attending internal audit conferences and seminars.

3.Practicing specialized audit and consulting work.

4.Participating in research projects in internal auditing.

A. 1 and 3 only

B. 1 and 2 only

C. 3 and 4 only

D. 1, 2, and 4 only

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 207

Which of the following processes or tools can be used as ongoing internal assessments of the performance of the internal audit activity?

1.Analyses of audit plan completion and cost recoveries. 2.Selective peer reviews of work papers by staff involved in the respective audits. 3.Self-

assessment of the internal audit activity with on-site validation by a qualified independent reviewer.

4.Feedback from audit customers and stakeholders.

A. 1 only

B. 1 and 2 only

C. 3 and 4 only

D. 1, 2, and 4 only

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 208

Which of the following are appropriate responsibilities of the audit committee in relation to the chief audit executive (CAE)?

1.Approving the internal audit charter.
2.Approving decisions regarding the appointment and removal of the CAE. 3.Approving the risk management strategy for the organization. 4.Making appropriate inquiries of management and the CAE to determine whether there are inappropriate scope and resource limitations.

- A. 1 and 2 only
- B. 1, 2, and 3 only
- C. 1, 2, and 4 only
- D. 2, 3, and 4 only

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 209

Which of the following internal auditor attributes are affected by a conflict of interest?

- A. Independence and authority.
- B. Authority and proficiency.
- C. Independence and objectivity.
- D. Objectivity and due professional care.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 210

Which of the following is the most appropriate outcome measure for assessing safety operations?

- A. Number of inspections conducted.
- B. Tests made of equipment.

- C. Reduction in machine down time due to accidents.
- D. Number of operations observed.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 211

Which of the following would be a violation of the objectivity of a certified internal auditor? 1.Accepting a motivational book from a major vendor. 2.Attending a professional sporting event as the guest of a corporate supplier. 3.Performing an internal audit engagement for a division 18 months after having controllership responsibility for that division. 4.Designing and implementing a corporate-wide utilities cost containment program.

- A. 1 and 3 only
- B. 2 and 3 only
- C. 2 and 4 only
- D. 1, 3, and 4 only

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 212

An organization that outsources much of its internal audit work to an external service provider is planning for an external quality assessment. Which of the following options would accomplish this task and be in conformance with the Standards?

- A. Engaging an external industry associate that performed a similar review for a supplier of the organization.
- B. Selecting a team from an independent entity that previously employed the chief audit executive of the organization.
- C. Using a team under the direction of the organization's chief audit executive, and obtaining validation from a former manager of the internal audit activity.
- D. Using the same external service provider because of its competency and experience with the organization.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 213

In order to use "Conducted in accordance with the International Standards for the Professional Practice of Internal Auditing, " an internal audit activity must:

- A. Satisfy all requirements of the International Professional Practices Framework during each internal audit engagement.
- B. Complete an external assessment of quality assurance to demonstrate compliance with the Standards.
- C. Establish a continuous quality assurance and improvement program.
- D. Have its charter reviewed and approved by management and the board.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 214

Which of the following is the best example of a strategic objective?

- A. Opening a new product line.
- B. Adhering to laws and regulations.
- C. Attaining a specified sales target.
- D. Safeguarding assets.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 215

A daily log of treasury dealers who exceeded their authorized limits serves as a:

- A. Preventive control.
- B. Detective control.

- C. Feed-forward control.
- D. Directive control.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 216

Which of the following are acceptable resources for a chief audit executive to use when developing a staffing plan?

- 1.Co-sourcing arrangements.
- 2.Employees from other areas of the organization.
- 3.The organization's external auditors.
- 4.The organization's audit committee members.

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2, and 4 only

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 217

Which of the following would most likely function as a detective control?

- A. Security dogs.
- B. Alert employees.
- C. Insurance claims.
- D. Cycle counts.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 218

One of an organization's quality objectives is to reduce the amount of rework needed in the production cycle.

Which of the following controls would be the least effective in achieving this objective?

- A. Machinery is routinely maintained to avoid production malfunctions.
- B. Employees are rewarded for suggestions that lead to quality improvements.
- C. Quality inspectors are assigned to identify any defects in the finished product.
- D. Daily reconciliations are performed between finished goods and the number of rejects.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 219

Some of an organization's payroll transactions were batch posted to the payroll file but were not uploaded correctly to the general ledger file on the mainframe. The best control to detect this type of error would be:

- A. Edit controls on the payroll file.
- B. Appropriate segregation of duties for batch approval.
- C. Validation of hash totals.
- D. Reconciliation of paychecks to the bank account.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 220

Which of the following is the primary advantage of using a computer assisted audit technique (CAAT) to provide a higher level of assurance?

- A. CAATs can select an appropriate sample size for testing and thus provide higher level of assurance.

- B. CAATs are more objective than the traditional methods in interpreting the results.
- C. CAATs can examine the whole of population of transactions, rather than a sample, in order to identify exceptions and trends.
- D. CAATs can process the results faster and thus give a higher level of assurance.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 221

Which of the following statements is not true?

- A. The nature of consulting services that are performed by the internal audit activity should be defined in the audit charter.
- B. It is inappropriate for internal auditors to provide consulting services relating to operations for which they had previous responsibilities.
- C. A party outside the internal audit activity should oversee assurance engagements for functions over which the chief audit executive has responsibility.
- D. The chief audit executive should decline a consulting engagement if the internal audit staff lacks the knowledge, skills, or other competencies needed to perform all or a part of the engagement.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 222

Which of the following factors is not likely to affect the level of inherent risk associated with an application system?

- A. The system is strategic.
- B. Controls over the system appear reliable.
- C. The system is not a critical operating system.
- D. The system uses complex technology.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 223

Which of the following should an internal auditor possess in order to fulfill the responsibilities of the internal audit activity?

- A. Proficiency in applying management principles in order to stand in for the chief financial officer.
- B. An understanding of management principles in order to evaluate deviations from good practices.
- C. An appreciation of internal audit standards in order to recognize problems.
- D. Proficiency in accounting principles in order to conduct fraud investigations.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 224

Which of the following statements best describes the competency requirement for an auditor regarding fraud risks encountered in an engagement execution?

- A. The auditor should be able to have comparable competencies of a person whose primary responsibility is detecting and investigating fraud.
- B. The auditor must have sufficient knowledge to evaluate the risk of fraud and the manner in which it is managed by the organization.
- C. The auditor is not expected to have any competency requirement regarding fraud since the role of investigating and detecting fraud belongs to other functions in the organization.
- D. The auditor must be able to have an appreciation of the fundamentals of fraud detection and investigation techniques.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 225

An external quality assurance review which was authorized by the chief audit executive (CAE) indicated significant findings from the Standards. To whom should the final results of the quality assurance review be reported?

- A. Confidentially to the CAE only
- B. The CAE with copies to the board and senior management.

- C. To the board with copies to the external auditor or regulatory oversight body.
- D. To the senior management with a copy to the board.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 226

Which of the following topics would a chief audit executive most likely include with their report to the board?

- A. The status of labor contract negotiations at the largest manufacturing plant.
- B. A significant level of senior management turnover throughout the organization.
- C. A recent management hire to oversee labor concerns.
- D. Analyses of recent increases in overtime.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 227

An organization's sales professionals are potentially abusing the use of cellular phones, resulting in an alarming increase in telephone expenses. Which of the following controls is least likely to curb this abuse?

- A. Developing periodic reports to management that show type, length, and number of calls per sales professional, with related totals and comparisons.
- B. Requiring sales professionals to pay monthly cellular phone bills and subsequently submit only business calls for reimbursement using an expense report process.
- C. Requiring sales managers to approve monthly bills prior to payment, explain budget variances, and explain increases from previous periods.
- D. Requiring authorization of the cellular phone bill payment by the manager of the telecommunications department.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 228

During the planning phase of an audit of suspected overbilling on contracts for security services, an internal auditor should perform all of the following except:

- A. Interview an official of the security services company to determine the cause of recent increases in billings for services.
- B. Interview the manager who requested the audit engagement.
- C. Obtain a copy of the contract between the two organizations.
- D. Prepare an engagement program.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 229

In preparing for an audit of the footwear division of a major retail organization, an internal auditor gathered the following information about the organization's stores:

	All Stores	Northeast Region	Southwest Region	Central Region
Average sales per store	\$736,000	\$840,000	\$760,000	\$630,000
Average cost of goods sold per store	\$375,000	\$420,000	\$325,000	\$395,000
Number of stores	48	13	18	17
Average square feet per store	1800	2200	1850	1550
Average sales per full-time employee	\$137,000	\$152,000	\$140,000	\$122,000
Average wage-related expense per store	\$98,000	\$102,000	\$82,000	\$112,000
Average net profit per store	\$238,000	\$285,000	\$320,000	\$115,000

In addition to labor costs, the other costs associated with each store are leasing and maintenance expenses. Which of the following is a valid conclusion?

- A. Sales per store are directly related to the size of the store.
- B. Employees are less productive in larger stores.
- C. Gross margin is directly related to the size of the store.
- D. Cost of goods sold is directly related to the size of the store.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 230

Which of the following internal control weaknesses would an internal auditor most likely detect while reviewing a flowchart that depicts the purchasing function of an organization?

- A. Purchasing policies have not been updated.
- B. The organization is not taking advantage of quantity discounts available from its suppliers.
- C. Payments for goods received have not been authorized at the appropriate level.
- D. Payments to suppliers are made before goods are received.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 231

An internal auditor pays to participate in the company's annual golf tournament, which is held outside of normal business hours.

The auditor wins the putting contest and is awarded an all-expense-paid weekend vacation.

According to the IIA Code of Ethics regarding objectivity, the auditor's best course of action would be to:

- A. Refuse the prize because the amount is significant.
- B. Accept the prize because the event was held outside of normal business hours.
- C. Refuse the prize because it represents an impairment to objectivity.
- D. Accept the prize because the auditor received no special treatment.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 232

An internal auditor audited a department store's cash function. Which of the following actions would indicate a lack of due professional care by the auditor?

- A. Based on a well-designed system of internal controls over the cash function, the audit report assured senior management that no irregularities existed.
- B. A flowchart of the entire cash function was developed but only samples of transactions were tested.
- C. The audit report included a well-supported recommendation for a reduction in staff even though such a reduction might adversely impact morale.
- D. The auditor informed appropriate authorities within the organization about suspected wrongdoing but did not inform external authorities.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 233

Which of the following would be an appropriate outcome of a quality assurance and improvement program in an internal audit activity?

- 1.Modification of resources.
- 2.Corrections to procedures.
- 3.Changes in processes.
- 4.Implementation of new technology.

- A. 2 and 4 only
- B. 3 and 4 only
- C. 1, 2, and 3 only
- D. 1, 2, 3, and 4

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 234

Which of the following actions by the internal audit activity provides strong evidence that it is organizationally independent?

- A. It reviews engagement results for evidence of undue influence before releasing the final report.
- B. It requires all internal audit staff to sign annual non-disclosure and potential conflict of interest statements.
- C. It maintains direct interactions with the audit committee or board.
- D. It releases an approved internal audit charter stating that the internal audit activity is independent.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 235

Which of the following statements is correct with regard to risk management?

- A. The board's responsibility for risk management cannot be assigned to a board committee, such as a board risk committee.
- B. The chief audit executive is accountable to the board for designing, implementing and monitoring the risk management process.
- C. The total process of risk management, which includes a related system of internal control, is the responsibility of the board.
- D. The finance director is responsible for the overall implementation of the risk management process.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 236

A receiving department receives copies of purchase orders for use in identifying and recording inventory receipts.

The purchase orders list the name of the vendor and the quantities of the materials ordered.

A possible error that this system could allow is:

- A. Payment to unauthorized vendors.

- B. Payment for unauthorized purchases.
- C. Overpayment for partial deliveries.
- D. Delay in recording purchases.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 237

Which of the following is least likely to be considered material in an audit of a medium-sized organization?

- A. A \$1, 000 overstatement of the accrued-vacation payable account.
- B. A violation of a government statute.
- C. Fraud resulting in a cash loss to the organization.
- D. An underpayment to the employee pension fund.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 238

Which of the following items of evidence is most valid to support a finding that a public utility's repair crews are sometimes required to work under unsafe conditions?

- A. Videotapes of repair crews working in a situation that is unsafe.
- B. Audio taped testimonials from repair crew members who were required to work under unsafe conditions.
- C. Reports showing increases in the number of days of sick leave for individuals on repair crews.
- D. Written and signed descriptions from repair crew members of the unsafe conditions that they have had to endure.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 239

Which of the following sources of evidence would be least persuasive regarding potential waste and inefficiency on the part of a contractor?

- A. The contractor's certification that it has not incurred any waste or inefficiencies.
- B. A walk-through of the contractor's manufacturing and development facilities.
- C. An examination of the nature of contract expenses incurred.
- D. A comparison of contract expenses with those of similar projects.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 240

During a review of a division's operations, an internal auditor notes that sales and customer base are unchanged, while inventory and gross margin have increased significantly. Which of the following audit procedures would be most relevant in substantiating management's assertion that the gross margin increase is due to increased efficiency in manufacturing operations?

- A. Obtain a physical count of inventory.
- B. For a sample of products, compare costs-per-unit this year to those of last year, test cost build-ups, and analyze standard cost variances.
- C. Take a physical inventory of equipment to determine if there were significant changes.
- D. Select a sample of finished goods inventory and trace raw materials cost back to purchase prices in order to determine the accuracy of the recorded raw materials price.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 241

The work papers for an audit of hazardous-materials handling and disposal at an engineering research facility provide evidence that the following procedures were performed. Drums of hazardous waste not yet shipped off-site were inventoried. The physical count agreed with the company's inventory records.

A sample of hazardous-waste shipments received at the disposal site was compared to bills of lading and company records. No errors were detected. The audit staff observed engineering personnel during the handling of hazardous materials. No company policy violations were noted.

The reconciliation of waste drums to the inventory records provides evidence that:

- A. Hazardous-waste materials were being disposed of as prescribed by company policy.
- B. The amount of hazardous materials being used was accurately recorded.
- C. Records of drums shipped to the waste disposal site were being maintained.
- D. All hazardous-waste drums in inventory were accounted for.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 242

An internal auditor for a large bank is reviewing the collectability of a loan that is secured by real property. The best evidence of the loan's collectability would be:

- A. A recent independent appraisal of the value of the real property.
- B. A document showing the loan committee's approval of the loan.
- C. The borrower's confirmation of the loan balance.
- D. A properly completed and signed loan application form.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 243

New credit policies have been implemented in an automated order-entry system to improve the collection of receivables. Sales management has compiled several examples that show decreased sales and delayed order entry, and contends that these examples are a direct result of the new credit-policy constraints. Sales management's data and information provide:

- A. Feedback control data.
- B. Irrelevant and argumentative information.
- C. Evidence that the new credit policies do not meet the stated corporate objective to improve collections.
- D. A statistically valid conclusion about the impact of the new credit policies on customer goodwill.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 244

Which of the following results from computer assisted audit techniques provides the most significant indication that additional audit work is needed?

- A. Several exact matches were found when vendor and employee addresses were compared.
- B. The sum of credit entries on the bank statement did not equal the sum of collections for the same period.
- C. Sorting the check register file by vendor name identified missing sequences of check numbers.
- D. Matching the accounts payable transaction file with the purchase order request file resulted in many differences between the person requesting the purchase order and the person authorizing payment.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 245

An internal auditor prepared a workpaper that consisted of a list of employee names and identification numbers as well as the following statement: "A statistical sample of 40 employee personnel files was selected to verify that they contain all documents required by company policy 501 (copy attached). No exceptions were noted."

The auditor did not place any audit verification symbols on this workpaper.

Which of the following changes would most improve the auditor's workpaper?

- A. Use of audit verification symbols to show that each file was examined.
- B. Removal of the employee names to protect their confidentiality.
- C. Justification for the sample size.
- D. Listing of the actual documents examined for each employee.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 246

When comparing an organization's current performance to that of the prior year, an internal auditor found that:
Total labor costs had increased.
More overtime costs had been incurred.
The total number of workers had increased.
Net income was 10 percent lower.
Based solely on this information, which of the following is a valid conclusion?

- A. Net income per worker decreased.
- B. Wage rates increased.
- C. Worker efficiency decreased.
- D. Total labor hours increased.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 247

An internal auditor would most likely judge an error in an account balance to be material if the error involves:

- A. A data input function.
- B. A large percentage of net income.
- C. An unverified routine transaction.
- D. An unusual transaction for the company.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 248

What conclusion can be reached by comparing a random sample of vendor invoices to purchase orders?

- A. No duplicate invoices were received.
- B. No duplicate payments were made.
- C. Invoices were for authorized purchases.
- D. Authorized invoices were paid.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 249

An internal auditor has taken an attributes sample of a bank's existing loan portfolio. Out of a sample of 60 loans, the auditor found:

Four that were not properly collateralized.

Five that were not in compliance with bank policies (other than lack of collateralization). Four that were part of a related-party group, but were set up as separate loan entities. Of the 60 loans selected in the sample, these errors were noted on a total of 10 loans.

Several loans had multiple problems.

Which of the following conclusions can the auditor reach from these observations?

1. There is sufficient evidence that fraudulent activity is taking place by one or more of the bank's lending officers.
2. The financial statements will be misstated as a result of these actions.
3. There are significant noncompliance audit findings that should be reported.

- A. 3 only
- B. 1 and 2 only
- C. 1 and 3 only
- D. 2 and 3 only

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 250

Which of the following, if observed, would not indicate the need to extend the search for other indicators of fraud in a purchasing department?

- A. The standard of living of one of the purchasing agents has increased.

- B. The internal control structure has significant weaknesses.
- C. The purchasing agents have convinced management to adopt a policy of paying vendors on a more timely basis in order to avoid incurring penalty charges.
- D. The cost of goods procured seems to be excessive in comparison with previous years.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 251

Which of the following might alert an internal auditor to the possibility of fraud in a division? 1.The division is not scheduled for an external audit this year.

2.Sales have increased by 10 percent.

3.A significant portion of management's compensation is directly tied to reported net income of the division.

- A. 1 only
- B. 3 only
- C. 1 and 2 only
- D. 1, 2, and 3

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 252

A production division received 45 responses to a customer-service survey distributed to 100 purchasing departments randomly selected from all customers who made purchases in the prior 12 months. Which of the following is the most likely reason that the division manager would be concerned about nonresponse bias in this situation?

- A. The sample means and standard errors are more difficult to compute.
- B. Those who did not respond may be systematically different from those who did.
- C. The sample size is too small.
- D. Confidence intervals are narrower.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 253

An internal auditor is using mean-per-unit sampling to estimate the value of health benefit claims for a period. The auditor's desired precision is \$20,000. If the achieved precision is \$10,000, which of the following conditions is implied?

- A. The value of claims is overstated.
- B. The value of claims is understated.
- C. The standard deviation is smaller than expected.
- D. The standard deviation is larger than expected.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 254

An internal auditor is designing a sampling plan to test the accuracy of daily production reports over the past three years. All of the reports contain the same information except that Friday reports also contain weekly totals and are prepared by managers rather than by supervisors. Production normally peaks near the end of a month. If the auditor wants to select two reports per month using an interval sampling plan, which of the following techniques reduces the likelihood of bias in the sample?

- A. Estimating the error rate in the population.
- B. Using multiple random starts.
- C. Increasing the confidence level.
- D. Increasing the precision.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 255

Which of the following is a common error made in designing multiple-choice questions in a survey questionnaire?

- A. Unipolar rather than bipolar labels are used for the response categories.
- B. The alternative response categories for the questions are not mutually exclusive.
- C. Likert scaling is used instead of semantic differential scaling.
- D. The question itself uses terms that are very familiar to the respondent.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 256

An internal auditor is checking the accuracy of a computer-printed inventory listing to determine whether the total dollar value of inventory is significantly overstated. Because there is no time or resources to check all items in the warehouse, a sample of inventory items must be used. If the sample size is fixed, which of the following would be the most accurate sampling approach?

- A. Select those items that are most easily inspected.
- B. Employ simple random sampling.
- C. Sample so that the probability of a given inventory item being selected is proportional to the number of units sold for that item.
- D. Sample so that the probability of a given inventory item being selected is proportional to its book value.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 257

Which of the following is not an advantage of face-to-face interviews over electronic surveys?

- A. The response rate is typically higher.
- B. Interviewers can increase a respondent's comprehension of questions.
- C. Survey designers can use a wider variety of question types.
- D. They are less expensive to distribute and compile data.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 258

An internal auditor used a questionnaire during an interview to gather information about the nature of credit sales processing. The questionnaire did not cover some pertinent information offered by the person being interviewed, and the auditor did not document the potential problems for further investigation. The primary deficiency with the above process is that:

- A. The auditor failed to consider the importance of the information offered.
- B. A questionnaire was used in a situation where a structured interview should have been used.
- C. The use of a questionnaire precluded the auditor from documenting other information.
- D. The engagement program was incomplete.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 259

A retail sales company has discontinued a product that normally sold for \$100. During the first month of a sale of the product, a 20 percent discount was given. Later that sale price was reduced by an additional 40 percent. What was the overall discount from the original selling price?

- A. 60 percent.
- B. 52 percent.
- C. 48 percent.
- D. 30 percent.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 260

A company produces a product that consists of materials X, Y, and Z. The product is mixed so that:
The quantity of material X used is one-third more than that of material Y. The quantity of material Y used is one-fourth less than that of material Z.

If the company used 24, 000 units of material Z during a period, what is a reasonable estimate of the amount of material X used?

- A. 8, 000
- B. 18, 000
- C. 24, 000
- D. 32, 000

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 261

Which of the following is true of a horizontal flowchart as compared to a vertical flowchart?

- A. It provides more room for written descriptions that parallel the symbols.
- B. It brings into sharper focus the assignment of duties and independent checks on performance.
- C. It is usually longer.
- D. It does not provide as broad a picture at a glance.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 262

After completing a net present value (NPV) calculation on a proposed project, an analyst explores the change in NPV with changes in the interest rate. This additional analysis is referred to as:

- A. Decision analysis.
- B. Simulation.
- C. Sensitivity analysis.
- D. Variance analysis.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 263

Once the cause of a problem has been identified, the next step is to:

- A. Select a solution.
- B. Generate alternative solutions.
- C. Identify the problem.
- D. Consider the reaction of competitors to various courses of action.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 264

A chief audit executive (CAE) of a major retailer has engaged an independent firm of information security specialists to perform specialized internal audit activities. The CAE can rely on the specialists' work only if it is:

- A. Performed in accordance with the terms of the contract.
- B. Carried out in accordance with the Standards.
- C. Performed under the supervision of the information technology department.
- D. Carried out using standard review procedures for retailers.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 265

During an audit of a major contract, an internal auditor finds that actual hours and dollars billed are consistently at or near budgeted amounts. This

condition is a red flag for which of the following procurement fraud schemes?

- A. Defective pricing.
- B. Cost mischarging.
- C. Fictitious vendor.
- D. Bid rotation.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 266

Which of the following is characteristic of embezzlement?

- A. Favors from a supplier that is attempting to gain advantage when selling its products.
- B. Unlawful conversion of assets that are in the possession of an employee.
- C. Misrepresentation of material facts in order to mislead others to part with something of value.
- D. Stealing of material of value by unknown persons from outside the organization.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 267

In which of the following situations would fishbone diagrams be most useful?

- A. The problem is complicated and the root cause is unknown.
- B. Team members cannot effectively communicate with each other.
- C. The team is too small for brainstorming to be effective.
- D. The team consists of experts who can resolve problems without much difficulty.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 268

The results of an internal control questionnaire revealed that all investment activity exceeding \$10, 000 must be approved by the assistant treasurer. A sample of these transactions with a five- percent acceptable error rate found that 98 of the 100 items tested included the assistant treasurer's approval. Based on this data, the auditor should:

- A. Confirm all investment activity with the firm's broker since errors in approval had occurred.
- B. Decide not to perform further testing of investment authorizations.
- C. Contact the corporate finance department to verify all of the investments held.
- D. Perform an analytical review of investment transactions in comparison with prior years to identify significant fluctuations.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 269

Which of the following would provide the best evidence of compliance with an airline's standard of having aircraft refueled and cleaned within a specified time of arrival at an airport?

- A. Vendor fuel invoices that have been reconciled to inventory records.
- B. Time cards completed by aircraft cleaning and fueling crews.
- C. Observation of selected aircraft while they are being refueled and cleaned.
- D. Comparison of the standard hourly labor costs for cleaning and fueling personnel with actual labor charges.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 270

Company A has a formal comprehensive corporate code of ethics while company B does not. Which of the following statements regarding the existence of the code of ethics in company A can be logically inferred?

1. Company A exhibits a higher standard of ethical behavior than does company B.
2. Company A has established objective criteria by which an

employee's actions can be evaluated. 3. The absence of a formal corporate code of ethics in company B would prevent a successful audit of ethical behavior in that company.

- A. 2 only
- B. 3 only
- C. 1 and 2 only
- D. 2 and 3 only

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 271

During a routine audit of a customer service hotline, an internal auditor noticed that an unusually high number of customer complaints pertained to payments not being applied to the customers' accounts. Which of the following would most likely be the reason for the high volume of complaints?

- A. An ineffective customer service department.
- B. Poor controls in the invoice approval processes.
- C. Check tampering by an employee.
- D. Submission of fraudulent expense reports.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 272

Which of the following data collection strategies systematically tests the effects of various factors on an outcome?

- A. Content analysis.
- B. Sampling.
- C. Evaluation synthesis.
- D. Modeling.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 273

Which of the following statements is true about visual observation during an audit engagement? 1. Visual observations should not be documented as the facts have not been substantiated. 2. Complex conditions observed should be verified prior to communicating observations to management.

3. Visual observations can be used to detect ineffective controls, idle resources, and safety hazards.

4. Visual observation can be used during both preliminary survey and fieldwork stages of the audit engagement.

- A. 1 and 2 only
- B. 3 and 4 only
- C. 1, 2, and 4 only
- D. 2, 3, and 4 only

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 274

An engagement manager is reviewing the results of sampling work performed by staff internal auditors. Which interim report statement should immediately give the engagement manager cause for concern about the nature and quality of the sampling procedure?

- A. The acceptable risk of assessing control risk too low is 10%, the tolerable deviation rate is 5%, the expected population deviation rate is 1%, sample size is 80 out of a large population.
- B. The acceptable risk of assessing control risk too low is 5%, the tolerable deviation rate is 5%, the expected population deviation rate is 5%, the sample size is 1580.
- C. The acceptable risk of assessing control risk too low is 5%, the tolerable deviation rate is 5%, the expected population deviation rate is 1%, the confidence expressed is 95%.
- D. The acceptable risk of assessing control risk too low is 10%, the tolerable deviation rate is 5%, the true, but unknown population rate is less than 5%, the achieved upper deviation limit is 4.8%.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 275

Which of the following is considered a common red flag indicator in helping to uncover fraud?

- A. Improper segregation of duties.
- B. Repeated poor performance.
- C. Termination from previous employer.
- D. Experiencing financial difficulty.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 276

Which of the following, other than the internal audit charter, is most likely to define the purpose, authority, and responsibility of the internal audit activity (IAA)?

- A. The chief audit executive job description.
- B. The internal audit policy statement.
- C. The organization's charter to conduct operations.
- D. The IAA vision statement.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 277

According to the IIA Code of Ethics, the deliberate omission of relevant information from an audit report would violate which principle?

- A. Honesty.
- B. Competency.
- C. Responsibility.

D. Integrity.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 278

A chief audit executive (CAE) submits internal audit activity (IAA) plans and information about significant interim changes to senior management and the board for review. Which other piece of information should the CAE provide to senior management and the board?

- A. Identification of proposed consultants and support staff for the IAA.
- B. The most recent engagement of each member of the audit staff and its duration.
- C. The CAE's preferred statistical analysis methods and relevant software to be utilized.
- D. Resource requirements and resource limitations.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 279

The chief audit executive is revising policies relating to independence and objectivity of the internal audit activity. Which of the following would be a part of the revised policies document?

- A. Any auditor that received high-value gifts from an audit client must report it to their supervisor.
- B. Any auditor that received gifts of low-value promotional items from an audit client must report it to their supervisor.
- C. An auditor does not need to complete an annual conflict of interest form unless the auditor's independence status has changed.
- D. An auditor may provide consulting services relating to operations for which they had previous responsibilities.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 280

The chief audit executive (CAE) wants to ensure that there are sufficient resources available to fulfill the responsibilities of the internal audit activity in the coming year. Which statement describes the most logical sequence of events for the CAE to undertake in order to achieve this objective?

- A. Confirm audit plan; confirm budget; review existing resources; identify outstanding resource requirements.
- B. Review prior year audit plan; review existing resources; confirm new audit plan; confirm budget.
- C. Confirm budget; review existing resources; obtain any new resources required; confirm new audit plan.
- D. Review results of prior year audit plan; adjust current plan accordingly; hire required resources; confirm budget.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 281

In which of the following circumstances is it apparent that the internal auditor exercised due professional care in carrying out his duties?

- 1.The internal auditor weighed the cost of the engagement against its potential benefits. 2.The internal auditor used anonymous information from a whistleblower to report the existence of fraudulent activity.
3.The internal auditor found minor and major instances of fraud and highlighted only the major instances in its report, in consideration of the board's limited time. 4.The internal auditor decided to use new auditing software to assist with the statistical analysis required during the engagement.

- A. 1 and 2 only
- B. 2 and 3 only
- C. 3 and 4 only
- D. 1 and 4 only

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 282

Which of the following is not a typical objective of any training plan developed for internal audit activity staff?

- A. Consistency.
- B. Economy.

- C. Quality.
- D. Relevance.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 283

According to IIA guidance, which of the following best describes acceptable methods for internal auditors to obtain qualified continuing professional education hours?

- A. Volunteering in relevant professional organizations, formal education, and online training courses.
- B. Volunteering in relevant professional organizations, formal education, and tutoring college students.
- C. Volunteering in relevant professional organizations, on-line training courses, and tutoring college students.
- D. Formal education, on-line training courses, and tutoring college students.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 284

According to IIA guidance, which of the following statements is true regarding the reporting of results from a quality assurance and improvement program review of the internal audit activity?

- A. A report on the results of the assessment is issued upon completion, and progress on implementing recommended improvements must be reported monthly.
- B. The results are reported upon completion in confidence directly to the board, and management is advised only of the recommendations and improvement action plans.
- C. The results are shared with the board and management upon completion, and monitoring of recommended improvements must be reported at least annually.
- D. The results are communicated upon completion to the board and management, but action plans for recommended improvements do not have to be reported.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 285

Feedback on engagements from audit clients, annual benchmarking of the internal audit activity's (IAA's) performance against best practice, and analyses of project budgets and audit plan completion are all tools that can best be used by the IAA for which purpose?

- A. Completing internal assessments.
- B. Determining the level of residual risk.
- C. Identifying conflicts of interest.
- D. Developing control processes.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 286

Which type of control is designed to directly mitigate internal and external risks at the organizationwide level, furthering the achievement of many overall organizational objectives?

- A. Process-level control.
- B. Entity-level control.
- C. Transaction-level control.
- D. Complementary control.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 287

A small not-for-profit organization with limited resources is unable to adequately maintain appropriate segregation of duties. Considering the organization's resource constraints, which type of controls would best mitigate segregation of duty risks?

- A. Application controls.
- B. Detective controls.
- C. Preventive controls.
- D. Compensating controls.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 288

According to the COSO Enterprise Risk Management - Integrated Framework, which of the following statements is true regarding the role of risk appetite in an organization?

- A. Risk appetite reflects the organization's risk philosophy and influences its operating style.
- B. A high risk appetite may limit capital investment in high risk areas.
- C. Risk appetite is determined in part by how an entity allocates its resources.
- D. Risk appetite is often best measured in the same units as its related objective.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 289

Which domain of the COBIT framework addresses the maintenance and change management of existing systems to ensure alignment with business needs and objectives?

- A. Plan and organize.
- B. Deliver and support.
- C. Monitor and evaluate.
- D. Acquire and implement.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 290

According to IIA guidance, which of the following risk management process evaluation findings would the internal audit activity consider most effective?

- A. Relevant risk information is captured and communicated in a periodic manner to management.
- B. Risk management processes are monitored through an annual assessment.
- C. Risk responses align with the organization's risk appetite.
- D. Strategic risks with low residual values are continuously monitored.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 291

An employee is more likely to commit fraud if which of the following red flags are present? 1.The employee believes that he is being underpaid and deserves a higher salary. 2.The employee is close to retirement and has expressed a desire to take an expensive trip around the world. 3.The employee has personal financial problems and seems very unhappy. 4.The employee is spending much more time at the office than usual and has been asking about opportunities for professional advancement.

- A. 1 and 2 only
- B. 1 and 3 only
- C. 3 and 4 only
- D. 2 and 4 only

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 292

A senior manager asks the chief audit executive (CAE) to explain why statistical sampling is the best method to use in conducting an internal audit. Which advantages should the CAE point to in order to justify the internal audit activity's (IAA) use of statistical sampling?

- A. Statistical sampling sets limits on resources used for the IAA, allows for a subjective interpretation of the IAA's sampling results, and supports The Institute of Internal Auditors' requirements for using questionnaires as a sampling tool.
- B. Statistical sampling allows for evaluation of all organizational data at once, increases the likelihood that risks are immediately identified, and does not require a level of tolerable misstatement or margin of error.
- C. Statistical sampling allows for the selection of a minimum sample size, provides a quantitative expression of the IAA's sampling results, and supports extrapolation.
- D. Statistical sampling itself identifies root causes of issues, utilizes a qualitative method for analyzing results, and supports engagement objectives through the use of external benchmarking.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 293

An internal auditor obtains spreadsheets created by the finance department of an organization. The internal auditor contacts a third party about the source data that was utilized to create the spreadsheets before going on to perform a ratio analysis and a comparison of budget versus actual data. What is the most likely reason that the internal auditor involved a third party before performing further analysis?

- A. To determine if a later re-performance for testing mechanical accuracy would be possible.
- B. To confirm that the spreadsheets could be used as a source of analytic data.
- C. To determine what future usage limitations the spreadsheets might have.
- D. To obtain a reliable verification about the accuracy of the source data.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 294

An internal auditor is preparing a draft observation based on her assessment of an accounts payable process. Which of the following is a process recommendation?

- A. Authorization policy for accounts payable was not followed for payments above \$10, 000.
- B. Authorization policy requires two levels of approval for all payments above \$10, 000.
- C. Because of non-compliance with authorization policy, inappropriate payments may be made for payments above \$10, 000.

D. The accounts payable authorization actions for all payments should be automated.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 295

During the planning phase of an audit, an internal auditor preliminarily concluded that the controls for a process were adequately designed to manage the associated risk. Under what conditions might this preliminary assessment subsequently prove to be unreliable?

- A. Compensating controls from other processes were not present.
- B. Redundant controls are not in place to enhance well designed controls.
- C. Entity level controls are informal and not consistently enforced.
- D. Process controls were not developed from an existing key control checklist.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 296

Which of the following is not part of the five-attribute approach to developing documentation for an audit observation?

- A. Condition.
- B. Effect.
- C. Management response.
- D. Recommendation.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 297

Which of the following types of information would an internal auditor expect to find in the supporting documentation for a high-level accounts payable process flowchart?

- A. A copy of the new customer request form.
- B. An overview of the steps for validating invoices.
- C. The number of payments paid before the due date of the invoice.
- D. The payment terms and credit limit of the vendor to be paid.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 298

Which type of documentary evidence gathered by an organization's internal auditors has the highest level of reliability?

- A. Inventory test counts.
- B. Bank statements.
- C. Remittance advices.
- D. Written policy statements.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 299

An internal auditor is testing, on a sample basis, whether invoices paid between January 1 and December 31 are supported by appropriately approved purchase orders. Over 25, 000 invoices were paid during the fiscal year, which runs from the first of April to the end of March. The auditor sets the acceptable risk of assessing control risk too low at 5% and the tolerable deviation rate at 5%. The internal auditor consults the previous audit and sets the expected population deviation rate at 1%. Sample size (77) is selected from a table and rounded up to 80. No sample deviations were found. The upper deviation limit was 3.7%.

Which of the following statements represents a valid conclusion regarding this information?

- A. I am 95% confident that the true, but unknown, population deviation rate is less than or equal to 3.7%. Results indicated that the sample size was too small, as no sample deviations were found.

- B. I am 95% confident that the actual population deviation rate is 3.7%. Since this is less than the tolerable deviation rate, quantitative attribute testing results indicate that the control is effective.
- C. I am 95% confident that the true, but unknown, population deviation rate is less than or equal to 3.7%. The quantitative attribute testing results indicate that the control is effective.
- D. I am 95% confident that the true, but unknown, population deviation rate is less than or equal to 3.7%. The quantitative attribute testing results indicate that the control is not effective.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 300

Which of the following is not considered one of the most common red flags for perpetrators of fraud?

- A. Excessive control issues.
- B. Repeat performance issues.
- C. Unusually close association with customers.
- D. Experiencing financial difficulty.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 301

Which of the following is a component of the internal audit value proposition endorsed by IIA guidance?

- A. Insight.
- B. Independence.
- C. Integrity.
- D. Competency.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 302

The chief audit executive needs to revise the internal audit activity's (IAA) charter. The revision must address the element of authority. Which of the following statements meets this requirement?

- A. The IAA shall identify and assess all potential risks to the operations of the organization.
- B. The IAA shall be granted access to all records relevant to the performance of its duties.
- C. Following its assessment, the IAA shall recommend risk control processes and resource management strategies.
- D. The IAA shall deliver an initial report of its findings to the organization's board within 120 days of the beginning of the engagement.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 303

According to the Standards, which of the following statements best describes the required content of the chief audit executive's (CAE) report to senior management and the board on the internal audit activity (IAA)?

- A. The CAE must report on significant risk exposures, control issues, and governance issues.
- B. The CAE must report on policies, procedures, and best practices of the IAA.
- C. The CAE must report on quality assurance techniques, statistical analysis methods, and other analytical processes used.
- D. The CAE must report on auditors' continuing education activities, staffing changes, and any outsourcing to external parties.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 304

An internal auditor has been engaged to assess fraud risks associated with a new financial software system.

Which competency would best help the auditor complete the task?

- A. Expertise in identifying information technology risks.
- B. A thorough understanding of organizational governance principles.
- C. Proficiency in creating and utilizing process maps.
- D. Knowledge of key management and business principles.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 305

According to IIA guidance, which of the following statements is correct concerning the knowledge, skills, and competencies required to fulfill the responsibilities of the internal audit activity (IAA)?

- A. The IAA must collectively possess the knowledge, skills, and competencies needed to perform all engagements.
- B. Each internal auditor in the IAA must possess the competencies required to detect and investigate fraudulent transactions.
- C. The IAA must not decline any engagement based solely on a lack the necessary knowledge, skills, and competencies to perform it.
- D. The competencies of external service providers must be assessed by the chief audit executive before the IAA can use external service providers' work.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 306

Which of the following best describes the trait that an internal auditor exercises when considering the extent of work needed to achieve the engagement's objectives?

- A. Independence.
- B. Due professional care.
- C. Objectivity.
- D. Proficiency.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 307

What would a chief audit executive most likely recommend that an internal auditor do to prepare for an increased demand in advisory services?

- A. Participate in continuing professional development activities, such as training courses or rotations into other business units.
- B. Review records from prior engagements to determine how best to align the current engagement activities with prior activities.
- C. Expand the scope of every future internal audit activity to all parts of the organization, rather than only the departments identified in the activity's charter.
- D. Specialize in one specific aspect of internal auditing, such as risk assessment or information technology controls.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 308

According to IIA guidance, which of the following is the most likely obstacle to undertaking a quality assurance and improvement program by the internal audit activity?

- A. The size of internal audit department under review.
- B. The time commitment to complete.
- C. The lack of independence and objectivity.
- D. The inability to adequately fund the program.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 309

With regard to external assessments of an internal audit activity (IAA), which of the following is the chief audit executive required to discuss with the board?

- A. External reviewer conflicts of interest, and the need for an external assessment more frequently than once every five years.
- B. External reviewer conflicts of interest, and the timeline of the external assessment.
- C. The need for an external assessment more frequently than once every five years, and the simplest method for the external reviewer to join the IAA's organization.
- D. The simplest way for the external reviewer to join the IAA's organization, and the timeline of the external assessment.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 310

Performing a monthly analysis of potential duplicate invoices paid to suppliers is an example of which type of fraud control?

- A. Preventive control.
- B. Corrective control.
- C. Proactive control.
- D. Detective control.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 311

Which of the following are typical management control activities?

- A. Reconciliation, planning, and inquiry.
- B. Reconciliation, planning, and documentation.
- C. Reconciliation, inquiry, and documentation.
- D. Planning, inquiry, and documentation.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 312

Which of the following definitions best describes enterprise risk management?

- A. Enterprise risk management is narrower than internal control and focuses on managing the risk of loss resulting from external events.
- B. Enterprise risk management is narrower than internal control and focuses on risk mitigation strategies across the enterprise.
- C. Enterprise risk management is broader than internal control and focuses on risk identification and management, and assurance that business objectives will be met.
- D. Enterprise risk management is broader than governance and internal control, and focuses on activities designed to ensure that risks are contained at a level acceptable to the enterprise.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 313

According to the COSO framework, which of the following is not a principle of internal control?

- A. Management's philosophy and operating style.
- B. Human resource policies and practices.
- C. Integrity and ethical values.
- D. Risk assessment.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 314

According to IIA guidance, which of the following best describes how risks are measured?

- A. Likelihood and probability.
- B. Impact and relevance.

- C. Velocity and rate of occurrence.
- D. Likelihood and impact.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 315

An internal auditor is planning an operational audit of the accounts payable function. Which of the following best mitigates the risk of the organization being a victim of disbursement fraud by employees?

- A. Accounts payable payment records are checked against supplier invoices.
- B. Accounts payable are aged by vendors.
- C. The accounts payable trial balance is reconciled to the general ledger.
- D. The accounts payable function is properly segregated from the cash custody function.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 316

Which of the following is a limitation of using observation as a manual audit procedure?

- A. Observation provides information at a certain time and makes it difficult to draw representative conclusions.
- B. Observation is not as persuasive as inquiry due to a lack of direct evidence.
- C. Observation is performed specifically to test the validity of documented or recorded information.
- D. Observation may cause individuals to behave less critically or carefully if they are aware that other forms of manual audit procedures have already taken place.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 317

Which of the following should be the first step that an internal auditor takes to establish data integrity when building an audit working copy of a large database?

- A. Search for anomalies in the extracted information.
- B. Verify that all required data was downloaded.
- C. Review the data for statistical patterns.
- D. Ensure that the data is efficiently organized within the database.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 318

Which of the following represents the most useful function of inventory turnover analysis?

- A. Identifying excess inventory, including obsolete inventory.
- B. Determining the best supplier of raw materials based on cost comparison.
- C. Creating new staffing positions for inventory support.
- D. Developing more efficient methods for manufacturing finished products.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 319

Which of the following situations would most likely result in the auditor in charge (AIC) recommending that the staff auditor further investigate non-compliant items?

- A. A staff auditor conducted a test of 25 non-statistical sample items, selected judgmentally, and 5 are not in compliance with organizational policy.
- B. A staff auditor conducted a test of 85 non-statistical sample items, selected randomly, and 5 are not in compliance with organizational policy.
- C. Before the staff auditor conducted a test of statistical sample items, the AIC was already aware of underlying control weaknesses.

D. A staff auditor conducted a test of statistical sample items, the results of which fall below the acceptable error rate by less than one percentage point.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 320

A chief audit executive (CAE) is planning to issue an annual report concluding on the overall effectiveness of the organization's internal control system. According to the Standards, which of the following is likely the most significant challenge facing the CAE when creating the report?

- A. The opinion must include difficult to measure risks such as the risks of management override of controls, and collusion among dishonest personnel.
- B. The opinion is dependent on complex analyses of numerous internal audit engagements carried out over the prior year.
- C. The opinion is only issued once a year, limiting its usefulness.
- D. Assessing control effectiveness is complicated by inherent risks.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 321

Which of the following best describes an appropriate form of working paper standardization?

- A. Uniform cross referencing system.
- B. Customized layouts for each specific audit area.
- C. Comprehensive data lists from information databases.
- D. Audit client review and approval.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 322

An internal auditor is assessing the risk of employees falsifying reimbursement requests for business-related meals or travel. Which of the following procedures would the internal auditor most likely perform first?

- A. Review the supplemental documentation provided for a sample of reimbursement requests.
- B. Interview the payroll/accounting supervisor to determine what controls exist to prevent fraud.
- C. Determine whether or not the payroll/accounting department has been subject to regular review.
- D. Establish a flowchart of the payroll/accounting functions that include any controls currently in place.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 323

An internal auditor is gathering evidence for an organization's internal audit engagement and requests a sample of vendor invoices from the organization. Which of the following is true regarding the reliability of this evidence?

- A. The invoices have zero reliability.
- B. The invoices have low reliability.
- C. The invoices have medium reliability.
- D. The invoices have high reliability.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 324

Management has decided to invest significant capital in a new and innovative large computer system. They understand that they are one of the first organizations to implement this system, but they believe the benefits outweigh the uncertainty over the performance and reliability of the software. This decision best describes which aspect of risk management?

- A. Risk appetite.
- B. Risk tolerance.
- C. Residual risk.

D. Inherent risk.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 325

An internal auditor is testing the controls of a large and complex food production process where quality assurance is critical. Management provides process charts and documentation, but the auditor quickly determines that this information is incomplete and out of date. Which of the following would be the most appropriate course of action for the auditor to follow?

- A. Use the documentation but meet with the production supervisor to obtain updated information before proceeding.
- B. Amend the engagement objectives recognizing that important information is not available to protect the engagement's integrity.
- C. Defer the audit until management can provide updated charts and documentation as this is their responsibility.
- D. Use the documentation but use observation during the engagement to provide missing information.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 326

COBIT is primarily designed to:

- A. Define auditing standards for information technology auditors.
- B. Satisfy information technology regulatory requirements.
- C. Provide guidance to govern information technology activities.
- D. Assist technology professionals in interpreting technological specifications.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 327

Which of the following is the responsibility of an internal auditor? 1.Assist operating management in implementing audit recommendations. 2.Provide management with value-added analysis to improve operations. 3.Become an advocate for changes to the internal audit activity charter. 4.Disclose non-financial risks that may be identified during the course of an engagement.

- A. 1 and 3 only
- B. 2 and 4 only
- C. 1, 2, and 4 only
- D. 1, 2, 3, and 4

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 328

Which of the following is accomplished by the internal audit charter?

- A. It establishes the audit committee's position within the organization.
- B. It authorizes access to records, personnel and physical properties relevant to the performance of engagements.
- C. It defines the scope of internal and external audit activities.
- D. It states the nature of the chief audit executive's administrative reporting relationship with the board.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 329

A product manager occasionally overrides established purchasing policies in order to expedite the introduction of new products in a competitive industry. The manager's overrides are:

- A. Unacceptable as they are not consistent with the purchasing policy.
- B. Only acceptable if the override is within the manager's spending limit.
- C. Only acceptable if a policy governing such overrides is in place and they are reported.
- D. Acceptable due to the highly competitive nature of the industry.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 330

An internal auditor for a large computer company suspects that returned computer systems are being repackaged as new products and shipped to other customers before the defects have been repaired. Which of the following would be the most persuasive piece of evidence in support of the auditor's suspicions?

- A. Credit memos issued after year end for goods shipped before year end.
- B. Evidence of returned goods in the shipping and receiving area.
- C. An unusual number of customer complaints.
- D. The results of a complete physical inventory taken at year end.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 331

While conducting an audit, an internal auditor notices an unusual increase in sales among a small number of units within the organization. The units also experienced persistent negative cash flows despite reported earnings and earnings growth. Which type of fraud do the auditor's findings most likely indicate?

- A. Employee collusion with customer organizations.
- B. Improper asset valuation.
- C. Inventory theft.
- D. Fictitious revenues.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 332

Which fraudulent act is designed primarily to benefit the organization?

- A. Fictitious sale or assignment of assets.
- B. Authorization of payment for hours not worked.
- C. Theft or misappropriation of funds.
- D. Acceptance of bribes or kickbacks.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 333

An internal auditor is testing whether payments to outside contractors have been charged to the proper account. Which of the following sampling methods would be most useful in completing this task?

- A. Haphazard sampling.
- B. Probability-proportional-to-size sampling.
- C. Attribute sampling.
- D. Judgmental sampling.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 334

A fast-food company is developing a computer simulation involving arrival time at a drive-through restaurant. The distribution for arrival times is:

Single-Digit Random

Between Arrivals

Probability

Number Assigned

2 minutes

0.1

3 minutes

0.2

1, 2

4 minutes

0.3

3, 4, 5

5 minutes

0.4

6, 7, 8, 9

Six random numbers are selected to represent the arrival of six cars: 1, 6, 9, 0, 5, 6. What is the mean time between arrivals in this run of the simulation model?

A. 2 minutes.

B. 3 minutes.

C. 4 minutes.

D. 5 minutes.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 335

An organization has developed a model to determine the most profitable rate of production. The organization varies the cost of labor in the model to determine how much the changes affect the optimal production level. Which type of analysis does this scenario demonstrate?

A. Forecast.

B. Sensitivity.

C. Critical path.

D. Decision.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 336

Which of the following is an example of a preventive control activity for risk related to pollution caused by waste disposal?

- A. Offering an education program delivered by environmental experts.
- B. Maintaining strict security around environmental department files.
- C. Seeking legal consultation from a firm with experience in environmental law.
- D. Taking periodic samples of the area at risk and logging the results.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 337

Which of the following statements describes a control weakness?

- A. Purchasing procedures are well designed and are followed even when the purchasing supervisor wishes to direct otherwise.
- B. Pre-numbered blank purchase orders are secured within the purchasing department.
- C. Normal operational purchases fall in the range from \$500 to \$1, 000, with a single signature required for purchases over \$1, 000.
- D. The purchasing agent in a personal capacity invests in a publicly-traded mutual fund that lists the stock of one of the company's suppliers in its portfolio.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 338

What is audit risk?

- A. Internal and external risk factors that exist when there are no controls implemented.

- B. The amount of risk that is reduced through risk management operations.
- C. An incorrect conclusion based on evidence uncovered during an audit.
- D. The risk that remains after management has executed risk management activities.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 339

Which of the following activities would be most likely to impair the objectivity of an internal auditor?

- A. Performing reviews of procedures for a new information systems application before it is installed.
- B. Benchmarking controls during the development of a new information systems application.
- C. Assisting with the development and installation of a new information systems application.
- D. Developing recommended controls for the use of a new information systems application.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 340

Line management of a manufacturing operation requests an operational audit. They are seeking recommendations for policies and procedures to enhance control over the operation. What should the internal audit activity do?

- A. Review the effectiveness of current policies and procedures but avoid making control recommendations due to impaired objectivity.
- B. Perform the engagement and make appropriate recommendations for policies and procedures.
- C. Turn down the engagement because recommending controls would impair future objectivity regarding this client.
- D. Turn down the engagement because an operational audit should not review policies and procedures.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 341

Which of the following roles, if undertaken by an internal auditor, would have the greatest potential for conflict with the Standards regarding objectivity?

- A. IT system designer.
- B. Product development team consultant.
- C. Ethics advocate.
- D. External audit liaison.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 342

The internal audit staff lacks the expertise to perform a specific activity when auditing an organization. Which of the following individuals is not an appropriate choice to perform this task?

- A. A consultant from an outside firm.
- B. An expert within the department being audited.
- C. A researcher affiliated with a college or university.
- D. A specialist from the staff of a government agency.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 343

For a bank handling large amounts of cash, which of the following types of control would be the most effective to use?

- A. Detective controls.
- B. Corrective controls.
- C. Preventive controls.
- D. Directive controls.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 344

An internal audit activity has made a preliminary determination that a division of the organization has employed improper accounting practices.

Upon being informed, the head of the organization instructs the chief audit executive (CAE) to cease the investigation and to withhold the information from external auditors.

Which course of action should the CAE follow?

- A. Report the communication to the organization's general counsel.
- B. Report the instruction to the chairperson of the audit committee.
- C. Inform the head of the organization that the investigation will continue as planned.
- D. Inform the external auditors of the findings and the mandate to stop investigating.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 345

Which of the following would be outside the scope of acquiring and developing human resources for an internal audit department?

- A. Requiring audit staff to participate in continuing education activities.
- B. Writing job descriptions for audit staff, audit managers, and other auditing positions.
- C. Conducting individual counseling sessions regarding professional development and performance.
- D. Evaluating auditors' compliance with standards and level of audit effectiveness.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 346

Which of the following statements about risk assessment is true?

- A. Risk assessment focuses on the quantitative evaluation of exposures.
- B. Risk assessment evaluates risk both on an inherent and residual basis.
- C. Risk assessment determines the organization's tolerance for exposure.
- D. Risk assessment is the amount of inherent risk in a separately identifiable business entity.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 347

Which of the following statements regarding an internal auditor's responsibility for detecting fraud is not correct?

- A. The auditor should have sufficient knowledge to detect red flags.
- B. The auditor may obtain assistance from outside experts in areas where the auditor is not sufficiently proficient.
- C. The auditor should identify control weaknesses which could allow fraud to occur.
- D. The auditor should detect fraud before recommending a fraud investigation should take place.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 348

Which of the following methods is not valid for completing continuing professional education hours?

- A. Attending technical session meetings held by state auditing organizations.
- B. Completing all audit engagements in accordance with the Standards.
- C. Publishing an article on the organization's internal audit department.
- D. Participating in a formal in-house training program.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 349

What information should the internal quality assessment of the internal audit activity communicate to the chief audit executive?

- A. Detailed objectives for internal audit engagements.
- B. Confirmation that past audit recommendations have been implemented.
- C. Evaluation of the adequacy of internal audit policies and procedures.
- D. Performance appraisals of the internal audit staff.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 350

Which of the following actions would compromise an internal auditor's objectivity?

- A. Preparing bank reconciliations.
- B. Reviewing procedures before they are implemented.
- C. Auditing an activity for which the auditor had responsibility two years ago.
- D. Receiving a promotional pen from a supply available to all employees.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 351

Which of the following actions would be a violation of the IIA Code of Ethics?

- A. Excluding an issue in the final audit report after management has resolved the issue.

- B. Reporting information that could be damaging to the organization, at the request of a court of law.
- C. Failing to return a free promotional pen to a vendor related to the audit activity.
- D. Declining an audit engagement for which the auditor does not have the necessary experience or training.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 352

Which of the following statements correctly describes how workpaper standards can improve the efficiency of internal audit operations?

- A. They require supervisors to provide written confirmation of the workpapers they review.
- B. They grant external parties approved by management access to workpapers.
- C. They mandate the workpaper retention period.
- D. They allow the design and content to vary depending on the nature of the engagement.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 353

Which of the following tools would provide the most useful depiction of a process flow that spans multiple departments in an organization?

- A. A vertical flowchart of each department, showing inputs at the top and outputs at the bottom.
- B. A narrative, with a section dedicated to the process of each department.
- C. A combination of a flowchart, which shows the process, and a narrative, which indicates the related department.
- D. A horizontal flowchart, with each department identified across the top and the process flow below.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 354

According to the Standards, which of the following is not a responsibility of the audit committee?

- A. Appointment and performance of the chief audit executive.
- B. Reviewing internal audit staffing promotions and salary increases.
- C. Review, assessment and approval of the annual audit plan.
- D. Resolving any disagreements between management and internal audit.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 355

Which of the following is true regarding the purpose of the COSO enterprise risk management framework?

- 1.It is a process that is ongoing and flows throughout the organization. 2.It contributes to the formulation of the organization's mission and vision. 3.It enables internal audit to provide reasonable assurance to an organization's management and the board. 4.It enables the management of risks within an organization's risk appetite.

- A. 1, 2, and 3 only
- B. 1, 2, and 4 only
- C. 1, 3, and 4 only
- D. 2, 3, and 4 only

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 356

Which of the following controls within a spreadsheet would address the risk of logic errors? 1.The spreadsheet contains formulas that foot and cross-foot data. 2.The spreadsheet is locked to protect cell formulas from being inadvertently changed. 3.Spreadsheets are included in nightly backup processes. 4.Check-in and check-out software is used to manage version control.

- A. 1 and 2 only
- B. 1 and 3 only

- C. 2 and 4 only
- D. 3 and 4 only

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 357

According to the Standards, which of the following statements about effective governance is not true?

- A. It relies on internal controls to be effective.
- B. It considers risk when setting strategy.
- C. Its structures are distinct from risk management structures.
- D. It is implemented by the board or an equivalent body.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 358

A member of the IT department transfers to the internal audit department. A few months after transferring, the new auditor volunteers to assist in an assurance engagement for the IT department. According to the Standards, how should the chief audit executive respond?

- A. Decline the offer because the internal auditor subordinated professional judgment, and objectivity is therefore impaired.
- B. Decline the offer because the internal auditor recently transferred from the IT department.
- C. Accept the offer because the internal auditor maintains an independent mental attitude and is therefore objective.
- D. Accept the offer because the internal audit charter grants the internal auditor authority to maintain objectivity.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 359

In selecting a team to perform an internal audit of a purchasing operation, which of the following characteristics would not preclude an auditor from being selected? 1.The auditor's spouse is employed by the clerical section of the purchasing records unit. 2.The auditor had been a purchasing agent five years earlier. 3.The auditor's family owns a business that regularly sells goods to the organization. 4.The auditor has received a desk calendar as a promotional gift from a vendor.

- A. 1 and 3 only
- B. 1 and 4 only
- C. 2 and 3 only
- D. 2 and 4 only

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 360

A manufacturer uses improved linkage between order entry, production, and shipping to reduce raw materials and work-in-process inventory. Which type of fraud will these changes likely reduce?

- A. Payment of fraudulent invoices.
- B. Purchases from a related party.
- C. Theft of resources from inventory.
- D. False reporting of hours worked.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 361

An internal auditor is researching the laws and regulations related to a city's grant program. Which of the following procedures is least relevant to this task?

- A. Making inquiries of the audit committee about the nature of the grants.
- B. Reviewing prior-year workpapers and asking officials if there have been any changes.

- C. Reviewing applicable grant agreements.
- D. Discussing the matter with the city's chief financial officer, legal counsel, or grant administrators.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 362

An internal auditor must determine which components of an organization's telecommunications may introduce the greatest risk. Which of the following tasks should the internal auditor complete first?

- A. Review the open systems interconnect network model.
- B. Identify the network operating costs.
- C. Map the network software and hardware products into their respective layers.
- D. Ascertain the business purpose of the network.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 363

Which of the following actions would have the greatest impact on the effectiveness of the internal audit activity?

- A. Appropriate compliance coverage in the annual audit plan.
- B. Annual review of the audit charter by management.
- C. Appropriate definition of internal audit scope and responsibility in the charter.
- D. Assurance of internal audit objectivity and organizational independence by the board.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 364

An organization references a customer order with an approved customer file and credit limit before accepting an order. Which type of control does this process exemplify?

- A. Quality control monitoring.
- B. Direct functional management.
- C. Information processing.
- D. Performance indicators.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 365

When conducting a preliminary survey, which of the following audit activities should an internal auditor complete first?

- A. Identify risks and controls intended to prevent associated losses.
- B. Write detailed audit procedures.
- C. Identify client objectives, goals, and standards.
- D. Determine relevant engagement objectives.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 366

An internal auditor is planning an audit of an organization where temporary employees are suspected of receiving pay for hours they have not worked. Which of the following tasks should not be performed at this stage in the audit?

- A. Interviewing the manager who requested the audit engagement.
- B. Obtaining a copy of the contract between the organizations and the temporary employment agency.
- C. Interviewing shift supervisors about their employees' attendance.
- D. Preparing an engagement program.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 367

Which of the following policies exemplifies a control weakness in the approval and oversight of credit sales?

- A. The credit department is responsible for approving shipments to all customers.
- B. The head of the sales department can authorize credit lines for large customers.
- C. The finance committee of the board of directors periodically reviews credit standards.
- D. Customers who fail to meet credit requirements must pay cash for shipments upon delivery.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 368

While performing an internal audit engagement, an auditor reviews a flowchart of the organization's purchasing function. Which of the following internal control weaknesses would the auditor be able to identify in the chart?

- A. That purchasing policies have not been updated.
- B. That supplier invoices are processed and paid before the goods are received.
- C. That the organization is not taking advantage of quantity discounts available from its suppliers.
- D. That authorization for payment of goods received has not been granted at the appropriate level.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 369

In order to be organizationally independent, the chief audit executive should report administratively to the [List A] and functionally to the [List B].

[List A]

[List B]

- A. Audit committee
Board of directors
- B. Chief executive officer
Board of directors
- C. Chief executive officer
Chief financial officer
- D. Audit committee
Chief financial officer

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 370

In an audit engagement, a group of internal auditors used an integrated test facility to test payroll processing. The auditors identified the key controls and processing steps in the computer software, and then developed test data. Over the course of 24 months, they submitted test transactions on a regular basis but did not find any differences between payroll processing and integrated test facility results. Based on the data, what can the auditors conclude?

- A. Payments to employees during the 24-month period were all correct.
- B. The computer application and its control procedures correctly processed payroll over the 24-month period.
- C. Employees are properly submitting their hours to payroll.
- D. The computer software is flawed.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 371

Which of the following factors would cause an internal auditor to judge an account balance error to be material?

- A. The error involves an unusual transaction for the organization.

- B. The error pertains to an unverified transaction that is routine.
- C. The error concerns a data input function.
- D. The error involves a large percentage of net income.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 372

Which of the following procedures would be most effective in detecting fraud in electronically- submitted claims to insurance companies?

- A. Creating a monitoring program that detects unusual claims to be investigated by the claims department.
- B. Using generalized audit software to match the claimant identification number with a master list of valid policyholders.
- C. Testing the accuracy of processing by using integrated test facilities.
- D. Creating batch controls over all claims arriving from a particular organization and process those claims separately.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 373

In which of the following circumstances would an internal auditor not need to search for other signs of fraud?

- A. The organization has an unusually high increase in costs.
- B. There are several substantial weaknesses with the internal control structure.
- C. Management institutes a policy of paying vendors promptly in order to avoid incurring penalty charges.
- D. One of the employees seems to have had a dramatic increase in their standard of living.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 374

Which of the following statements is not true about red flags?

- A. It can be challenging to quantify red flags.
- B. There is a scarcity of established literature on red flags.
- C. Red flags can point auditors to intentional wrongdoing, errors and omissions, inefficiency, and conflicts of interest.
- D. Red flags do not necessarily mean that fraud exists.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 375

Which of the following is the best method for testing the accuracy of a computer program's calculation of shipping charges?

- A. Use either test data or parallel simulation to test the computer program.
- B. Use generalized audit software to select a monetary-unit sample of invoices that have been billed to customers.
- C. Select transactions from invoices with shipping charges using difference estimation.
- D. Select transactions from invoices with shipping charges using discovery sampling.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 376

Which of the following examples best describes how an internal auditor should behave while listening to an engagement client talk about human resource process problems?

- A. The auditor should gather their thoughts in order to have a response immediately ready for the client.
- B. The auditor should integrate the information the client provides with the information that is already known.
- C. The auditor should make an internal note of the client's gestures, demeanor, and body language, rather than paying close attention to the content of the discussion.
- D. The auditor should mentally plan the next steps of the audit engagement.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 377

Which of the following is an advantage of email surveys compared to face-to-face interviews?

- A. They are less expensive.
- B. They have higher rates of response.
- C. Survey designers are able to use a broader variety of questions.
- D. Respondents can easily get clarification on questions from survey designers or interviewers.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 378

While conducting fieldwork, an internal auditor decides to utilize standard operating procedure (SOP) questionnaires to gather information about a human resources department. Which of the following is an advantage of this method?

- A. SOP questionnaires verify that a department is efficient and effective.
- B. SOP questionnaires generally do not need to be cleared by management of the audited department.
- C. SOP questionnaires are useful in identifying discrepancies and educating clients.
- D. SOP questionnaires are the most comprehensive technique for data gathering in fieldwork.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 379

An internal auditor wants to use ratio analysis to examine efficiencies in an organization's accounting department. Which of the following statements

identifies a weakness of ratio analysis that should be considered by the auditor?

- A. It requires a substantial investment of money.
- B. It is only helpful for making comparisons across industries.
- C. Computer software is required in order to draw conclusions from the data.
- D. It utilizes financial information that may not have been checked for validity and reliability.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 380

A manufacturing organization's multi-step sales and shipping process starts when the organization's headquarters receives the sales order. Headquarters then shares that data with the individual manufacturing facility that compiles the shipment. Finally, the individual manufacturing facility sends the shipments to the customer. Which method should the internal auditor use to document this process in a flowchart?

- A. Trace the entire process, from the receipt of the sales order at headquarters to when the goods are shipped to the customer.
- B. Request a copy of each individual manufacturing facility's flowcharts, speak with facility managers to confirm that they have been updated and then use the information in a flowchart.
- C. Trace the entire process in reverse, beginning with the shipped goods and ending with the receipt of the sales order at headquarters.
- D. Obtain information on how management sets sales prices, find documentation about how the organization approves the change of sales prices, and prepare an overview flowchart that links the sales price details.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 381

Internal control processes in an organization require that all investments exceeding \$20,000 receive authorization from both the president and treasurer. After conducting a sample of these transactions, an auditor determined that 10 of the 500 investments in the sample had not included both required authorizations. The sample has a five percent acceptable error rate. Based on this sample, which of the following actions should the auditor take?

- A. Confirm all of the investments with the organization's internal finance department.
- B. Contact the organization's investment broker and confirm all investments.

- C. Complete a comprehensive review of the organization's investment activity and compare variations over prior years.
- D. Determine that no further testing of investment authorizations is required.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 382

During an interview with a data-entry clerk in the human resources department, an internal auditor recognizes a potentially significant weakness with a database system used to track employee performance ratings. Which of the following actions should the auditor take after discovering the weakness?

- A. Schedule a series of follow-up interviews with the data-entry clerk.
- B. Avoid either directly or indirectly confronting the data-entry clerk about the system weakness.
- C. Question the data-entry clerk indirectly to help obtain more factual information about the weakness.
- D. Immediately document the weakness and write a report to the data-entry clerk's superior.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 383

What is the primary purpose of a fishbone diagram?

- A. To depict the areas of responsibility for departments in an organization.
- B. To plan and control complex projects, such as internal audits.
- C. To represent the frequencies of adverse conditions in a given process.
- D. To identify the possible causes of adverse conditions.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 384

In which of the following scenarios would a customer service hotline receive a high volume of complaints regarding payments not being applied to customers' accounts?

- A. Invoices are not being mailed to customers.
- B. An employee is tampering with customer checks.
- C. Employees are submitting fraudulent expense reports.
- D. The customer service department is not forwarding complaints to the accounts receivable department.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 385

Which of the following is a valid statement about the use of visual observations during an audit engagement?

- 1. Visual observations can be used to detect ineffective controls, idle resources, and safety hazards.
- 2. Visual observations can be used during both preliminary survey and fieldwork stages of the audit engagement.
- 3. Visual observations can provide unsubstantiated facts to management if the internal auditor believes the information is useful.
- 4. Visual observations can assist an auditor in determining if a material observation should be communicated through informal means to the organization's senior management.

- A. 1 and 2 only
- B. 1 and 4 only
- C. 2 and 3 only
- D. 3 and 4 only

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 386

An internal auditor for a large retail chain suspects that a store manager has been stealing money from cash sales by listing the sales as accounts receivable and then writing off the accounts as bad debts. Which of the following irregularities is the most likely cause of the auditor's suspicion?

- A. A much higher bad debt expense as a percentage of sales than that of previous years.
- B. A much higher bad debt expense as a percentage of sales than that of other stores.
- C. A much higher percentage of past-due accounts receivable than that of other stores.
- D. A much higher percentage of past-due accounts receivable than that of previous years.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 387

Which of the following would provide the best guidance to a chief audit executive who is setting internal audit staff requirements?

- A. A review of audit staff education and training records.
- B. Information about the audit staff size and composition of comparable organizations.
- C. Results from discussions of audit needs with executive management and the audit committee.
- D. The results of the audit staff's most recent performance reviews.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 388

An organization's chief audit executive (CAE) determines that the internal audit staff does not have the requisite skills to conduct an audit of the financial derivatives area. Which of the following would be the best course of action for the CAE to follow?

- A. Outsource the audit engagement to a qualified external auditing firm without burdening the audit committee with the decision.
- B. Determine the requisite knowledge needed, and obtain the proper training for auditors, even if the training will significantly push back the project's timeframe as outlined by the audit committee.
- C. Notify the audit committee of the problem, and assign the most competent auditors on staff to perform the audit engagement.
- D. Employ the skills of a financial derivatives expert to consult on the project, and supplement the consulting with a local seminar on financial derivatives.

Correct Answer: D

Section: (none)

Explanation**Explanation/Reference:****QUESTION 389**

Management of a publicly-held organization requires the internal audit activity to be involved with quarterly financial statements, which are made public and used internally. Which of the following explanations of management's decision is least plausible?

- A. Management may be concerned about its reputation in the financial markets.
- B. Management is following best-practice protocol, as stipulated by the Standards, which states that internal auditors must review quarterly financial statements.
- C. Management may be concerned about potential penalties that could occur if quarterly financial statements are misstated.
- D. Management may perceive that having quarterly financial information examined by the internal auditors enhances the information's value to internal decision making.

Correct Answer: B

Section: (none)

Explanation**Explanation/Reference:****QUESTION 390**

Which of the following scenarios exemplifies a potential internal control weakness?

- A. The same employee who receives cash from customers prepares a prelisting of cash receipts.
- B. The same employee who records cash receipts in the accounts receivable subsidiary ledger ensures that the ledger automatically updates the information.
- C. The same employee who restrictively endorses checks received from customers prepares the bank's check deposit slips.
- D. The same employee who makes deposits at the bank prepares the monthly bank reconciliation.

Correct Answer: D

Section: (none)

Explanation**Explanation/Reference:****QUESTION 391**

After being terminated due to downsizing, an internal auditor finds a different job with an organization in the same industry. Which of the following

actions would violate the IIA Code of Ethics?

- A. To determine audit priorities in the new job, the auditor uses the audit risk approach that the auditor's previous employer used, without receiving permission to do so.
- B. At the new organization, the auditor is asked to develop forms to implement probability- proportional-to-size sampling. Although unsure of how to perform this type of sampling, the auditor proceeds without asking for assistance.
- C. In preparing for an audit at the previous organization, the auditor had conducted a great deal of research on the Internet at home to identify best practices for the management of a treasury function. The auditor has retained much of the research and uses it to conduct an audit of the new employer's treasury function.
- D. In the first week at the new organization, the auditor discovers a high fraud risk surrounding the organization's database and suggests that the information technology department implement a new password system to prevent fraudulent actions before they occur.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 392

An organization has implemented a new automated payroll system that contains a table of pay rates that are matched to employee job classifications. Which control should an internal auditor suggest in order to ensure that the table is updated correctly, and is used only for valid pay changes?

- A. Restrict data-table access from management and line supervisors who have the authority to determine pay rates.
- B. Require a supervisor in the department, who has the ability to change the table, to compare the changes to a signed management authorization.
- C. Ensure that adequate edit and reasonableness checks are built into the automated system.
- D. Require a manager, who is independent of the system and who cannot change the table, to authorize and sign-off on any employee pay changes.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 393

Which of the following actions does not violate the IIA Code of Ethics or Standards?

- A. An internal auditor performing an audit on an operation that they managed less than a year ago.
- B. An internal auditor performing an audit on procedures that they were responsible for creating.

- C. An internal auditor disclosing details of an audit report to colleagues from a different organization.
- D. An internal auditor disclosing confidential information in response to a lawsuit.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 394

Which of the following controls is not appropriate for sales in a manufacturing organization?

- A. Customers' orders are recorded promptly.
- B. Goods shipped are matched with valid customer orders.
- C. Goods returned are inspected for damage by the receiving department for proper disposition.
- D. Sales department approval is required for credit sales transactions.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 395

A manufacturing organization discovers that the waste water released has failed to meet permitted limits.

Which control function will be least effective in correcting the issue?

- A. Performing a chemical analysis of the water, prior to discharge, for components specified in the permit.
- B. Posting signs that tell employees which substances may be disposed of via sinks and floor drains within the facility.
- C. Diluting pollutants by flushing sinks and floor drains daily with large volumes of clean water.
- D. Establishing a preventive maintenance program for the pretreatment system.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 396

A computer system automatically locks a user's account after three unsuccessful attempts to log on.

Which type of control does this scenario represent?

- A. Corrective control.
- B. Preventive control.
- C. Detective control.
- D. Compensating control.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 397

Why is it important for the chief audit executive to periodically review the audit charter and present the results to senior management and the board?

- A. Because management requires the review to measure effectiveness of the internal audit activity.
- B. So that the individual objectivity of the internal audit staff can be more clearly established.
- C. So that there is assurance of the internal audit staff's proficiency to complete audit activities.
- D. Because changes in the organization may impair the internal audit activity's ability to meet its objectives.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 398

Which of the following actions indicates a lack of due professional care by an internal auditor performing an audit of a store's cash function?

- A. The audit report included a well-supported recommendation for a reduction in staff even though such a reduction might adversely impact morale.
- B. The auditor tested samples of transactions to test the cash function's process flows.
- C. After determining that the cash function internal controls were strong, the audit report assured senior management that fraud was not present.

D. The auditor discovered an instance of potential fraud and reported it immediately to management, but did not alert authorities outside the organization.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 399

During the course of an audit, an internal auditor discovers that a valuable employee in the research department has been patenting new developments in the employee's name that are unrelated to the basic business of the organization.

The organization does not have a policy addressing this specific issue, but does have a general policy that all important new discoveries by employees are the property of the organization. Division management views the employee's actions as extra incentive to retain the employee.

A decision to include the employee's action in the engagement final communication would be:

1.A violation of the IIA Code of Ethics.

2.A violation of the reporting requirements in the Standards. 3.Justified and necessary, according to the IIA Code of Ethics and Standards.

A. 1 only

B. 2 only

C. 3 only

D. 1 and 2 only

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 400

A staff auditor, nearly finished with an audit engagement, discovers that the director of marketing has a gambling habit. The gambling issue is not directly related to the existing engagement, and there is pressure to complete the current engagement. The auditor notes the problem and forwards the information to the chief audit executive, but performs no further follow-up.

Which of the following statements is true about the auditor's actions?

A. They are in violation of the IIA Code of Ethics because the auditor withheld meaningful information.

- B. They are in violation of the Standards because the auditor did not properly follow up on a red flag that might indicate the existence of fraud.
- C. They are in violation of neither the IIA Code of Ethics nor the Standards.
- D. They are not in violation of the Standards but are in violation of the IIA Code of Ethics.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 401

Which of the following scenarios would represent the greatest threat to the authority of the internal audit activity (IAA)?

- A. A change was implemented requiring the IAA to report administratively to the organization's chief legal counsel rather than the board.
- B. Responsibility for risk management processes were removed from the IAA and placed under a newly created chief risk officer.
- C. The IAA was denied access to expenditure and budget requirement reports because the reports were considered to be financial administrative matters.
- D. An internal auditor was informed by the chief financial officer that client survey results would be unfavorable unless the auditor changed a finding in the report.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 402

Which of the following activities best reflects the scope and status of the internal audit activity as defined in the internal audit policy statement?

- A. The internal auditor reviews the physical access to merchandise during an inventory count.
- B. The audit manager conducts an internal quality assessment of the internal audit activity's adherence to the Standards.
- C. The audit manager refrains from assigning an auditor who was a former payroll clerk to conduct a payroll audit.
- D. The board approves the annual performance evaluation of the chief audit executive.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 403

While attending a conference, an internal auditor won an all-expense paid trip sponsored by a vendor of the internal auditor's organization.

Which of the following actions are most appropriate for the auditor to take?

- A. Consult with an immediate supervisor and notify the organization's audit committee.
- B. Consult with an immediate supervisor and review the organization's ethics policy.
- C. Give the prize to a friend or family member and notify the organization's audit committee.
- D. Give the prize to a friend or family member and review the organization's ethics policy.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 404

A chief audit executive (CAE) of an international charity reports functionally to the audit committee of the board of directors and administratively to the charity's chief financial officer (CFO).

Which of the following would impair the internal audit function's independence?

- A. The CFO determines the scope of internal audit work in the accounting department.
- B. The CFO manages the accounting of the budget for the internal audit function.
- C. The CFO administers the annual evaluation process for the internal auditors.
- D. The CFO provides feedback on the CAE's audit reports.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 405

An internal audit activity (IAA) provided assurance services for an activity it was responsible for during the preceding year.

As a result, which IIA Code of Ethics principle is presumed to be impaired?

- A. Competence.
- B. Flexibility.
- C. Objectivity.
- D. Independence.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 406

According to the Standards, for how long should internal auditors who have previously performed or had management responsibility for an operation wait to become involved in future internal audit activity with that same operation?

- A. Three months.
- B. Six months.
- C. One year.
- D. Two years.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 407

The chief audit executive (CAE) has been asked to manage the regulatory compliance function for the organization's retail store operations. Store operations are included in the annual audit plan.

Which of the following strategies best fulfills the requirements of the Standards regarding these audits?

- A. The scope of store operations audits should exclude compliance.
- B. Store operations audits can be fully executed with appropriate disclosure to the board.
- C. Store operations audits should be performed by an external service provider.
- D. A store operations compliance audit should be performed by a staff internal auditor under the direction of the CAE.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 408

Suspecting fraud, the chief financial officer (CFO) asked the internal audit activity to investigate a significant increase in travel related expenditures. Work was performed by a qualified internal auditor. Following the completion of the engagement, the chief audit executive (CAE) reported to the CFO that no violations were found and no fraud had occurred.

According to the Standards, which of the following principles did the CAE violate?

- A. Due professional care.
- B. Individual objectivity.
- C. Proficiency.
- D. Organizational independence.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 409

A new chief audit executive (CAE) of a large internal audit activity (IAA) is dissatisfied with the current amount and quality of training being provided to the staff and wishes to implement improvements. According to IIA guidance, which of the following actions would best help the CAE reach this objective?

- A. Require that all staff obtain a minimum of two relevant audit certifications.
- B. Perform a gap analysis of the IAA's existing knowledge, skills and competencies.
- C. Engage a consultant to benchmark the IAA's training program against its peers.
- D. Assign one experienced manager to better coordinate staff training and development activities.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 410

According to IIA guidance, which of the following individuals would best be considered independent for the purpose of participating in an external assessment of the quality assurance and improvement program for an internal audit activity (IAA)?

- A. A former employee knowledgeable of the IAA who resigned three years earlier from the organization.
- B. A competent employee of an independent external organization that provides co-sourcing services to the IAA.
- C. An employee in an affiliated organization who has never worked directly with the IAA.
- D. An employee in the parent organization who has not had any previous contact with the IAA.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 411

The results of an internal audit activity's (IAA) quality assurance and improvement program are favorable and an external assessment was completed within the last five years. Which of the following statements may the IAA use to describe its work?

- A. "Completed with the advance certification of the External Assessors Association for Auditing Review."
- B. "Conforms with the International Standards for the Professional Practice of Internal Auditing."
- C. "Certified 100% accuracy, per the International Standards of External Assessment."
- D. "Compliant with all domestic and international legal statutes, and certified quality assured for ten years."

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 412

Why are preventative controls generally preferred to detective controls?

- A. Because preventive controls promote doing the right thing in the first place, and lessen the need for corrective action.
- B. Because preventive controls are more sensitive and identify more exceptions than detective controls.

- C. Because preventive controls include output procedures, which cover the full range of possible reviews, reconciliations and analysis.
- D. Because preventive controls identify exceptions after-the-fact, allowing them to be used after the entire review is complete and therefore finding exceptions that detective controls may have missed.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 413

Which of the following would be considered a preventive control?

- A. A library control log.
- B. A review of exception reports.
- C. A password lock on a server.
- D. A software scan of financial records for irregularities.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 414

Which of the following are components of the COSO enterprise risk management framework? 1.Objective setting.

2.External environment.

3.Data collection.

4.Control activities.

- A. 1 and 3 only
- B. 1 and 4 only
- C. 2 and 3 only
- D. 2 and 4 only

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 415

According to IIA guidance, which of the following is the best example of a system application control?

- A. A physical security control over a data center.
- B. A system development life cycle control.
- C. A program change management control.
- D. An input control over data integrity.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 416

Which type of objectives can best be described as broad goals that promote the effective and efficient use of resources?

- A. Strategic objectives.
- B. Operational objectives.
- C. Reporting objectives.
- D. Compliance objectives.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 417

An internal audit manager of a furniture manufacturing organization is planning an audit of the procurement process for kiln-dried wood. The procurement department maintains six procurement officers to manage 24 different suppliers used by the organization.

Which of the following controls would best mitigate the risk of employees receiving kickbacks from suppliers?

- A. The periodic rotation of procurement officers' assignments to supplier accounts.

- B. A pre-award financial capacity analysis of suppliers.
- C. An automated computer report, organized by supplier, of any invoices for the same amount.
- D. Periodic inventories of kiln-dried wood at the organization's warehouse.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 418

During an internal audit, an organization's processing department is found to have incidences of both duplicate invoices and notices from customers that purchased goods were not received. The department under review insists that some of these reports are false and that others were isolated oversights due to understaffing.

Which of the following tests would best help the internal auditor detect fraudulent activity?

- A. Check inventory levels.
- B. Search for gaps in check numbers.
- C. Compare vendor summaries.
- D. Review raw material purchase quantities.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 419

Which of the following statements is true regarding the use of non-statistical sampling in auditing control tests?

- A. It considers tolerable deviation rate more effectively than does statistical sampling.
- B. Sampling risk will be accurately quantified through non-statistical sampling.
- C. Non-statistical sample results must be projected to the population.
- D. Lesser evidence is required to support a conclusion than for statistical sampling.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 420

During an internal audit, the internal auditor compares the employee turnover rate in the area being audited with the employee turnover rate in the organization as a whole.

This is an example of which of the following analytical auditing procedures?

- A. Reasonableness test.
- B. Regression analysis.
- C. Benchmarking.
- D. Trend analysis.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 421

When internal auditors are preparing workpapers for the testing stage of an engagement, which of the following guidelines should be observed?

1.Include copies of all client files that were reviewed for the audit. 2.Avoid the use of professional, industry-appropriate jargon and technical terms. 3.Indicate the original sources of all data and information used in the workpapers. 4.Leave blank space for cross-references to be completed during the post-audit process.

- A. 1 and 2 only
- B. 1 and 4 only
- C. 2 and 3 only
- D. 3 and 4 only

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 422

During an account receivables audit, an internal auditor found a significant number of input errors resulting in a \$500, 000 balance understatement. Which of the following is the most important question the internal auditor should ask to develop an appropriate recommendation for this finding?

- A. Who?
- B. How?
- C. Why?
- D. When?

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 423

Which of the following is not a standard technique that the chief audit executive (CAE) would use to provide evidence of supervisory review of working papers?

- A. The CAE initials and dates every working paper after it has been reviewed.
- B. The CAE completes an engagement working paper checklist.
- C. The CAE prepares a memorandum discussing the results of the working paper review.
- D. The CAE utilizes an external third party to make an objective recommendation after each working paper review.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 424

Allegations have been made that an organization's share price has been manipulated.

Which of the following would provide an internal auditor with the most objective evidence in this case?

- A. Major shareholders of the organization.
- B. Large customers of the organization.
- C. Former members of management.

D. Former financial consultants.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 425

According to the IIA guidance, who is responsible for periodically assessing the internal audit activity?

- A. The board.
- B. The chief audit executive.
- C. Senior management.
- D. The external auditors.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 426

An internal auditor finds during an engagement that payment for the organization's general insurance policy is two months overdue. The issue is informally mentioned to the finance department which immediately submits the invoice for payment. The auditor decides to exclude this finding from the final audit report as the oversight was immediately corrected and there were no consequences because of this late payment.

Which of the following rules of conduct as described in the IIA Code of Ethics, did the auditor fail to uphold?

- A. Confidentiality.
- B. Objectivity.
- C. Integrity.
- D. Competency.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 427

What type of risk management strategy is being employed when an organization installs two firewalls to provide protection from unauthorized access to the network?

- A. Diversifying the risk that network access will not be available to legitimate, authorized users.
- B. Accepting the risk that there may be attempts at unauthorized access to the network.
- C. Avoiding the risk of having a direct network connection to un-trusted networks.
- D. Sharing the risk that either firewall could be compromised by hackers.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 428

If an engagement client disputes that a specific action or process is within the scope of the internal audit activity, what would be the most appropriate way for the internal audit activity (IAA) to respond?

- A. Terminate the audit engagement in full because an operational audit will not be productive without the client's cooperation.
- B. Terminate only the specific action or process with which the client disagrees and work to determine a substitute function that will not impede further IAA or the client-audit relationship.
- C. Refer the client to the IAA's charter and the approved yearly audit plan, which includes the areas designated for audit in the current time period.
- D. Seek the approval of senior management or the board in mediation, allowing an overseer to clarify the scope of the audit engagement for the client.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 429

This chief audit executive (CAE) engaged an internal auditor to consult on an organization's complex information technology system. Shortly after beginning the engagement, the auditor unexpectedly resigned. Unfortunately, this auditor was the only available auditor with the necessary expertise. The CAE will not be able to hire someone with similar expertise in time to meet a regulatory deadline.

Which of the following would be the best course of action for the CAE to take?

- A. Continue with the engagement in order to meet the regulatory deadline, but highlight areas in the final report that might need to be revised in the future.
- B. Ask that a senior member of the organization's IT department with the required systems expertise join the audit team to assist in completing the engagement.
- C. Delay the engagement and inform the board of the situation, asking them to provide acceptable alternatives for completing the engagement.
- D. Remove the planned engagement from the audit plan and explain to senior management the problems with moving forward without an auditor with the necessary expertise.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 430

A candidate has applied for an entry level internal audit position. The candidate holds a CISA (Certified Information Systems Auditor) designation, and has six months of audit experience, but limited knowledge of accounting principles and techniques. According to the IIA guidance, which of the following is the most relevant reason for the chief audit executive to consider this candidate?

- A. Other internal auditors possess sufficient knowledge of accounting principles and techniques.
- B. The candidate's information systems knowledge and real-world experience in internal auditing.
- C. Accounting skills can be learned over time with appropriate training.
- D. An entry level position does not require expertise in any particular area.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 431

Which of the following decisions made during the testing phase of a compliance audit requires the most judgment by an internal auditor?

- A. Which sampling methodology to select for testing.
- B. Which fields to examine on each invoice.
- C. Whether an individual expenditure is allowable.
- D. What level of noncompliance is acceptable.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 432

According to the Standards, which of the following is not a consideration when exercising due professional care for an assurance engagement?

- A. The relative complexity, materiality, or significance of matters to which assurance procedures are applied.
- B. The extent of assurance services necessary to ensure that all risks are identified.
- C. The cost of providing the assurance services in relation to potential benefits.
- D. The probability of significant errors, irregularities or instances of noncompliance.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 433

According to IIA guidance, which of the following statements is false regarding continuing professional education for the internal audit activity (IAA)?

- A. Continuing professional education can be obtained through IAA involvement in research projects.
- B. Employers are responsible for ensuring that the continuing professional education needs of the IAA are met.
- C. Completion of self-study courses fulfills IAA continuing professional education requirements.
- D. Specialized education that meets unique organizational needs cannot qualify as IAA professional development.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 434

According to IIA guidance, which of the following best describes processes and tools typically used in ongoing internal assessments?

- A. Benchmarking of the internal audit activity's practices and performance.
- B. Report of internal assessment results, response plans, and outcomes.
- C. Analysis of performance metrics such as cycle times.
- D. Self-assessments and surveys of stakeholder groups.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 435

Which of the following is an example of a transaction-level control?

- A. Human resource policies.
- B. Tone at the top.
- C. Reconciliations of primary accounts.
- D. Inventory counts.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 436

Which of the following is a preventive control?

- A. Creating an audit trail.
- B. Placing controls on physical access to inventory.
- C. Reconciling purchase orders with approvals.
- D. Reviewing expense accounts for irregularities.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 437

An internal auditor notes that employees are able to download files from the internet. According to IIA guidance, which of the following strategies would best protect the organization from the risk of copyright infringement and licensing violations resulting from this practice?

- A. Apply antivirus and patch management software.
- B. Utilize dedicated and encrypted network connections.
- C. Install a software inventory management application.
- D. Utilize secure socket layer encryption.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 438

According to IIA guidance, which of the following statements is true?

- A. Risks in IT processes are best mitigated by individual controls.
- B. The overall focus of the framework is on significant controls in all critical IT applications.
- C. IT risks and related controls are operational and best identified using a bottom-up approach.
- D. Control process risks are found at multiple layers of the IT environment.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 439

Which of the following best describes the assessment of risks?

- A. Assess the actions necessary to reduce the likelihood and/or impact of risk to tolerable levels.
- B. Assess the likelihood and/or impact of risk on the achievement of organizational objectives.
- C. Assess the amount of risk an organization can accept while pursuing its objectives.
- D. Assess alternative strategies to reduce or eliminate major risks.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 440

Which of the following risk management activities is most appropriate for an internal auditor to undertake?

- A. Impose risk management processes.
- B. Coordinate risk management activities.
- C. Implement risk responses on management's behalf.
- D. Review the management of key risks.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 441

Which of the following would most likely be considered a red flag for fraud?

- A. An organization lacks a whistleblower hotline for reporting suspicious activity.
- B. A senior manager has been delegating the authority to sign-off on small dollar amount purchases to a subordinate.
- C. An employee in charge of payroll disbursements has rotated these duties with several colleagues.
- D. An employee with significant personal debt is in charge of handling large wire transfers for the organization.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 442

Which of the following techniques would best assist an internal auditor in evaluating the efficiency of a wholesale grocery distributor's process to fill and package orders for shipping?

- A. A Bedford analysis of orders filled to average delivery times.
- B. Decision trees rating actual performance against requirements.
- C. Queuing theory to assess potential bottlenecks in the process.
- D. A program evaluation and review technique chart.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 443

When conducting an interview, an internal auditor is most likely to ask open-ended questions in order to:

- A. Obtain specific answers and maximize efficiency.
- B. Gather factual data on several different topics.
- C. Determine agreement or disagreement with a stated viewpoint.
- D. Obtain information based on the person's own perspective.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

appropriate.

QUESTION 444

During an engagement, an internal auditor decided to use variance analysis as an auditing techniques. Which of the following steps should the auditor pursue if he discovers unexpected deviations of actual results from budget?

- A. Report the deviations immediately to the audit committee.
- B. Gather additional information to determine the cause of the deviations.
- C. Conclude that the budget was unreasonably set and accept the deviations.
- D. Perform alternative forms of analytical procedures which provide no deviations.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 445

According to the Standards, which of the following best describes why initial audit test results should be reported to the auditor-in-charge prior to advising management?

- A. It increases the likelihood of obtaining the audit client's agreement with the results.
- B. It ensures that an appropriate chain of evidence is maintained through the workpapers.
- C. It helps ensure that appropriate professional judgments and conclusions are made.
- D. It is required to demonstrate that effective engagement supervision has occurred.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 446

Which of the following audit techniques is used to evaluate control design while also embodying auditing's analytical process?

- A. A risk and control matrix.
- B. A flowchart.
- C. A walk-through.
- D. A process narrative.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 447

The internal audit supervisor is reviewing the workpapers prepared by the staff. According to the Standards, which of the following statements regarding workpaper supervision is not true?

- A. Review notes of questions that arise during the review process must be retained.
- B. Dating and initialing each workpaper provides evidence of review.

- C. Workpaper review allows for staff training and development.
- D. Workpapers may be amended during the review process.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 448

An internal auditor would like to identify the involvement of various organizational units in handling employee travel reimbursement claims. Which of the following methods would be most effective and efficient in completing this task?

- A. Process mapping.
- B. Interviewing.
- C. Monitoring.
- D. Distributing questionnaires.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

proper answer.

QUESTION 449

An internal auditor is reviewing employee travel data to identify opportunities to cut costs while ensuring adequate participation at conferences to support the organization's mission. Which of the following pieces of evidence would be sufficient for completing this task?

- A. A log from the last year that includes dates of travel, conference titles, and conference objectives, all of which correspond with employee names and costs per trip.
- B. A log that includes titles of conferences that all employees were invited to attend in the last year, along with the dates of those conferences and average costs per traveler.
- C. A log of conferences titles, dates of travel for each employee, and a detailed summary of conference objectives and how they relate to the organization's mission needs.
- D. A log of employee travel requests, which include the title of each conference, the conference objectives, anticipated dates of travel, and estimated costs.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 450

The audit committee is concerned that the small size of the internal audit activity (IAA) makes it impractical to achieve full conformance with the Standards. To address this concern, which of the following actions is most appropriate for the CAE to take?

- A. The CAE should agree with the audit committee and implement only those standards appropriate to the size of the IAA.
- B. The CAE should request the audit committee to review the Standards to identify specifically which are creating the greatest concern.
- C. The CAE should seek sufficient funding to increase audit resources to meet the minimum requirements of the Standards.
- D. The CAE should explain that conformance with the Standards is essential and not dependent upon the size of the IAA.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 451

The director of purchasing, a certified internal auditor (CIA), signs a contract to procure a large order from a supplier whose products provide the best price, quality, and performance. A few days after signing the contract, the supplier presents the CIA with \$1, 000 as a gift. Which statement regarding acceptance of the money is correct?

- A. Accepting the money would be prohibited only if it were non-customary.
- B. Accepting the money would violate the IIA Code of Ethics.
- C. Because the CIA is not acting as an internal auditor, accepting the money would be governed only by the organization's code of conduct.
- D. Because the contract was signed before the money was offered, accepting the money would not violate the IIA Code of Ethics.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 452

According to IIA guidance, which of the following statements regarding the internal audit charter is true?

- A. Senior management should approve the charter before it is submitted to the board.
- B. The charter should describe the purpose and authority of the internal audit activity, consistent with the Standards.
- C. The charter should define the consulting services that the internal audit activity is permitted to perform.
- D. The CEO periodically should assess whether the terms of the charter continue to be adequate.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 453

Which of the following does not need to be defined in the internal audit charter?

- A. The audit engagements to be performed during the upcoming year.
- B. The internal audit activity's position within the organization.
- C. The scope of internal audit activities.
- D. Management and the board of directors' agreement regarding the roles and responsibilities of the internal audit activity.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 454

A government agency's policy states that board members' travel and hospitality expenses must be audited annually. Which of following people or groups is most appropriate to perform this audit?

- A. The government's independent auditor.
- B. The external auditors from an accounting firm.
- C. The internal audit activity.
- D. The agency's chief compliance officer.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 455

Which of the following is not an appropriate activity for internal auditors to perform?

- A. Recommend management seek a consulting firm to advise on outsourcing.
- B. Highlight matters that require management's attention.
- C. Implement solutions for specific organizational problems.
- D. Accumulate data, obtain varying views, and report information to senior management.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 456

Management has asked the chief audit executive (CAE) to provide assurance on the organization's automated control system related to financial data. The current audit staff does not have the expertise needed to conduct this type of engagement. Which of the following would be the best response by the CAE?

- A. Accept the assignment and use control self-assessment to complete the project.
- B. Do not accept the assignment because the internal audit activity lacks the competency to perform the engagement with due professional care.
- C. Accept the assignment and use an external provider with the necessary knowledge and skills to perform the engagement.
- D. Accept the assignment if the engagement is included in the current audit plan, but inform senior management that the current audit staff does not have the knowledge and skills required.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 457

When an internal auditor applies due professional care to perform an assurance engagement, which of the following must she consider?

- 1. Findings of the last audit engagement performed.
- 2. Probability of significant errors, irregularities, or noncompliance.
- 3. Extent of work needed to achieve engagement objectives.
- 4. Cost of the engagement versus the potential benefits.

- A. 1 and 4 only
- B. 2 and 3 only
- C. 2, 3, and 4 only
- D. 1, 2, 3, and 4

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 458

While reviewing the workpapers of a new auditor, the auditor in charge discovered that additional audit procedures might be necessary. According to IIA guidance, which of the following would be most relevant for the auditor in charge to consider when making this decision?

- A. Resource management.
- B. Coordination.
- C. Due professional care.
- D. Engagement supervision.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 459

The last quality assessment of the internal audit activity identified three areas for improvement: the achievement of audit engagement objectives, quality of work, and staff development. According to IIA guidance, which of the following should be the chief audit executive's primary focus to achieve these recommended improvements?

- A. Demonstrated compliance with procedures.
- B. Due professional care.
- C. Engagement supervision.
- D. Employment of tools and techniques.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 460

Which of the following statements describes a control failure that is not directly attributable to a customer billing application?

1.End users have raised a number of concerns regarding data integrity. 2.An untested program change is transferred from the test environment to production. 3.Purchase history does not reconcile with accounts receivable for some customers. 4.End user security is inadvertently granted to an unauthorized individual by management.

- A. 1 and 3.
- B. 1 and 4.
- C. 2 and 3.
- D. 2 and 4.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 461

While reviewing first quarter sales transactions, an internal auditor discovered that 10 invoices for a new customer had not been posted into the accounts receivable subsidiary ledger. Those 10 invoices were listed in an error report automatically generated by the sales processing system. The system had rejected the invoices because the customer's account number was not found in the customer master file. In this scenario, which of the following controls was lacking?

- A. Corrective control.
- B. Preventive control.
- C. Detective control.
- D. Directive control.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 462

Which of the following is the most effective strategy to manage the risk of foreign exchange losses due to sales to foreign customers?

- A. Hire a risk consultant.
- B. Implement a hedging strategy.
- C. Maintain a large foreign currency balance.
- D. Insist that customers only pay in a stable currency.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 463

Which of the following is not a role of the internal audit activity in facilitating risk identification and evaluation?

- A. Evaluating risk management processes.
- B. Recommending accountability for risk management.
- C. Providing assurance that risks are evaluated correctly.
- D. Supporting managers to identify ways to mitigate risks.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 464

Which of the following is a second line of defense in effective risk management and control?

- A. Purchasing department.
- B. Compliance department.
- C. Credit department.
- D. Internal audit department.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 465

An accounts receivable clerk receives cash payments, posts the payments to customer accounts, and prepares the daily cash deposit.

The clerk has been stealing some cash and manipulating the customer payments to hide the theft.

This fraud could be detected with which of the following controls?

- A. Monthly bank reconciliations are performed by the clerk on a timely basis.
- B. Total cash deposits for the month are reconciled to the cash receipts journal.
- C. Names, amounts, and dates on remittance advices are reconciled with the names, amounts, and dates recorded in the cash receipts journal.
- D. Total cash deposits are compared with the bank reconciliation.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 466

Which of the following conditions is the most likely indicator of fraud?

- A. Commissions are paid based on verified increases to sales.
- B. Departmental reports are consistently issued in an untimely manner.
- C. A manager regularly assumes subordinates' duties.
- D. Lower earnings occur during the industry's down cycle.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 467

Which of the following would not be a red flag for fraud?

- A. Several recent, large expenditures to a new vendor have not been documented.
- B. A manager has bragged about multiple extravagant vacations taken within the last year, which are excessive relative to the manager's salary.
- C. A weak control environment has been accepted by management to encourage creativity.
- D. New employees occasionally fail to meet established project deadlines due to staffing shortages.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 468

Which of the following is the most significant disadvantage of using checklists to evaluate internal controls?

- A. They serve as a reminder of what controls should exist in a process.
- B. They require yes/no responses to specific questions, not open-ended responses.
- C. They do not capture all controls that may exist.
- D. They are useful in assessing risk.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 469

According to IIA guidance, which of the following objectives of an assurance engagement for the organization's risk management process is valid?

- A. All risks have been identified and mitigated.
- B. Risks have been accurately analyzed and evaluated.
- C. All controls are both adequate and efficient.
- D. The board is appropriately addressing intolerable risks.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 470

Which of the following would provide the best evidence of errors in the quantities of items received from suppliers?

- A. Suppliers' reports of overshipments.
- B. Warehouse receiving logs.
- C. Purchase requisitions and purchase orders.
- D. Observation and inspection of inventory.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 471

Which of the following audit procedures would provide the most relevant information to identify discrepancies between budgeted versus actual raw material consumption in a production facility?

- A. Analytical review.
- B. Inquiry.
- C. Document verification.
- D. Observation.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 472

An internal auditor makes a series of observations when performing an analytical review of division operations. The auditor notes the following things: the current ratio is increasing and the quick ratio is decreasing, sales and current liabilities have remained constant, and the number of day sales in inventory is increasing. Which conclusion should the auditor draw from this data?

- A. Cash or accounts receivable has decreased.

- B. The gross margin has decreased.
- C. The division produced fewer items this year than in prior years.
- D. The gross margin has increased.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 473

An internal auditor is conducting an engagement in the accounts payable department, which includes expressing an opinion at the micro level. According to IIA guidance, which of the following statements is true regarding micro-level opinions? 1.They are most effective when using a combination of current and prior engagement findings to draw conclusions. 2.They typically are based on defined procedures such as those found in an accounts payable reconciliation process. 3.They are discrete and not normally shared with senior management or the board. 4.They can rely on evidence taken from the work of other assurance activities across the organization.

- A. 1 and 2.
- B. 1 and 3.
- C. 2 and 3.
- D. 3 and 4.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 474

Which of the following statements best explains why internal auditors map processes? 1.To obtain audit evidence to support auditor's observations. 2.To determine scope and objectives of the audit. 3.To facilitate the identification of ownership and responsibility for key risks. 4.To identify potential efficiency improvements.

- A. 1 and 2.
- B. 1 and 3.
- C. 2 and 4.

D. 3 and 4.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 475

Why is a code of ethics for the internal audit profession necessary?

- A. It ensures that all members of the profession possess the same level of competence.
- B. It provides auditors with protection from lawsuits.
- C. It guides internal auditors in their service to others.
- D. It requires auditors to exhibit loyalty to their organizations.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 476

Which of the following best ensures an internal audit activity has the ability to render impartial and unbiased assessments?

- A. Organizational status and objectivity.
- B. Supervision of the chief audit executive (CAE) by senior management.
- C. Organizational knowledge and skills.
- D. CAE certification.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 477

An internal audit charter describes the mission and scope of the internal audit activity (IAA), responsibilities of the IAA, accountability of the chief audit

executive, independence of the IAA, and standards followed by the IAA. Which of the following also should be included in the charter?

- A. The purpose of the IAA.
- B. The IAA's right to have unrestricted access to functions, records, personnel, and physical property.
- C. A detailed audit plan or program for the year.
- D. The job specifications and descriptions of the internal audit staff.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 478

Which the following activities should be performed by the internal audit activity to facilitate an effective relationship with the audit committee?

- 1.Periodically report about the accounting standards followed by the organization.
- 2.Provide assurance to the audit committee that its charter, activities, and processes are appropriate.
- 3.Ensure that the role and activities of the internal audit activity are clearly understood and responsive to the needs of the audit committee.
- 4.Maintain open and effective communications with the audit committee.

- A. 1 and 2 only
- B. 3 and 4 only
- C. 1, 3, and 4 only
- D. 2, 3, and 4 only

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 479

A chief audit executive (CAE) learns that the brother-in-law of a senior auditor who audits the procurement process was hired as the head of the procurement department six months prior. Which of the following is the most appropriate action for the CAE to take?

- A. The CAE should not interfere because there is no evidence that a conflict of interest has occurred.
- B. The CAE should remind the senior auditor of his obligation to be objective and impartial.
- C. The CAE should change the senior auditor's assignment and take corrective action for the auditor's failure to disclose the conflict of interest.

D. The CAE should require the senior auditor to disclose the relationship in writing before continuing his responsibility for monitoring procurement.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 480

The chief audit executive (CAE) of a mid-sized pharmaceutical organization has operational responsibility for the regulatory compliance function. The audit committee requests an assessment of regulatory compliance. According to IIA guidance, which of the following is the CAE's best course of action?

- A. Have a proficient internal audit staff member perform the assessment and disclose the impairment in the audit report and to the board.
- B. Have a regulatory compliance staff member perform a self-assessment, to be reviewed by a proficient internal auditor.
- C. Have a proficient internal audit staff member perform the audit and report the results of the assessment directly to senior management and the board.
- D. Contract with a third-party entity or external auditor to complete the assessment and report the results to senior management and the board.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 481

Which of the following is not one of the 10 core competencies identified in the IIA Competency Framework?

- A. Governance, risk, and control.
- B. Performance management.
- C. Business acumen.
- D. Internal audit delivery.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 482

Which of the following actions should an internal auditor take to exercise due professional care? 1.Consider the probability of significant noncompliance in each audit engagement.

2.Weigh the cost of assurance against the benefits.

3.Perform assurance procedures with sufficient care to ensure that all risks are identified.

- A. 1 and 2 only
- B. 1 and 3 only
- C. 2 and 3 only
- D. 1, 2, and 3

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 483

An internal audit team is performing an audit of workplace accident claims.

Which of the following actions by the audit team best demonstrates due professional care?

- A. Having an occupational health officer on the engagement team.
- B. Determining that the claims have been classified properly.
- C. Placing reliance on medical reports from the injured worker's doctor.
- D. Reviewing claims to ensure all accidents actually occurred in the workplace.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 484

A credit card company detects potential errors in credit card numbers by checking whether all entered numbers contain the correct amount of digits. This is an example of which of the following IT controls?

- A. Logic test.
- B. Check digits.

- C. Data integrity tests.
- D. Balancing control activities.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 485

Which two of the following are preventive controls in a check disbursement process? 1.Daily reconciliation of the bank account used for check disbursements and prompt follow-up of un-reconciled items.

2.Segregation of the following duties: establishing new vendors, approving checks, and reconciling the bank account.

3.An activity report detailing who accesses the check disbursement system and the nature of any action taken in the system.

4.Evidence of strong access controls ensuring that authorized individuals have access only to the functions related to their responsibilities.

- A. 1 and 3.
- B. 1 and 4.
- C. 2 and 3.
- D. 2 and 4.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 486

A large trucking organization wants to reduce traffic accidents by improving its system of internal controls.

Which of the following controls is correctly classified? 1.Review of speeding violations to identify repetitive locations and drivers is an example of a preventive control.

2.Defensive driver training is an example of a directive control. 3.The installation of tracking devices in delivery vehicles is an example of a corrective control. 4.Providing a vehicle driver handbook is an example of a detective control.

- A. 1 and 2.
- B. 1 and 4.
- C. 2 and 3.
- D. 3 and 4.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 487

Which segregation of duties would best reduce the risk of payroll fraud?

- A. Human resources personnel add employees, and payroll personnel process hours and enter employee bank account numbers. Paychecks are automatically deposited in the employee's bank account.
- B. Human resources personnel add employees, payroll personnel process hours, and human resources personnel deliver paychecks to employees.
- C. Human resources personnel add employees, review and submit payroll hours to the payroll department for processing, and deliver paychecks to employees.
- D. Human resources personnel add employees and enter employee bank information. Payroll personnel process hours, and paychecks are automatically deposited in the employee's bank account.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 488

An organization is beginning to implement an enterprise risk management program. One of the first steps is to develop a common risk language. Which of the following statements about a common risk language is true?

- A. Management will be able to reduce inherent risk because they will have a better understanding of risk.
- B. Internal auditors will be able to reduce their sample sizes because controls will be more consistent.
- C. Stakeholders will have more assurance that the risks are assessed consistently.
- D. Decision makers will understand that the likelihood of missing or ineffective controls will be reduced.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 489

An organization invests its savings in a volatile stock with the potential for high gains rather than a mutual fund with a lower expected return and lower volatility. This best describes which of the following risk concepts?

- A. Risk identification.
- B. Risk appetite.
- C. Risk capacity.
- D. Risk tolerance.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 490

Which of the following best describes the misdirection of payments on accounts receivable to an employee's bank account?

- A. Fraud open on the books.
- B. Fraud hidden on the books.
- C. Fraud off the books.
- D. Fraud on the balance sheet.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 491

When auditing the award of a major contract, which of the following should an internal auditor suspect as a red flag for a bidding fraud scheme?

- 1.Subsequent change orders increase requirements for low-bid items.
- 2.Material contract requirements are different on the actual contract than on the request for bids.
- 3.A high percentage of employees are charged to indirect accounts.
- 4.Losing bidders are hired as subcontractors.

- A. 1 only
- B. 2 only

- C. 1 and 3.
- D. 2 and 4.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 492

Which of the following combinations of conditions is most likely a red flag for fraud?

- A. The practice of surprise audits and the implementation of an employee support program.
- B. Hiring an employee with a prior fraud conviction and yearly management review.
- C. Occasional accounting department overrides and discontinuation of the anonymous fraud hotline due to infrequent use.
- D. A veteran employee in upper management experiencing financial difficulties and recently implemented enhanced controls.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 493

Which of the following techniques would provide the most compelling evidence that a safety hazard exists within a manufacturing facility?

- A. Observation of the facility during operations.
- B. Questioning of facility management, including the facility safety officer.
- C. Analysis of facility operating reports, focusing on instances when breakdowns occurred.
- D. Review of records involving safety violations, filed by facility production employees.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

proper.

QUESTION 494

While performing an accounts payable engagement, a senior auditor wants to conduct several tests of controls for travel expenses. Which of the following actions are most appropriate for the senior auditor to undertake?

- 1.Ensure all tests use a random sampling technique.
- 2.Consider a judgmental approach for the sample size.
- 3.Assess testing errors through root cause analysis.
- 4.Ensure that the entire data set is tested.

- A. 1 and 2.
- B. 1 and 3.
- C. 2 and 3.
- D. 2 and 4.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 495

An internal auditor uses a predefined macro provided in a popular spreadsheet application to verify the present value of the organization's investments. Which of the following is the most appropriate course of action regarding the auditor's use of this functionality?

- A. The auditor should accept the calculations generated by the function, as any further work or documentation would be inefficient.
- B. The auditor should perform a manual recalculation of several results to validate and document the results.
- C. The auditor should review the programming of the macro before its use to ensure that it is appropriate for the required calculations.
- D. The auditor should tabulate the results in the spreadsheet to ensure the macro has generated the correct results for all calculations.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 496

Which of the following factors should be considered when determining the appropriate combination of manual techniques and computer-assisted audit techniques (CAATs) to be used during an audit?

- 1.Acceptance of CAATs findings by entity management.
- 2.Computer knowledge and expertise of the auditor.
- 3.Time constraints.

4. Level of audit risk.

- A. 1 and 4
- B. 2 and 3 only
- C. 1, 2, and 3
- D. 2, 3, and 4

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 497

The chief audit executive (CAE) of a small internal audit activity (IAA) performs all high-risk engagements on the annual audit plan to make use of his knowledge and experience and to maximize the efficient use of audit resources. Which of the following statements is most relevant regarding this practice?

- A. The CAE's work may be reviewed by any other experienced staff member within the IAA.
- B. The CAE's work should be reviewed by an individual with the appropriate background and knowledge.
- C. The CAE may self-review his work, provided he discloses this practice in the final report.
- D. The CAE should avoid performing engagements to ensure he is able to review all audit work objectively.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 498

According to IIA guidance, which of the following is not a responsibility of the chief audit executive pertaining to documenting information to support internal audit engagement results and conclusions?

- A. Rating each engagement record to assess its relevance and accessibility for the organization's board.
- B. Controlling access to engagement records, including access by senior management.
- C. Developing retention requirements for engagement records that are consistent with organizational guidelines.
- D. Forming policies governing the custody and retention of consulting engagement records before their release to other parties.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 499

An internal auditor is using a spreadsheet application to review a cash flow forecast prepared by management.

Which of the following correctly identifies the type of evidence this information represents?

- A. Competent, corroborative evidence of future working capital requirements.
- B. Sufficient, analytical evidence of the cash flow position at a given point of time in the future.
- C. Competent, documentary evidence of future cash flow changes within the organization.
- D. Sufficient, circumstantial evidence of the future solvency of the organization.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 500

Which of the following is an activity that an internal auditor must not perform?

- A. Establish and provide continuing assurance on an anti-money laundering program for new hires.
- B. Survey employees for their understanding of anti-money laundering practices.
- C. Provide assurance for the effectiveness of anti-money laundering training.
- D. Assess the risk of being fined for ineffective anti-money laundering practices.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 501

Which of the following statements is true regarding assurance services provided to clients outside of the organization?

- A. Assurance services for outside clients are not covered under the internal audit charter.
- B. Assurance services for outside clients must be approved on a case-by-case basis by the board of directors.
- C. The nature of assurance services for outside clients should be defined in the internal audit charter.
- D. The nature of assurance services for outside clients is the same as for internal clients.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 502

Sometimes, internal audit staff may partner with operating managers to rank risks. Which of the following outcomes may be the most beneficial aspects of this strategy? 1.Reappraising risks levels.

2.Providing accurate information to management.

3.Marketing the internal audit activity.

4.Planning safeguards for assets in high-risk areas.

- A. 1 and 2.
- B. 1 and 3.
- C. 2 and 3.
- D. 3 and 4.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 503

An internal auditor is reviewing the accounts receivable when she discovers account balances more than three years old. The auditor was previously supervising the area during this time, and she subsequently advises the chief audit executive (CAE) of a potential conflict.

Which of the following is the most appropriate course of action for the CAE to take?

- A. Replace the auditor with another audit staff member.
- B. Continue with the present auditor, as more than one year has passed.

- C. Withdraw the audit team and outsource the financial audit of the division.
- D. Work with the division's management to resolve the situation.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 504

Which of the following best ensures the independence of the internal audit activity? 1.The CEO and audit committee review and endorse any changes to the approved audit plan on an annual basis.

2.The audit committee reviews the performance of the chief audit executive (CAE) periodically. 3.The internal audit charter requires the CAE to report functionally to the audit committee.

- A. 3 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2, and 3

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 505

Which of the following enhances the independence of the internal audit activity?

- A. The chief audit executive (CAE) approves the annual internal audit plan.
- B. The CAE administratively reports to the board.
- C. The audit committee approves the CAE's annual salary increase.
- D. The chief executive officer approves the internal audit charter.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 506

Which of the following statements describes impairment to the internal auditor's objectivity?

- A. An internal auditor reviews a purchasing agent's contract drafts prior to their execution.
- B. An internal auditor reduces the scope of an audit engagement due to budget restrictions.
- C. An internal auditor receives a promotional gift that is available to the organization's employees.
- D. An internal auditor performs an assessment of the operations for which he was recently responsible.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 507

A chief audit executive (CAE) is selecting an internal audit team to perform an audit engagement that requires a high level of knowledge in the areas of finance, investment portfolio management, and taxation. If neither the CAE nor the existing internal audit staff possess the required knowledge, which of the following actions should the CAE take?

- A. Postpone the audit until the CAE hires internal audit staff with the required knowledge.
- B. Ask the audit committee to decide the course of action.
- C. Select the most experienced auditors in the department to perform the engagement.
- D. Hire consultants who possess the required knowledge to perform the engagement.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 508

According to IIA guidance, which of the following is an area in which the internal auditor should be proficient?

- A. Management principles.
- B. Computerized information systems.

- C. Internal audit standards, procedures, and techniques.
- D. Fundamentals of accounting, economics, and finance.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 509

According to IIA guidance, which of the following must internal auditors consider to conform with the requirements for due professional care during a consulting engagement? 1.The cost of the engagement, as it pertains to audit time and expenses in relation to the potential benefits.

2.The needs and expectation of clients, including the nature, timing, and communication of engagement results.

3.The application of technology-based audit and other data analysis techniques, where appropriate.

4.The relative complexity and extent of work needed to achieve the engagement's objectives.

- A. 1, 2, and 3
- B. 1, 2, and 4
- C. 1, 3, and 4
- D. 2, 3, and 4

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 510

According to IIA guidance, the results of a formal quality assessment should be reported to which of the following groups?

- A. The audit committee and senior management.
- B. The audit committee and the external auditors.
- C. Senior management and management of the audited area.
- D. Senior management and the external auditors.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 511

A medical insurance provider uses an electronic claims-submission process and suspects that a number of physicians have submitted claims for treatments that were not performed. Which of the following control procedures would be most effective to detect this type of fraud?

- A. Require the physician to submit a signed statement attesting that the treatments had been performed.
- B. Send confirmations to the physicians, requesting them to verify the exact nature of the claims submitted to the insurance provider.
- C. Develop an integrated test facility and submit false claims to verify that the system is detecting such claims on a consistent basis.
- D. Use computer software to identify abnormal claims based on the insured's age and medical history.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 512

Which of the following is not an objective of internal control?

- A. Compliance.
- B. Accuracy.
- C. Efficiency.
- D. Validation.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 513

According to the COSO enterprise risk management (ERM) framework, which of the following is not part of the new paradigm in ERM?

- A. Assessing the risk factors.
- B. Aligning risk appetite and strategy.

- C. Enhancing risk response decisions.
- D. Reducing operational surprises and losses.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 514

Forty-five percent of an organization's customer payments are submitted online. Eight percent of online payments are rejected. Executive management decides to outsource its online payment services to a contractor that will assume 75 percent of the total value of rejected payments. The organization estimates \$1.25 million customer payments due during the contract period.

Which of the following represents the organization's residual risk for online customer payments due?

- A. \$11, 250
- B. \$25, 000
- C. \$33, 750
- D. \$45, 000

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 515

Which of the following control methods is effective in reducing the risk of purchasing-scheme fraud?

1.Periodically reviewing the vendor list for unusual vendors and addresses. 2.Segregating duties for amount purchasing, receiving, shipping, and accounting. 3.Validating sequential integrity of purchase orders. 4.Verifying the validity of invoices with post office box addresses.

- A. 1 and 2 only
- B. 3 and 4 only
- C. 1, 2, and 4 only
- D. 1, 2, 3, and 4

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 516

Which of the following is a common type of payroll fraud?

- A. Unauthorized overtime.
- B. Fictitious employees.
- C. Unearned bonuses or commissions.
- D. Skimming.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 517

Reviewing prior audit reports and supporting workpapers before an engagement starts enables an internal auditor to do which of the following?

1.To understand better the activity and processes that will be audited. 2.To identify the audit procedures that will be used during the engagement. 3.To ensure that matters of greatest vulnerability will be addressed. 4.To use the information obtained as evidence in the current engagement.

- A. 4 only
- B. 1 and 3 only
- C. 1 and 4 only
- D. 2, 3, and 4 only

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 518

According to IIA guidance, which of the following are macro-level audit activities performed for an assurance engagement of the purchasing department? 1.Obtain and review all purchasing-related audit reports issued within the past year. 2.Meet with the quality assurance group to discuss its previous reports of any purchasing-related findings.

- 3. Review a memo written by the purchasing manager that outlines ongoing problems with the purchasing software.
- 4. Request a copy of the report from a purchasing audit conducted last year by an external service provider.

- A. 1 and 2.
- B. 1 and 3.
- C. 2 and 4.
- D. 3 and 4.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 519

Non-statistical sampling does not require which of the following?

- A. The sample to be representative of the population.
- B. The sample to be selected haphazardly.
- C. A smaller sample size than if selected using statistical sampling.
- D. Projecting the results to the population.

Correct Answer: C

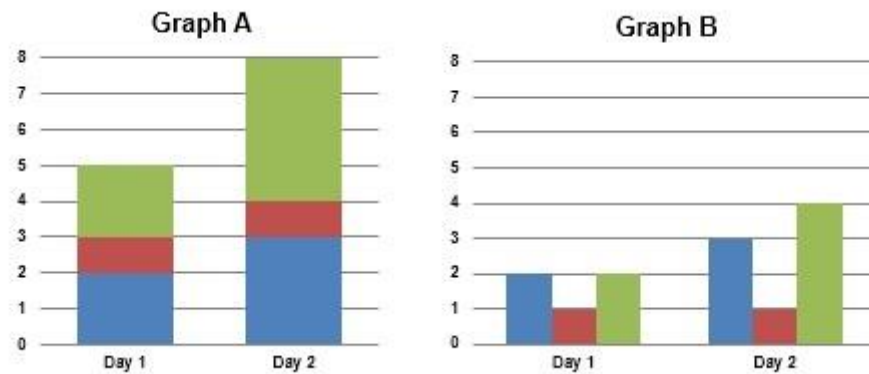
Section: (none)

Explanation

Explanation/Reference:

QUESTION 520

Click the Exhibit.



Internal auditors are asked to keep track of how many hours per day they spend planning the audit, conducting the engagement, and writing the audit report. The data for two days has been collected as follows:

Day 1
 Day 2
 Planning the audit
 2 hours
 3 hours
 Conducting the engagement
 1 hour
 1 hour
 Writing the audit report
 2 hours
 4 hours

Which of the following graphs depicts the data accurately?

- A. Graph A only
- B. Graph B only
- C. Both A and B.
- D. Neither A nor B.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 521

An internal auditor wants to sample data to test an audit theory in a cost-effective way. Which of the following sampling strategies should she use?

- A. Statistical sampling only
- B. Nonstatistical sampling only
- C. A combination of both statistical and nonstatistical sampling.
- D. Neither approach to testing the audit theory would be cost effective.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 522

An internal auditor is performing analytical reviews as part of an audit of a supermarket's merchandising department. Because the economy has declined since midyear, the auditor can expect to encounter which of the following?

- A. Higher inventory turnover.
- B. Higher operating margin.
- C. Lower obsolete stock disposal.
- D. Lower sales volume.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 523

The chief audit executive (CAE) is planning to conduct an internal assessment of the internal audit activity (IAA). Part of this assessment will include benchmarking. According to IIA guidance, which of the following qualitative metrics would be appropriate for the CAE to use? 1.Average client customer satisfaction score for a given year.

2.Client survey comments on how to improve the IAA.

3.Auditor interviews once an audit has been completed.

4.Percentage of audits completed within 90 days.

- A. 1 and 2.

- B. 1 and 3.
- C. 2 and 3.
- D. 3 and 4.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 524

Which of the following controls could an internal auditor reasonably conclude is effective by observing the physical controls of a large server room?

- A. Adequate signs are in place to assist in locating safety equipment.
- B. Servers are secured individually to their racks by locks.
- C. Foam fire extinguishers are operable to protect against electrical fires.
- D. Swipe card access is required to gain access to the server room.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 525

The internal audit activity is planning a procurement audit and needs to obtain a thorough understanding of the subcontracting process, which can involve multiple individuals in multiple countries.

Which of the following internal audit tools would be most effective to document the process and the key controls?

- A. Internal control checklist.
- B. Procurement employee survey.
- C. Cross-functional flow chart.
- D. Segregation of duties matrix.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 526

An internal auditor in a small broadcasting organization was assigned to review the revenue collection process. The auditor discovered that some checks from three customers were never recorded in the organization's financial records. Which of the following documents would be the least useful for the auditor to verify the finding?

- A. Bank statements.
- B. Customer confirmation letters.
- C. Copies of sales invoices.
- D. Copies of deposit slips.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 527

When developing the organization's first risk universe, which of the following would the chief audit executive be least likely to consider?

- A. The amount of risk that an organization is willing to seek or accept.
- B. The extent and degree of interdependency for identified key risks.
- C. The boundaries established to manage the amount of risk taken.
- D. The exposure to risks following management's risk responses.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 528

In which of the following functions would fraud be most likely to occur?

- A. Maintaining custody of inventory records.
- B. Collecting payments on accounts.

- C. Approving changes to employee records.
- D. Preparing customer statements.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 529

Which of the following is the best way to detect fraud?

- A. Conduct anti-fraud training.
- B. Perform background investigations.
- C. Implement process controls.
- D. Activate a whistleblower hotline.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 530

Which of the following is the most common method of fraud detection?

- A. Analytical reviews of high-risk areas.
- B. Detective controls built into the daily processes.
- C. Unannounced audits or reviews of programs or departments.
- D. Tips received from employees or citizens.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 531

Which of the following would not be considered part of preliminary survey of an engagement area?

- A. Interviews with individuals affected by the entity.
- B. Functional walk through test.
- C. Analytical reviews.
- D. Sampling scope.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 532

Which of the following is a weakness of observation as audit evidence?

- A. It cannot be used to test the completeness assertion.
- B. It cannot be used to test the existence assertion.
- C. It cannot be used to test the occurrence assertion.
- D. It cannot be relied upon because the evidence is not persuasive.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 533

An auditor identifies three errors in the sample of 25 entries selected for review (a 12 percent error rate). Based on this result, the auditor assumes that approximately 59 of the total population of 492 entries are incorrect. To reach this assumption, the auditor has used a technique known as which of the following?

- A. Variability tolerance.
- B. Ratio estimation.
- C. Stratification.
- D. Acceptance sampling.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 534

An auditor in charge was reviewing the workpapers submitted by a newly hired internal auditor. She noted that the new auditor's analytical work did not include any rating or quantification of the risk assessment results, and she returned the workpapers for correction. Which section of the workpapers will the new auditor need to modify?

- A. Condition section.
- B. Criteria section.
- C. Effect section.
- D. Cause section.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 535

According to IIA guidance, which of the following statements about working papers is false?

- A. They assist in the implementation of recommendations.
- B. They provide support for communication to third parties.
- C. They demonstrate compliance with auditing standards.
- D. They contribute to development of the internal audit staff.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 536

An assurance mapping exercise helps an organization do which of the following? 1. Provide assurance to stakeholders that risks are managed and

reported, and regulatory and legal obligations are met.
2. Fulfill best practices in the industry.
3. Identify and address any gaps in the risk management process.
4. Identify fraud.

- A. 1 and 4.
- B. 1 and 3.
- C. 2 and 3.
- D. 3 and 4.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 537

Which of the following are core responsibilities to be included in the internal audit charter? 1. Review reliability and integrity of financial and operating information and the means used to identify, measure, classify, and report such information. 2. Determine the adequacy and effectiveness of the organization's systems of internal accounting and operating controls. 3. Participate in the planning and performance of audits of potential acquisitions with the organization's outside accountants and other members of the corporate staff. 4. Report to those members of management who should be informed of results of audit examinations, the audit opinions formed, and the recommendations made.

- A. 1 and 2.
- B. 1 and 4.
- C. 2 and 3.
- D. 2 and 4.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 538

An internal audit charter should do which of the following?

- A. Outline the schedule of future audits.

- B. Define the scope of internal audit activities.
- C. Establish the size of the internal audit activity.
- D. Communicate the internal audit activity's goals.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 539

A former line supervisor from the Financial Services Department has completed six months of a two-year development opportunity with the internal audit activity (IAA). She is assigned to a team that will audit the organization's payroll function, which is managed by the Human Resources Department. Which of the following statements is most relevant regarding her independence and objectivity with respect to the payroll audit?

- A. She may participate, but only after she has completed one year with the IAA.
- B. She may participate, because she did not previously work in the Human Resources Department.
- C. She may participate, but she must be supervised by the auditor in charge.
- D. She may participate for training purposes, to build her knowledge of the IAA.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 540

A new director was hired to lead the internal audit activity at a small start-up company. Which of the following assignments would impair the director's independence?

- A. Preparing the financial statements for the company's defined contribution plan.
- B. Performing a pre-implementation review of the company's payroll application.
- C. Providing the COBIT framework as a possible IT management tool.
- D. Reviewing the company's policy for foreign currency translation adjustments for compliance with accounting standards.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 541

According to IIA guidance, which of the following is least compliant with the requirements regarding an internal auditor's need for objectivity?

- A. An internal auditor assessed the effectiveness of controls over payroll software, which he had helped implement with a previous employer.
- B. An internal auditor participated in an audit of controls around absenteeism, despite providing some consultation on controls in this area earlier in the year.
- C. An internal auditor performed an assurance engagement for the effectiveness of accounts payable access controls, one of which he previously helped to design.
- D. An internal auditor, previously employed in the quality assurance operations area, performed a consulting engagement for the operations manager.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 542

Faced with a complex, highly technical construction audit engagement, the chief audit executive (CAE) considered complementing the current internal audit resources by engaging the services of a civil engineer.

Which of the following should the CAE consider in determining whether the engineer possesses the necessary skills to perform the engagement?

- 1. Professional certification, license, or other recognition of the engineer's competence in the relevant discipline.
 - 2. Experience of the engineer in the type of work being considered.
 - 3. Compensation or other incentives that the engineer may receive.
 - 4. The extent of other ongoing services that the engineer may be performing for the organization.
- A. 1 and 4 only
 - B. 2 and 3 only
 - C. 3 and 4 only
 - D. 1, 2, and 4 only

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 543

Internal auditors must exercise due professional care by considering which of the following? 1. Cost of assurance in relation to potential benefits. 2. Adequacy and effectiveness of governance, risk management, and control processes. 3. Management's competency level in the area being evaluated. 4. Probability of significant errors, fraud, or noncompliance.

- A. 1 and 2 only
- B. 1, 2, and 3 only
- C. 1, 2, and 4 only
- D. 2, 3, and 4 only

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 544

According to IIA guidance, which of the following are considerations of due professional care when an internal auditor conducts a formal consulting engagement? 1. The complexity of the work required. 2. The needs and expectations of the client. 3. The potential value of the engagement compared to the effort. 4. Information regarding assumptions and procedures to be employed.

- A. 1 and 4 only
- B. 2 and 3 only
- C. 1, 2, and 3 only
- D. 1, 2, 3, and 4

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 545

According to IIA guidance, which of the following must the internal auditor consider to meet the requirements for due professional care?

- A. The training courses necessary to enhance the internal auditor's knowledge, skills, and other competencies.
- B. The appropriateness of assurance procedures necessary to ensure all significant risks will be identified.

- C. The use of innovative technology and data analysis techniques.
- D. The extent of work needed to achieve the engagement's objectives.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 546

An organization has implemented a software system that requires a supervisor to approve transactions that would cause treasury dealers to exceed their authorized limit. This is an example of which of the following types of controls?

- A. Preventive controls.
- B. Detective controls.
- C. Soft controls.
- D. Directive controls.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 547

Which of the following is most likely to function as a directive control?

- A. Security dogs.
- B. Alert employees.
- C. Insurance claims.
- D. Cycle counts.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 548

According to COSO, which of the following is not considered one of the components of an organization's internal environment?

- A. Authority and responsibility to resolve issues.
- B. Framework to plan, execute and monitor activities.
- C. Integrated responses to multiple risks.
- D. Knowledge and skills needed to perform activities.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 549

The top three sales representatives for a company consistently include non-allowable charges on their expense reports. Line management is reluctant to deny reimbursement of the charges for fear of losing the sales representatives. This situation has the greatest negative impact on which of the following internal control components?

- A. Monitoring.
- B. Control environment.
- C. Information and communication.
- D. Control activities.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 550

Which of the following factors affects the control risk of a company?

- A. Potential problems like technological obsolescence.
- B. Unusual pressures on management.
- C. Complex accounts that require expert valuations.
- D. Segregation of duties.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 551

Human resources and payroll are separate departments. Which of the following combinations would provide the best segregation of duties?

- A. Human resources personnel add employees, payroll personnel process hours, and human resources personnel deliver paychecks to employees.
- B. Human resources personnel add employees, review and submit payroll hours to the payroll department for processing, and deliver paychecks to employees.
- C. Human resources personnel add employees, and payroll personnel process hours and enter employee bank account numbers. Paychecks are automatically deposited in the employee's bank account.
- D. Payroll personnel add employees and enter employee bank account numbers but process hours only as approved by the human resources department. Paychecks are automatically deposited in the employee's bank account.

Correct Answer: C

Section: (none)

Explanation

Explanation/Reference:

QUESTION 552

Which of the following is an appropriate role for the board in governance?

- A. Preparing written organizational policies that relate to compliance with laws, regulations, ethics, and conflicts of interest.
- B. Ensuring that financial statements are understandable, transparent, and reliable.
- C. Assisting the internal audit activity in performing annual reviews of governance.
- D. Working with the organization's attorneys to develop a strategy regarding current litigation, pending litigation, or regulatory proceedings governance.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 553

According to the International Professional Practices Framework, which of the following is the appropriate division of responsibilities for the coordination of internal and external audit efforts?

- A. Oversight of Work
 - Coordination of Activities
 - Chief audit executive
 - Senior management
- II. Board
 - Chief audit executive
- III. Chief financial officer
 - Chief audit executive
- IV. Board
 - Chief financial officer
- B. I
- C. II.
- D. III.
- E. IV.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 554

According to the Standards, the organizational status of the internal audit activity:

- A. Must be sufficient to permit the accomplishment of its audit responsibilities.
- B. Is best when the reporting relationship is direct to the board of directors.
- C. Requires the board's annual approval of the audit schedules, plans, and budgets.
- D. Is guaranteed when the charter specifically defines its independence.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

appropriate.

QUESTION 555

A high-volume retailer of consumer goods has used point-of-sale data to record sales and update inventory records for several years. When price changes are scheduled, corporate headquarters downloads a price change file to a computer server system at each store. Each store's assistant manager is responsible for checking the server for downloads and running the program that updates the store's price file at the authorized price update time. In comparison with having headquarters initiate the price update centrally, this approach to price updating will most likely:

- A. Decrease the risk that customers will be undercharged consistently for sales items.
- B. Decrease the risk that item prices will sometimes be inaccurate.
- C. Increase the risk that customers will be undercharged consistently for sales items.
- D. Increase the risk that item prices will sometimes be inaccurate.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 556

An internal auditor is reviewing a new automated human resources system. The system contains a table of pay rates which are matched to the employee job classifications. The best control to ensure that the table is updated correctly for only valid pay changes would be to:

- A. Limit access to the data table to management and line supervisors who have the authority to determine pay rates.
- B. Require a supervisor in the department, who does not have the ability to change the table, to compare the changes to a signed management authorization.
- C. Ensure that adequate edit and reasonableness checks are built into the automated system.
- D. Require that all pay changes be signed by the employee to verify that the change goes to a bona fide employee.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

100% agreed with the given answer.

QUESTION 557

According to the International Professional Practices Framework, internal auditors should possess which of the following competencies?

- A. Proficiency in applying internal auditing standards, procedures, and techniques.
 - II. Proficiency in accounting principles and techniques.
 - III. An understanding of management principles.

IV. An understanding of the fundamentals of economics, commercial law, taxation, finance, and quantitative methods.

- B. I only
- C. II only
- D. I and III only
- E. I, III, and IV only

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 558

Which of the following is not an appropriate role for internal auditors after a disaster occurs?

- A. Monitor the effectiveness of the recovery and control of operations.
- B. Correct deficiencies of the entity's business continuity plan.
- C. Recommend future improvements to the entity's business continuity plan.
- D. Assist in the identification of lessons learned from the disaster and the recovery operations.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 559

Which of the following lists the audit activities in the order in which they would generally be completed during a preliminary survey?

- A. Write detailed audit procedures.
 - II. Identify client objectives, goals, and standards.
 - III. Identify risks and controls intended to prevent associated losses.
 - IV. Determine relevant engagement objectives.
- B. II, I, IV, III.
- C. II, III, IV, I.
- D. III, IV, II, I.
- E. II, IV, I, III.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 560

During the planning phase of an audit of suspected overbilling on contracts for security services, an auditor should perform all of the following except:

- A. Interviewing an official of the security services company to determine the cause of recent increases in billings for services.
- B. Interviewing the manager who requested the audit engagement.
- C. Obtaining a copy of the contract between the two organizations.
- D. Preparing an engagement program.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

QUESTION 561

If an internal auditor discloses confidential information in response to a lawsuit, the internal auditor has violated.

- A. The IIA Code of Ethics.
- B. The Standards.
- C. Both the IIA Code of Ethics and the Standards.
- D. Neither the IIA Code of Ethics nor the Standards.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 562

In developing an appropriate work program for an audit engagement, the most important factor for an audit supervisor to consider is the:

- A. Availability of records and data.

- B. Potential impact of risks.
- C. Audit personnel's knowledge and experience.
- D. Time required to complete the engagement.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 563

An organization has a policy requiring two signatures on all checks written for amounts in excess of \$10, 000. When evaluating controls over disbursements, an auditor would conclude that a greater risk exists if.

- A. The auditor located two checks for \$9, 000 each that contained one authorized signature.
- B. The \$10, 000 was an immaterial amount to the organization and very few cash disbursements required an amount in excess of \$10, 000.
- C. The director of accounting was not one of the authorized signers.
- D. There were several instances in which successively numbered checks for amounts between \$5, 000 and \$10, 000 were made payable to the same vendor.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 564

Which of the following is not an appropriate type of coordination between the internal audit activity and regulatory auditors?

- A. Regulatory auditors share their perspective on risk management, control, and governance with the internal auditors.
- B. Internal auditors perform fieldwork at the direction of the regulatory auditors.
- C. Internal auditors review copies of regulatory reports in planning related internal engagements.
- D. Regulatory and internal auditors exchange information about planned activities.

Correct Answer: B

Section: (none)

Explanation

Explanation/Reference:

QUESTION 565

Which of the following activities most significantly increases the risk that a bank will make poor-quality loans to its customers?

- A. Borrowers may not sign all required mortgage loan documentation.
- B. Fees paid by the borrower at the time of the loan may not be deposited in a timely manner.
- C. The bank's loan documentation may not meet the government's disclosure requirements.
- D. Loan officers may override the lending criteria established by senior management.

Correct Answer: D

Section: (none)

Explanation

Explanation/Reference:

QUESTION 566

An organization that outsources much of its internal audit work to an external service provider is planning for an external quality assessment. Which of the following options would accomplish this task and be in conformance with the Standards?

- A. External industry associate that performed a similar review for a supplier of the organization.
- B. A team from an independent entity that previously employed the chief audit executive of the organization.
- C. A team under the direction of the organization's chief audit executive with validation by a former manager of the internal audit activity.
- D. The same external service provider because of its competency and experience with the organization.

Correct Answer: A

Section: (none)

Explanation

Explanation/Reference:

true.